12. FINANCIAL INFORMATION

12.1 HISTORICAL FINANCIAL INFORMATION

Our Company was incorporated in Malaysia under the Companies Act 1965 on 24 October 2012 as a public limited company under the name of Fibromat (M) Berhad and is deemed registered under the Act. Our historical financial information for FYE 2021 to 2024 is prepared based on the historical consolidated audited financial statements of our Group and in accordance with MFRS and IFRS. The selected financial information included in this Prospectus is not intended to predict our Group's financial position, results and cash flows.

Our historical financial information presented in this section should be read in conjunction with the Management's Discussion and Analysis of Results of Operations and Financial Condition and the Accountants' Report set out in Sections 12.2 and 13, respectively.

12.1.1 Consolidated statements of profit or loss and other comprehensive income

The following table sets out a summary of our consolidated statements of profit or loss and other comprehensive income for FYE 2021 to 2024, which have been extracted from the Accountants' Report.

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Revenue	45,787	47,953	68,300	75,463
Cost of sales	(33,989)	(37,418)	(51,164)	(54,756)
GP	**11,798**	**10,535**	**17,136**	**20,707**
Other income	1,294	941	720	595
Selling and distribution expenses	(1,735)	(2,205)	(2,274)	(2,122)
Administrative expenses	(2,284)	(2,808)	(2,930)	(4,157)
Other operating expenses	(684)	(77)	(376)	(534)
Operating profit	**8,389**	**6,386**	**12,276**	**14,489**
Finance costs	(541)	(952)	(1,047)	(1,058)
PBT	**7,848**	**5,434**	**11,229**	**13,431**
Income tax expense	(2,095)	(1,897)	(2,739)	(3,457)
PAT/ Total comprehensive income for the financial years	**5,753**	**3,537**	**8,490**	**9,974**
PAT/ Total comprehensive income attributable to the owners of the Group	**5,753**	**3,537**	**8,490**	**9,974**
EBIT (RM'000)[(1)]	8,360	6,360	12,247	14,463
EBITDA (RM'000)[(1)]	9,955	8,071	13,963	16,317
GP margin (%)[(2)]	25.8	22.0	25.1	27.4
PBT margin (%)[(3)]	17.1	11.3	16.4	17.8
PAT margin (%)[(4)]	12.6	7.4	12.4	13.2
Basic EPS (sen)[(5)]	2.7	1.6	3.9	4.6
Diluted EPS (sen)[(6)]	2.3	1.4	3.4	4.0

12. FINANCIAL INFORMATION *(Cont'd)*

Notes:

(1) EBIT and EBITDA are calculated as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
PAT	5,753	3,537	8,490	9,974
Less:				
Interest income	(29)	(26)	(29)	(26)
Add:				
Finance costs	541	952	1,047	1,058
Tax expense	2,095	1,897	2,739	3,457
EBIT	**8,360**	**6,360**	**12,247**	**14,463**
Add:				
Depreciation	1,595	1,711	1,716	1,854
EBITDA	**9,955**	**8,071**	**13,963**	**16,317**

(2) Calculated based on GP divided by revenue.

(3) Calculated based on PBT divided by revenue.

(4) Calculated based on PAT divided by revenue.

(5) Calculated based on PAT divided by our existing share capital of 216,000,000 Shares.

(6) Calculated based on PAT divided by our enlarged share capital of 248,276,000 Shares after our IPO.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.1.2 Consolidated statements of financial position

The following table sets out the consolidated statements of financial position of our Group as at 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024 which have been extracted from the Accountants' Report.

	Audited			
	As at 31 December			
	2021	2022	2023	2024
	RM'000	RM'000	RM'000	RM'000
ASSETS				
Non-current assets				
Property, plant and equipment	20,790	20,880	20,249	20,887
Investment properties[1]	1,694	1,672	1,971	618
Total non-current assets	**22,484**	**22,552**	**22,220**	**21,505**
Current assets				
Inventories	13,336	14,265	16,252	17,707
Current tax assets	612	588	-	-
Trade and other receivables[2]	16,802	22,221	20,663	27,612
Contract assets	2,158	983	6,823	7,488
Cash and short-term deposits	5,624	2,877	5,401	5,778
	38,532	**40,934**	**49,139**	**58,585**
Asset classified as held for sale[1]	-	-	-	644
Total current assets	**38,532**	**40,934**	**49,139**	**59,229**
TOTAL ASSETS	**61,016**	**63,486**	**71,359**	**80,734**
EQUITY AND LIABILITIES				
Equity attributable to owners of the Group				
Share capital	44,700	44,700	44,700	44,700
Merger reserve[3]	(31,936)	(31,936)	(31,936)	(31,936)
Retained earnings	27,252	27,765	34,095	41,909
TOTAL EQUITY	**40,016**	**40,529**	**46,859**	**54,673**
Non-current liabilities				
Loans and borrowings	6,847	9,121	7,126	5,888
Deferred tax liabilities	486	1,201	997	668
Total non-current liabilities	**7,333**	**10,322**	**8,123**	**6,556**
Current liabilities				
Loans and borrowings	6,401	6,959	2,570	5,671
Current tax liabilities	-	-	655	1,095
Trade and other payables[4]	6,651	5,475	12,634	12,452
Contract liabilities	615	201	518	287
Total current liabilities	**13,667**	**12,635**	**16,377**	**19,505**
TOTAL LIABILITIES	**21,000**	**22,957**	**24,500**	**26,061**
TOTAL EQUITY AND LIABILITIES	**61,016**	**63,486**	**71,359**	**80,734**

12. FINANCIAL INFORMATION *(Cont'd)*

Notes:

(1) In FYE 2022 and FYE 2023, investment properties comprise 2 units of apartments located in Cheras, Kuala Lumpur and 1 unit of apartment located in Johor Bahru, Johor (i.e. Wave Serviced Apartment Unit). In FYE 2024, 1 unit of the said apartment located in Cheras, Kuala Lumpur has been reclassified as asset held for sale. The sale and purchase agreement became unconditional on 24 February 2025 and is pending payment of the balance purchase price of RM0.5 million from the purchasers to MTS Fibromat as at LPD, as detailed in Section 6.5(d).

(2) The breakdown of trade and other receivables is as follows:

	Audited			
	As at 31 December			
	2021	**2022**	**2023**	**2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Trade				
Trade receivables	17,477	21,124	19,339	25,788
Less: Impairment loss for trade receivables	(1,860)	(788)	(765)	(1,049)
	15,617	20,336	18,574	24,739
Non-trade				
Other receivables[(a)]	266	25	139	919
Deposits	128	111	370	245
Prepayments	791	1,749	1,580	1,709
	1,185	1,885	2,089	2,873
Total trade and other receivables	**16,802**	**22,221**	**20,663**	**27,612**

Note:

(a) Comprise mainly amount receivables from debtors, comprising mainly staff loans and sales and service tax receivable from customers in relation to our sales. For clarity, sales and service tax is non-trade in nature.

(3) The merger reserve resulted from the difference between carrying value of the investment in subsidiary and the nominal value of the shares of our subsidiary upon consolidation.

12. FINANCIAL INFORMATION *(Cont'd)*

(4) The breakdown of trade and other payables are as follows:

	Audited			
	As at 31 December			
	2021	2022	2023	2024
	RM'000	RM'000	RM'000	RM'000
Trade				
Trade payables	6,091	4,707	11,372	11,028
Non-trade				
Other payables[(a)]	289	365	603	477
Deposits payable	-	2	2	36
Accruals	268	292	448	731
Amount owing to directors	3	-	-	-
Sales and service tax payable	-	109	209	180
	560	768	1,262	1,424
Total trade and other payables	**6,651**	**5,475**	**12,634**	**12,452**

Note:

(a) Comprise mainly advance payment received from customers as well as amount payable for staff claims on entertainment and travelling expenses.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.1.3 Consolidated statements of cash flows

The following table sets out the consolidated statements of cash flows of our Group for FYE 2021 to 2024 which has been extracted from the Accountants' Report.

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Cash flows from operating activities				
PBT	7,848	5,434	11,229	13,431
Adjustments for:				
Depreciation of property, plant and equipment	1,595	1,689	1,675	1,813
Depreciation of investment properties	-	22	41	41
Gain on disposal of property, plant and equipment	-	(111)	(255)	(13)
Property, plant and equipment written off	27	-	-	-
Derecognition due to end of lease term	-	-	7	-
Reversal of impairment loss on trade receivables	(1,089)	(569)	(117)	(82)
Impairment loss on trade receivables	578	77	376	366
Loss on disposal of investment property	-	-	-	168
Bad debts recovery	-	-	(13)	-
Trade payables written back	-	(67)	-	-
Finance costs	541	952	1,047	1,058
Finance income	(29)	(26)	(29)	(26)
Net unrealised foreign exchange (gain)/ loss	(17)	(96)	(130)	17
Operating profit before changes in working capital	**9,454**	**7,305**	**13,831**	**16,773**
Changes in working capital				
Inventories	(1,051)	(929)	(1,987)	(1,455)
Trade and other receivables	(2,226)	(4,927)	972	(6,733)
Contract assets	(982)	1,175	(5,840)	(665)
Trade and other payables	1,508	(1,106)	7,263	(216)
Contract liabilities	342	(414)	317	(231)
Net cash generated from operations	**7,045**	**1,104**	**14,556**	**7,473**
Income tax paid	(2,271)	(1,584)	(1,700)	(3,346)
Income tax refunded	-	426	-	-
Interest received	11	8	4	6
Interest paid	(98)	(90)	(94)	(141)
Net cash from/ (used in) operating activities	**4,687**	**(136)**	**12,766**	**3,992**
Cash flows from investing activities				
Purchase of property, plant and equipment	(2,079)	(1,322)	(356)	(1,077)
Proceeds from disposal of property, plant and equipment	-	111	255	24
Interest received	18	18	25	20
Change in pledged deposits	(18)	(22)	(24)	(20)
Net cash used in investing activities	**(2,079)**	**(1,215)**	**(100)**	**(1,053)**

12. FINANCIAL INFORMATION *(Cont'd)*

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Cash flows from financing activities				
Drawdown of term loans	-	4,366	-	400
Repayment of term loans	(1,195)	(1,572)	(2,059)	(2,195)
Drawdown of bankers' acceptance	8,415	9,487	13,564	12,242
Repayment of bankers' acceptance	(5,301)	(10,225)	(17,055)	(9,291)
Payment of lease liabilities	(552)	(715)	(495)	(678)
Net changes in amount owing to directors	(40)	(3)	-	-
Interests paid	(443)	(862)	(953)	(917)
Dividend paid	(5,000)	(3,024)	(2,160)	(2,160)
Net cash used in financing activities	**(4,116)**	**(2,548)**	**(9,158)**	**(2,599)**
Net (decrease)/ increase in cash and cash equivalents	(1,508)	(3,899)	3,508	340
Cash and cash equivalents at the beginning of the financial year	**5,897**	**4,406**	**603**	**4,137**
Effects of exchange rate changes on cash and cash equivalents	17	96	26	17
Cash and cash equivalents at the end of the financial year	**4,406**	**603**	**4,137**	**4,494**

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12. FINANCIAL INFORMATION *(Cont'd)*

12.2 MANAGEMENT'S DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

The following discussion and segmental analysis of our consolidated financial information for FYE 2021 to 2024 should be read with the Accountants' Report included in Section 13.

12.2.1 Overview of our operations

(a) Principal activities

Our Group is principally involved in the provision of geotechnical solutions for erosion control, ground improvement, as well as sediment control, filtration and containment lining. Our geotechnical solutions comprise design, manufacturing and installation of geotechnical solutions using geosynthetics, erosion control and/ or biomass products. We are also involved in the trading of geosynthetics and erosion control products.

Please refer to Section 7 for our Group's detailed business overview.

(b) Revenue

Our revenue comprises the design and installation of geotechnical solutions, trading of geosynthetics and erosion control products and the manufacturing and sale of in-house products. Our revenue is derived from local and overseas markets. Our Group recognises revenue as follows:

Design and installation of geotechnical solutions

Our Group provides design and installation of geotechnical solutions to customers. The products that we use to perform our works under this segment include both products manufactured by us and purchase from our suppliers. Construction service contracts comprise multiple deliverables that require significant integration service and therefore accounted as a single performance obligation.

Under the terms of the contracts, control of the works performed is transferred over time as our Group's performance creates or enhances an asset that the customer controls as it is being created or enhanced. Design and installation services referred to the assets, when they are received and used and it is applicable in the design and installation industry when it is created or enhanced on customer's assets. An asset is transferred when (or as) the customer obtains control of that asset. Based on the terms of the contract and applicable laws, control is transferred over time as our Group's performance does not create an asset with an alternative use to us and we have an enforceable right to payment for performance completed to-date. The progress towards complete satisfaction of a performance obligation is determined by the proportion of construction costs incurred for work performed to date bear to the estimated total construction costs (an input method).

Billings are made with a credit term, which is consistent with market practice, therefore, no element of financing is deemed present. Our Group becomes entitled to invoice customers for the work performed based on achieving a series of performance-related milestones.

12. FINANCIAL INFORMATION *(Cont'd)*

Our Group recognises a contract asset for any excess of revenue recognised to date over the billings-to-date. Any amount previously recognised as a contract asset is reclassified to trade receivables at the point when the invoice is issued or the timing for billing is due to the passage of time. If the milestone billing exceeds the revenue recognised to date and any deposit or advances received from customers, then our Group recognises contract liability for the difference.

Defect liability period is usually 3 to 24 months from the date of the issuance of the final payment certificate as provided by the customers.

Trading of geosynthetics and erosion control products and manufacturing and sale of in-house products

Revenue from the sales of goods is recognised at a point in time when control of the goods has been transferred, being when the customer accepts the delivery of the goods. The products that we sell under these segments are those relating to outright sales, where we do not participate in the design and installation of the products.

(c) Cost of sales

Our cost of sales comprises mainly material costs, subcontractor costs, staff-related costs and depreciation for property, plant and equipment as follows:

(i) Material costs

Our material costs mainly comprise natural materials, synthetic materials, geosynthetics and erosion control products which are used for our manufacturing and sale of in-house products segment, design and installation of geotechnical solutions segment and trading of geosynthetics and erosion control product segment.

(ii) Subcontractor costs

Our subcontractor costs comprise third-party subcontractors we engaged to carry out installation works for our design and installation of geotechnical solutions segment.

(iii) Staff-related costs

Staff-related costs comprise salaries, bonuses, allowances and statutory contributions for the employees of our factory and production department and our operations (design and build) department.

(iv) Depreciation of property, plant and equipment

Depreciation of property, plant and equipment are incurred for the property, plant and equipment used for our production, manufacturing and design and installation activities.

12. FINANCIAL INFORMATION *(Cont'd)*

(d) Other income

Other income comprises mainly reversal of impairment loss on trade receivables, gain on disposal of property, plant and equipment, net realised and unrealised foreign exchange gain, insurance compensation and sales commissions.

(e) Selling and distribution expenses

Selling and distribution expenses comprise mainly transportation costs, staff-related costs and marketing expenses.

(f) Administrative expenses

Administrative expenses comprise mainly staff-related costs, directors' remuneration, depreciation for property, plant and equipment, professional fees and net realised and unrealised loss on foreign exchange.

(g) Other operating expenses

Other operating expenses comprise mainly impairment loss on trade receivables and loss on disposal of investment property.

(h) Finance costs

Finance costs comprise mainly interest expenses on term loans, bankers' acceptance, bank overdrafts and lease liabilities.

(i) Recent developments

(i) Letter from solicitors of Concrete Canvas Technology Ltd ("**Concrete Canvas**")

On 9 July 2024, our Group received a letter ("**Letter**") from the solicitors of Concrete Canvas (the proprietor of Concrete Canvas Patent) alleging that our Group's product known as "Fibrocrete" or "Fibrocrete Cement Blanket" had infringed its Concrete Canvas Patent and our Group's brochure related to "Fibrocrete" or "Fibrocrete Cement Blanket" had reproduced the literary works/artworks with copyright that belong to Concrete Canvas without its consent.

Concrete Canvas, through its solicitors, has requested our Group to, among others, immediately cease all business activities in relation to the "Fibrocrete" or "Fibrocrete Cement Blanket", cease to use our brochure and test report relating to "Fibrocrete" or "Fibrocrete Cement Blanket" as well as literary works/artworks that belong to Concrete Canvas, deliver all the "Fibrocrete" or "Fibrocrete Cement Blanket" including our test report, brochure and materials involving the alleged copyright Infringement for destruction, and execute a letter of undertaking in respect of such matter.

12. FINANCIAL INFORMATION *(Cont'd)*

On 18 July 2024, we replied to Concrete Canvas' allegation through our solicitors that we are not the manufacturer of "Fibrocrete" or "Fibrocrete Cement Blanket" and were not aware of any possible infringement alleged by Concrete Canvas. Notwithstanding the alleged infringement, our Group agreed to amicably settle the matter, strictly without prejudice and without admission of any liability, to cease dealing with "Fibrocrete" or "Fibrocrete Cement Blanket" as well as to cease and remove our Group's brochure, test report and any other marketing materials promoting "Fibrocrete" or "Fibrocrete Cement Blanket". On 27 August 2024, our Group had provided a signed letter of undertaking to Concrete Canvas through our Group's solicitors on our agreement above. As at LPD, our Group had ceased and discontinued any dealings of "Fibrocrete" or "Fibrocrete Cement Blanket". As at LPD, Concrete Canvas has not commenced any legal action or claim against our Group.

Please refer to Section 6.10(i) for further details on the abovementioned.

(ii) Disposal of investment properties

On 9 August 2024, MTS Fibromat (as vendor) entered into a sale and purchase agreement with Law Foong Fah and Law Chee Kian (as purchasers) in relation to the disposal of an investment property (an apartment unit located in Kuala Lumpur) for a cash consideration of RM0.5 million, as detailed in Section 6.5(c). As at LPD, the property has been assigned to the purchasers through a deed of assignment dated 18 December 2024 and the sale and purchase agreement is pending payment of the balance purchase price of RM0.2 million from the purchasers to MTS Fibromat.

On 2 September 2024, MTS Fibromat (as vendor) entered into a sale and purchase agreement with Shaggy Wong Suet Chyi and Choo Chi Hoong (as purchasers) in relation to the disposal of an investment property (an apartment unit located in Kuala Lumpur) for a cash consideration of RM0.6 million, as detailed in Section 6.5(d). The sale and purchase agreement became unconditional on 24 February 2025 and is pending payment of the balance purchase price of RM0.5 million from the purchasers to MTS Fibromat as at LPD. The sale and purchase agreement is expected to complete by 2nd quarter of 2025.

(iii) Acquisition of a building

On 6 March 2025, MTS Fibromat (as purchaser) has accepted an offer to purchase from Klinik Seri Indah (Samudra) Sdn Bhd (as vendor) a 4-storey shop office located in Batu Caves, Selangor, for a cash consideration of RM2.3 million, as detailed in Section 6.5(e). As at LPD, MTS Fibromat has paid an earnest deposit of RM46,880.00 (representing 2% of the purchase consideration). Subsequent to LPD, the parties have entered into a sale and purchase agreement dated 20 March 2025 and MTS Fibromat paid the balance deposit of RM187,520.00 (representing 8.0% of the purchase consideration). The sale and purchase agreement is pending completion and is subject to the State authority's consent on the sale and transfer of the property. The sale and purchase agreement is expected to complete by 3rd quarter of 2025.

The total purchase consideration for the acquisition of the said premises will be funded through a combination of internally generated funds and bank borrowings, of which the proportions will be determined later subject to the Group's negotiation with the financial institution.

12. FINANCIAL INFORMATION *(Cont'd)*

Upon completion of the acquisition of the premises, which is adjoining to our Batu Caves HQ, our office space will be increased to accommodate our existing operations in the same expanded area. As at LPD, the office space of Batu Caves HQ has been fully occupied.

(iv) Islamic Term Financing/ Debt Fundraising

On 14 October 2024, MTS Fibromat accepted a letter of offer from BR Capital to seek for the Islamic Term Financing of up to RM5.0 million through the Debt Fundraising to finance our Group's working capital requirements. The Debt Fundraising was successful and completed on 28 January 2025, being the date of receipt of the subscription sum for the Debt Fundraising. Our Group has executed the following agreements:

(i) Corporate guarantee dated 20 January 2025 from Fibromat to BR Capital in respect of the Islamic Term Financing;

(ii) Murabahah sale contract dated 28 January 2025 between MTS Fibromat and BR Capital; and

(iii) Islamic investment note dated 28 January 2025 issued by MTS Fibromat to all the investors of the Debt Fundraising for a tenure of 2 years with the maturity date on 28 January 2027.

(j) Exceptional and extraordinary items and audit qualifications

There were no exceptional or extraordinary items during FYE 2021 to 2024. In addition, our audited consolidated financial statements for FYE 2021 to 2024 were not subject to any audit qualifications.

(k) Significant accounting policy information, estimates and judgments

Our significant accounting policies information are summarised in Note 3 of the Accountants' Report as set out in Section 13. There are no significant accounting policies or information that are peculiar to our Group because of the nature of our business activities. There were no material changes to our accounting policies and estimates during FYE 2021 to 2024.

The summary of the judgments, estimates and assumptions made in applying accounting policies are disclosed in Note 4 of the Accountants' Report set out in Section 13. There are no key assumptions made concerning the future, and other key sources of estimation uncertainty for FYE 2021 to 2024 that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year of the Accountants' Report set out in Section 13. There are no instances of the application of critical judgment in applying our Group's accounting policies which will have a significant effect on the amounts recognised in the consolidated financial statements.

12. FINANCIAL INFORMATION *(Cont'd)*

12.2.2 Significant factors affecting our revenue

Please refer to Section 9 for the details of risk factors relating to our business and the industry in which we operate in. Some of these risk factors have an impact on our Group's revenue and financial performance. The main factors which affect our revenue and profit include but not limited to the following:

(a) The absence of long-term contracts may result in the fluctuation of our Group's performance

For FYE 2021 to 2024, revenue from our design and installation of geotechnical solutions segment contributed 40.0%, 39.2%, 50.0% and 48.7% to our Group's total revenue respectively, in which the activities are conducted on a project-to-project basis. The absence of long-term contracts is an industry practice due to the nature of our business and the prevailing customer practices where the demand for our products is subject to our customers' needs as and when required. Hence, any adverse economic conditions or slowdowns in the infrastructure construction industry may negatively impact our sales, which will subsequently result in a decline in our financial performance.

For FYE 2021 to 2024, we did not encounter any fluctuations in our financial performance due to the absence of long-term contracts. Nevertheless, there is no assurance that we will be able to consistently secure sufficient sales from existing or new customers, which may, in turn, result in the fluctuation of our Group's financial performance.

Please refer to Section 9.1.3 for further details.

(b) We are exposed to project management risk for our projects

We may be subject to external factors that are beyond our control and which may affect the timely completion of our projects. These include, among others, timely receipt of regulatory approvals and permits required and satisfactory performance of subcontractors appointed. As such, any underestimation of project costs, unanticipated cost overruns and/ or any delays in the implementation of projects may adversely affect our operating cash flow and financial performance. Our reputation and future business opportunities may also be detrimentally affected by project delays caused by us.

Further, we also engage third-party subcontractors to carry out installation work. Any failure of our subcontractor to fulfil their contractual obligations may lead to damages and penalties against our Group if we are unable to handover the projects to our customers according to the pre-agreed schedule in the contracts. As such, our projects may experience delays and cost overrun or poor-quality work attributed to our subcontractors. For FYE 2021 to 2024, we have not encountered incidences where our subcontractors failed to fulfil their contractual obligations, which have had an adverse impact on our business operations and financial performance.

Please refer to Section 9.1.4 for further details.

(c) We may be subject to credit risk and default in payment by our customers

We are exposed to the risk of delays in the collection of our trade receivables and/ or retention sums. Any extended delay in payment from our customers or failure to collect our retention sums may have a material and adverse effect on our cash flow. Please refer to Section 12.8.1 for further details on the fluctuations in our trade receivables turnover period for FYE 2021 to 2024.

12. FINANCIAL INFORMATION *(Cont'd)*

Although we are not experiencing any material delays in collection and/ or non-recoverability of trade receivables and/ or retention sums as at LPD, there is no assurance that we will not face potential cash flow and working capital constraints, should there be any delay and/ or non-collection of any trade receivables and/ or retention sums. Should this occur, this may result in a material adverse impact on our financial condition, our ability to pay our subcontractors and/ or suppliers, and/ or the progress and completion of our projects.

Please refer to Section 9.1.10 for further details.

(d) We are exposed to competition within the geotechnical solutions industry

According to the IMR Report, geotechnical solutions industry in Malaysia comprises pure-play and diversified industry players. Industry players providing geotechnical solutions may also be involved in the manufacturing of certain geosynthetics and erosion control products whereby these industry players may apply the products in their projects, or sell it to other geotechnical engineering firms, contractors and subcontractors for project application, or to geosynthetics suppliers (i.e. trading companies). Our Group competes with existing and new industry players in terms of the range of product offerings, pricing, quality of products and timeliness of delivery.

Failure to remain competitive in the industry may lead to reduced sales, as well as to attract new customers, which will adversely impact our Group's financial performance. Whilst we strive to remain competitive, there can be no assurance that any changes in the competitive environment would not have any material and adverse impact on our business and financial performance.

Please refer to Section 9.2.1 for further details.

(e) The growth of our Group is dependent on the growth of the infrastructure construction industry

The growth of our Group is highly correlated to the growth of the civil engineering sub-sector, which is primarily dependent on public sector spending as civil infrastructure is constructed and upgraded to drive the economic development of the country as well as for the well-being of the nation.

Any political uncertainties or changes in government policies may adversely affect public spending whereby the government may review major infrastructure projects in terms of benefits and cost-effectiveness for the nation as a whole or may reduce spending on infrastructure development. Consequently, this may adversely affect the construction industry and, subsequently the geotechnical solutions industry. Hence, the business prospects and growth of our Group may also be affected should there be a decline in the growth of the overall infrastructure construction industry.

Please refer to Section 9.2.2 for further details.

12. FINANCIAL INFORMATION *(Cont'd)*

12.2.3 Review of our results of operations

(a) Revenue

Analysis of revenue by business segments

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
Business activity	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Design and installation of geotechnical solutions	18,324	40.0	18,801	39.2	34,185	50.0	36,755	48.7
Trading of geosynthetics and erosion control products	17,522	38.3	17,788	37.1	25,325	37.1	25,557	33.9
Manufacturing and sale of in-house products	9,941	21.7	11,364	23.7	8,790	12.9	13,151	17.4
	45,787	**100.0**	**47,953**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**

Analysis of revenue by principal markets

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
Principal markets	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Malaysia	**43,411**	**94.8**	**46,142**	**96.2**	**65,864**	**96.5**	**72,633**	**96.2**
Overseas[1]								
Singapore	1,089	2.4	1,211	2.5	1,787	2.6	2,780	3.7
South Korea	1,200	2.6	3	<0.1	221	0.3	44	<0.1
Others[2]	87	0.2	597	1.3	428	0.6	6	<0.1
	2,376	**5.2**	**1,811**	**3.8**	**2,436**	**3.5**	**2,830**	**3.8**
	45,787	**100.0**	**47,953**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**

12. FINANCIAL INFORMATION *(Cont'd)*

Notes:

(1) The revenue generated from overseas was derived from the trading of geosynthetics and erosion control products and the manufacturing and sale of in-house products.

(2) Comprises mainly Hong Kong, India, UK, Solomon Islands and Thailand.

Comparison between FYE 2021 and FYE 2022

Our revenue increased by RM2.2 million or 4.8% to RM48.0 million in FYE 2022 (FYE 2021: RM45.8 million). This was mainly contributed by the higher revenue recorded for our manufacturing and sale of in-house products and design and installation of geotechnical solutions segments. The Malaysian market was our primary revenue contributor in FYE 2022, contributing RM46.1 million or 96.2% to our total revenue (FYE 2021: RM43.4 million or 94.8%). The overseas market recorded a decrease in revenue by RM0.6 million or 25.0% to RM1.8 million in FYE 2022 (FYE 2021: RM2.4 million), mainly due to lower revenue recorded from South Korea, which resulted from lower sales of woven geotextile and accessories.

Design and installation of geotechnical solutions

Our design and installation of geotechnical solutions segment recorded an increase in revenue of RM0.5 million or 2.7% to RM18.8 million in FYE 2022 (FYE 2021: RM18.3 million), mainly due to higher percentage of completion of a project in relation to provision of design and installation solutions for PVD in Samarahan, Sarawak which contributed to an increase in revenue of RM2.0 million in FYE 2022, coupled with the commencement of project in relation to provision of design and installation solutions for PVD in Sepang, Selangor which contributed to an increase in revenue of RM1.1 million in FYE 2022. However, it was partially offset by lower revenue of RM2.6 million generated from a project in relation to provision of design and installation solutions for geotextiles in Kapar, Selangor as a result of lower percentage of completion in FYE 2022.

Trading of geosynthetics and erosion control products

Our trading of geosynthetics and erosion control products segment recorded an increase in revenue of RM0.3 million or 1.7% to RM17.8 million in FYE 2022 (FYE 2021: RM17.5 million). This was mainly contributed by higher sales of geogrid to our major customer, namely China Communications Construction (ECRL) Sdn Bhd, which recorded an increase in revenue of RM2.8 million in FYE 2022 and partially offset by lower sales of woven geotextile, which recorded a decrease in revenue of RM2.6 million in FYE 2022.

Manufacturing and sale of in-house products

Our manufacturing and sale of in-house products segment recorded an increase in revenue of RM1.4 million or 14.0% to RM11.4 million in FYE 2022 (FYE 2021: RM10.0 million). This was mainly due to higher sales of silt curtains, which recorded an increase in revenue of RM1.3 million in FYE 2022.

12. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2022 and FYE 2023

Our revenue increased by RM20.3 million or 42.3% to RM68.3 million in FYE 2023 (FYE 2022: RM48.0 million). This was mainly contributed by the higher revenue recorded for our design and installation of geotechnical solutions and trading of geosynthetics and erosion control products segment, and partially offset by the lower revenue recorded for our manufacturing and sale of in-house products segment. The Malaysian market remained our primary revenue contributor in FYE 2023, contributing RM65.9 million or 96.5% to our total revenue (FYE 2022: RM46.1 million or 96.2%). The overseas market recorded an increase in revenue by RM0.6 million or 33.3% to RM2.4 million in FYE 2023 (FYE 2022: RM1.8 million), mainly due to higher revenue recorded from higher sales of erosion control blankets in Singapore.

Design and installation of geotechnical solutions

Our design and installation of geotechnical solutions segment recorded an increase in revenue of RM15.4 million or 81.9% to RM34.2 million in FYE 2023 (FYE 2022: RM18.8 million), mainly due to the following:

(i) commencement of a project in relation to the provision of design and installation solutions for PVD in Kuala Langat, Selangor in FYE 2023, which contributed to an increase in revenue of RM2.8 million in FYE 2023;

(ii) commencement of a project in relation to the provision of design and installation solutions for pavement in Bukit Jalor, Negeri Sembilan in FYE 2023, which contributed to an increase in revenue of RM2.5 million in FYE 2023;

(iii) commencement of a project in relation to the provision of design and installation solutions for geogrids in Kota Tinggi, Johor in FYE 2023, which contributed to an increase in revenue of RM1.8 million in FYE 2023;

(iv) commencement of a project in relation to the provision of design and installation for PVD in Seri Tanjung Pinang, Penang in FYE 2023, which contributed to an increase in revenue of RM1.7 million in FYE 2023;

(v) commencement of a project in relation to the provision design and installation solutions for soil nailing in Kulai, Johor in FYE 2023, which contributed to an increase in revenue of RM1.7 million in FYE 2023;

(vi) commencement of a project in relation to the provision of design and installation solutions for geotextiles in Tanjung Karang, Selangor in FYE 2023, which contributed to an increase in revenue of RM1.5 million in FYE 2023; and

(vii) higher percentage of completion of a project in relation to the provision of design and installation for PVD in Samarahan-Sri Aman, Sarawak, which contributed to an increase in revenue of RM1.4 million.

Trading of geosynthetics and erosion control products

Our trading of geosynthetics and erosion control products segment recorded an increase in revenue of RM7.5 million or 42.1% to RM25.3 million in FYE 2023 (FYE 2022: RM17.8 million). This was mainly due to the higher sales of geogrid to our major customer, namely China Communications Construction (ECRL) Sdn Bhd, which recorded an increase in revenue of RM8.5 million in FYE 2023.

12. FINANCIAL INFORMATION *(Cont'd)*

Manufacturing and sale of in-house products

Our manufacturing and sale of in-house products segment recorded a decrease in revenue of RM2.6 million or 22.8% to RM8.8 million in FYE 2023 (FYE 2022: RM11.4 million). This was mainly due to the lower sales of PVD, which recorded a decrease in revenue of RM2.7 million in FYE 2023 as there was lower demand during the year.

Comparison between FYE 2023 and FYE 2024

Our revenue increased by RM7.2 million or 10.5% to RM75.5 million in FYE 2024 (FYE 2023: RM68.3 million). This was mainly contributed by the higher revenue recorded for our design and installation of geotechnical solutions and manufacturing and sale of in-house products segments. The Malaysian market remained our primary revenue contributor in FYE 2024, contributing RM72.6 million or 96.2% to our total revenue (FYE 2023: RM65.9 million or 96.5%).

Design and installation of geotechnical solutions

Our design and installation of geotechnical solutions segment recorded an increase in revenue of RM2.6 million or 7.6% to RM36.8 million in FYE 2024 (FYE 2023: RM34.2 million), mainly due to the following:

(i) commencement of a project in relation to design and installation solutions for soil stabilising agent at Ladang Pasir Besar, Negeri Sembilan in FYE 2024, which contributed to an increase in revenue of RM2.4 million; and

(ii) commencement of a project in relation to provision of design and installation solutions for pavement at Bukit Jalor, Negeri Sembilan in November 2023, which contributed to an increase in revenue of RM2.2 million in FYE 2024.

Such increase was partially offset by the decrease in revenue of RM2.8 million generated from a project in relation to the design and installation for PVD located at Samarahan-Sri Aman, Sarawak as a result of lower percentage of completion in FYE 2024.

Trading of geosynthetics and erosion control products

Our trading of geosynthetics and erosion control products segment recorded an increase in revenue of RM0.3 million or 1.2% to RM25.6 million in FYE 2024 (FYE 2023: RM25.3 million). This was mainly due to the increase in sales of bitumen, woven geotextiles, non-woven geotextiles, gabion and accessories, which collectively recorded an increase in revenue of RM9.6 million in FYE 2024. Such increase was partially offset by the decrease in sales of geogrid by RM9.9 million, primarily due to lower orders from our major customer, namely China Communications Construction (ECRL) Sdn Bhd.

Manufacturing and sale of in-house products

Our manufacturing and sale of in-house products segment recorded an increase in revenue of RM4.3 million or 48.9% to RM13.1 million in FYE 2024 (FYE 2023: RM8.8 million). This was mainly due to higher sales of silt curtain, which recorded an increase in revenue of RM4.3 million in FYE 2024.

12. FINANCIAL INFORMATION *(Cont'd)*

(b) Cost of sales, GP and GP margin

Analysis of cost of sales by cost components

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Material costs								
- Design and installation of geotechnical solutions	7,568	22.3	7,192	19.2	12,667	24.8	12,561	22.9
- Trading of geosynthetics and erosion control products	12,417	36.5	13,150	35.2	16,985	33.2	18,787	34.3
- Manufacturing and sale of in-house products	6,002	17.6	7,527	20.1	3,692	7.2	5,726	10.5
Subcontractor costs	3,831	11.3	4,977	13.3	13,569	26.5	11,415	20.9
Staff-related costs	1,246	3.7	1,579	4.2	1,830	3.6	2,958	5.4
Depreciation of property, plant and equipment	1,246	3.7	1,210	3.2	1,169	2.3	1,369	2.5
Others[(1)]	1,679	4.9	1,783	4.8	1,252	2.4	1,940	3.5
	33,989	**100.0**	**37,418**	**100.0**	**51,164**	**100.0**	**54,756**	**100.0**

Note:

(1) Comprises mainly transportation costs and utilities costs.

Analysis of cost of sales by business segments

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Design and installation of geotechnical solutions	11,580	34.1	12,552	33.5	25,869	50.6	26,117	47.7
Trading of geosynthetics and erosion control products	13,507	39.7	14,245	38.1	17,929	35.0	19,627	35.8
Manufacturing and sale of in-house products	8,902	26.2	10,621	28.4	7,366	14.4	9,012	16.5
	33,989	**100.0**	**37,418**	**100.0**	**51,164**	**100.0**	**54,756**	**100.0**

12. FINANCIAL INFORMATION *(Cont'd)*

Analysis of GP and GP margin by business segments

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	GP	**GP margin**	**GP**	**GP margin**	**GP**	**GP margin**	**GP**	**GP margin**
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Design and installation of geotechnical solutions	6,744	36.8	6,249	33.2	8,316	24.3	10,638	28.9
Trading of geosynthetics and erosion control products	4,015	22.9	3,543	19.9	7,396	29.2	5,930	23.2
Manufacturing and sale of in-house products	1,039	10.5	743	6.5	1,424	16.2	4,139	31.5
	11,798	**25.8**	**10,535**	**22.0**	**17,136**	**25.1**	**20,707**	**27.4**

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12. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2021 and FYE 2022

Our cost of sales increased by RM3.4 million or 10.0% to RM37.4 million in FYE 2022 (FYE 2021: RM34.0 million), which was higher than our revenue growth rate of 4.8% in FYE 2022. As such, our GP decreased by RM1.2 million or 10.2% to RM10.6 million in FYE 2022 (FYE 2021: RM11.8 million), and our overall GP margin decreased to 22.0% in FYE 2022 (FYE 2021: 25.8%).

The increase in cost of sales was primarily due to the increase in material costs for the trading of geosynthetics and erosion control products segment, and the manufacturing and sale of in-house products segment, which increased by RM2.3 million or 12.5% to RM20.7 million in FYE 2022 (FYE 2021: RM18.4 million), as well as the increase in subcontractor costs for the design and installation of geotechnical solutions segment, which increased by RM1.2 million or 31.6% to RM5.0 million in FYE 2022 (FYE 2021: RM3.8 million).

Our overall GP margin decreased to 22.0% in FYE 2022 (FYE 2021: 25.8%), resulted from the lower GP margin recorded for all our segments in FYE 2022.

Design and installation of geotechnical solutions

Our cost of sales for the design and installation of geotechnical solutions segment increased by RM1.0 million or 8.6% to RM12.6 million in FYE 2022 (FYE 2021: RM11.6 million), which was higher than our revenue growth rate of 2.7% in FYE 2022. As such, the GP for this segment decreased by RM0.5 million or 7.5% to RM6.2 million in FYE 2022 (FYE 2021: RM6.7 million) and the GP margin decreased to 33.2% in FYE 2022 (FYE 2021: 36.8%).

The decrease in GP margin recorded in FYE 2022 was primarily due to the lower GP margin recorded for a project in relation to the provision of design and installation solutions for the omega retaining wall in Kulai, Johor in FYE 2022, mainly due to unanticipated costs incurred for the rework performed on the retaining wall, which was RM0.5 million higher than the estimated costs of the project. Additionally, there was a project in relation to the provision of design and installation solutions for PVD in Klang, Selangor in FYE 2021, which we were able to negotiate for a higher margin due to higher contract sum negotiated. This has contributed to higher GP margin for this segment in FYE 2021.

Trading of geosynthetics and erosion control products

Our cost of sales for the trading of geosynthetics and erosion control products segment increased by RM0.7 million or 5.2% to RM14.2 million in FYE 2022 (FYE 2021: RM13.5 million), which was higher than the increase in revenue of 1.7% in FYE 2022. As such, the GP for this segment decreased by RM0.4 million or 10.0% to RM3.6 million in FYE 2022 (FYE 2021: RM4.0 million) and the GP margin decreased to 19.9% in FYE 2022 (FYE 2021: 22.9%).

The lower GP margin recorded in FYE 2022 was primarily due to higher costs incurred for the immediate procurement of geogrid to meet the demand of our major customer, namely China Communications Construction (ECRL) Sdn Bhd. The higher costs for these purchases resulted in a decrease in GP margin during FYE 2022. We did not pass on the higher cost of purchases to the said customer in anticipation of additional orders from projects to be awarded by them. For avoidance of doubt, the decision on whether to pass down the increased costs to our customers is made on a case-by-case basis, taking into account factors such as anticipated additional orders, the length of relationships with customers and competitive market pricing.

12. FINANCIAL INFORMATION *(Cont'd)*

Manufacturing and sale of in-house products

Our cost of sales for the manufacturing and sale of in-house products segment increased by RM1.7 million or 19.1% to RM10.6 million in FYE 2022 (FYE 2021: RM8.9 million), which was higher than our revenue growth rate of 14.0% in FYE 2022. As such, the GP for this segment decreased by RM0.3 million or 27.3% to RM0.8 million in FYE 2022 (FYE 2021: RM1.1 million), and our GP margin decreased to 6.5% in FYE 2022 (FYE 2021: 10.5%).

The lower GP margin recorded in FYE 2022 was primarily due to the normalisation of average selling prices for our erosion control blanket during FYE 2022. The higher average selling prices for our erosion control blanket in FYE 2021 were mainly due to shortage of supply of erosion control blanket as a result of global supply chain disruption caused by COVID-19 and longer shipping duration.

Comparison between FYE 2022 and FYE 2023

Our total cost of sales increased by RM13.8 million or 36.9% to RM51.2 million in FYE 2023 (FYE 2022: RM37.4 million), which was lower than our revenue growth rate of 42.3% in FYE 2023. As such, our GP increased by RM6.5 million or 61.3% to RM17.1 million in FYE 2023 (FYE 2022: RM10.6 million), and our overall GP margin increased to 25.1% in FYE 2023 (FYE 2022: 22.0%).

The increase in cost of sales was primarily due to the increase in material costs for the trading of geosynthetics and erosion control products segment, and the design and installation of geotechnical solutions segment, which increased by RM9.4 million or 46.3% to RM29.7 million in FYE 2023 (FYE 2022: RM20.3 million), as well as the increase in subcontractor costs for the design and installation of geotechnical solutions segment, which increased by RM8.6 million or 172.0% to RM13.6 million in FYE 2023 (FYE 2022: RM5.0 million).

Our overall GP margin increased to 25.1% in FYE 2023 (FYE 2022: 22.0%), resulted from the higher GP margin recorded for our trading of geosynthetics and erosion control products segment and manufacturing and sale of in-house products segment, partially offset by the lower GP margin recorded for our design and installation of geotechnical solutions segment.

Design and installation of geotechnical solutions

Our cost of sales for the design and installation of geotechnical solutions segment increased by RM13.3 million or 105.6% to RM25.9 million in FYE 2023 (FYE 2022: RM12.6 million), which was higher than our revenue growth rate of 81.9% in FYE 2023. As such, despite the GP for this segment increased by RM2.1 million or 33.9% to RM8.3 million in FYE 2023 (FYE 2022: RM6.2 million), our GP margin decreased to 24.3% in FYE 2023 (FYE 2022: 33.2%).

The lower GP margin recorded in FYE 2023 was primarily due to the following:

(i) commencement of 8 projects in relation to the provision of design and installation solutions for pavements in Seremban, Negeri Sembilan and Mersing and Batu Pahat, Johor in FYE 2023, which yielded a lower GP margin due to the relatively lower complexity scope of work;

(ii) commencement of 2 projects in relation to the provision of design and installation solutions for PVD located in Kuala Langat, Selangor and Tangkak, Johor, which recorded a lower GP margin in FYE 2023 as a result of a lower contract sum negotiated, which was driven by competitive prices in the market; and

(iii) a project in relation to the provision of design and installation solutions for PVD in Seri Tanjung Pinang (Phase 2B and 2C), Penang recorded a gross loss of RM0.02 million and a gross loss margin of 1.3% in FYE 2023 due to mutual termination of the project, as there were safety concerns regarding the barge's safety and fitness for operation for our employees.

Trading of geosynthetics and erosion control products

Our cost of sales for the trading of geosynthetics and erosion control products segment increased by RM3.7 million or 26.1% to RM17.9 million in FYE 2023 (FYE 2022: RM14.2 million), which was lower than our revenue growth rate of 42.1% in FYE 2023. As such, the GP for this segment increased by RM3.8 million or 105.6% to RM7.4 million in FYE 2023 (FYE 2022: RM3.6 million) and the GP margin increased to 29.2% in FYE 2023 (FYE 2022: 19.9%). The higher GP margin recorded in FYE 2023 was primarily due to the bulk purchase of geogrid from our major supplier, namely Taian Road Engineering Materials Co Ltd, which enabled us to obtain better pricing, thus resulted in lower costs incurred.

Manufacturing and sale of in-house products

Our cost of sales for the manufacturing and sale of in-house products segment decreased by RM3.2 million or 30.2% to RM7.4 million in FYE 2023 (FYE 2022: RM10.6 million), which was higher than the decrease in revenue of 22.8% in FYE 2023. As such, the GP for this segment increased by RM0.6 million or 75.0% to RM1.4 million in FYE 2023 (FYE 2022: RM0.8 million) and the GP margin increased to 16.2% in FYE 2023 (FYE 2022: 6.5%).

The higher GP margin recorded in FYE 2023 was primarily driven by the sales of erosion control blankets. During FYE 2023, there were higher sales of erosion control blankets with higher specifications due to customers' requirements. As such, we were able to secure higher selling prices, resulted in the higher GP margin in FYE 2023.

Comparison between FYE 2023 and FYE 2024

Our total cost of sales increased by RM3.6 million or 7.0% to RM54.8 million in FYE 2024 (FYE 2023: RM51.2 million), which was lower than our revenue growth rate of 10.5% in FYE 2024. As such, our GP increased by RM3.6 million or 21.1% to RM20.7 million in FYE 2024 (FYE 2023: RM17.1 million), and our overall GP margin increased to 27.4% in FYE 2024 (FYE 2023: 25.1%).

The increase in cost of sales was primarily due to the increase in materials costs for the trading of geosynthetics and erosion control products and the manufacturing and sale of in-house products segments, which collectively increased by RM3.8 million or 18.4% to RM24.5 million in FYE 2024 (FYE 2023: 20.7 million). Additionally, our staff-related costs increased by RM1.2 million or 66.7% to RM3.0 million in FYE 2024 (FYE 2023: RM1.8 million), mainly due to the increase in the number of employees in our factory and production department as well as operations (design and build) department from 41 headcount as at 31 December 2023 to 60 headcount as at 31 December 2024. Such increase was partially offset by the decrease in subcontractor costs for the design and installation of geotechnical solutions segment, which decreased by RM2.2 million or 16.2% to RM11.4 million in FYE 2024 (FYE 2023: RM13.6 million).

Our overall GP margin increased to 27.4% in FYE 2024 (FYE 2023: 25.1%), resulted from the higher GP margin recorded for our design and installation of geotechnical solutions and manufacturing and sale of in-house products segments. This was partially offset by the lower GP margin recorded for our trading of geosynthetics and erosion control products segment.

12. FINANCIAL INFORMATION *(Cont'd)*

Design and installation of geotechnical solutions

Our cost of sales for the design and installation of geotechnical solutions segment increased by RM0.2 million or 0.8% to RM26.1 million in FYE 2024 (FYE 2023: RM25.9 million), which was lower than our revenue growth rate of 7.6% in FYE 2024. As such, the GP for this segment increased by RM2.4 million or 28.9% to RM10.7 million in FYE 2024 (FYE 2023: RM8.3 million) and the GP margin increased to 28.9% in FYE 2024 (FYE 2023: 24.3%).

The higher GP margin recorded in FYE 2024 was primarily due to the following:

(i) commencement of 3 projects in relation to the provision of design and installation solutions for erosion control blankets and hydroseeding for the Pan-Borneo Highway at Sabah, which yielded a higher GP margin as the installation works were performed by the in-house team. The higher GP margin for these projects was also due to higher contract sum negotiated; and

(ii) commencement of a project in relation to the provision of design and installation solutions for geogrid at Seremban, Negeri Sembilan, which yielded a higher GP margin due to higher complexity scope of work.

Trading of geosynthetics and erosion control products

Our cost of sales for the trading of geosynthetics and erosion control products segment increased by RM1.7 million or 9.5% to RM19.6 million in FYE 2024 (FYE 2023: RM17.9 million), which was higher than our revenue growth rate of 1.2% in FYE 2024. As such, the GP for this segment decreased by RM1.5 million or 20.3% to RM5.9 million in FYE 2024 (FYE 2023: RM7.4 million) and the GP margin decreased to 23.2% in FYE 2024 (FYE 2023: 29.2%). The lower GP margin recorded in FYE 2024 was primarily due to lower orders from China Communications Construction (ECRL) Sdn Bhd for the sales of geogrid. The decrease in GP margin was also attributable to the sales of bitumen in FYE 2024, which generally yields a lower GP margin.

Manufacturing and sale of in-house products

Our cost of sales for the manufacturing and sale of in-house products segment increased by RM1.7 million or 23.0% to RM9.1 million in FYE 2024 (FYE 2023: RM7.4 million), which was lower than the increase in revenue of 48.9% in FYE 2024. As such, the GP for this segment increased by RM2.7 million or 192.9% to RM4.1 million in FYE 2024 (FYE 2023: RM1.4 million), and the GP margin increased to 31.5% in FYE 2024 (FYE 2023: 16.2%).

The higher GP margin recorded in FYE 2024 was mainly due to the increase in sales of silt curtain to customers in Singapore as well as the increase in sales of silt curtain with higher specifications, which collectively allowed us to secure higher selling prices.

12. FINANCIAL INFORMATION *(Cont'd)*

(c) Other income

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Interest income	29	2.2	26	2.8	29	4.0	26	4.4
Insurance compensation	43	3.3	-	-	-	-	134	22.5
Net unrealised foreign exchange gain	17	1.3	96	10.2	130	18.1	-	-
Net realised foreign exchange gain	22	1.7	-	-	-	-	242	40.7
Reversal of impairment loss on trade receivables[(1)]	1,089	84.2	569	60.5	117	16.3	82	13.8
Government subsidies[(2)]	-	-	42	4.4	29	4.0	-	-
Sales commissions	94	7.3	-	-	121	16.8	-	-
Trade payables written back[(3)]	-	-	67	7.1	-	-	-	-
Gain on disposal of property, plant and equipment	-	-	111	11.8	255	35.4	13	2.2
Refund of tender deposits	-	-	-	-	-	-	75	12.6
Miscellaneous sales[(4)]	-	-	-	-	-	-	23	3.8
Others[(5)]	-	-	30	3.2	39	5.4	-	-
	1,294	**100.0**	**941**	**100.0**	**720**	**100.0**	**595**	**100.0**

Notes:

(1) Relates to reversal of impairment loss on trade receivables resulted from collection of trade receivables impaired in prior years.

(2) Relates to subsidies provided by the Government in relation to the Prihatin Programme and Penjana Kerjaya Programme.

(3) Relates to reimbursement received from suppliers in relation to damaged goods.

(4) Relates to sales of computers, software and site cabin upon request.

(5) Comprises mainly trademark infringement compensation received from a third party for their unauthorised use of our name i.e. Fibromat, rental income from investment property and bad debts recovered.

12. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2021 and FYE 2022

Our other income decreased by RM0.4 million or 30.8% to RM0.9 million in FYE 2022 (FYE 2021: RM1.3 million). This was mainly due to the decrease in reversal of impairment loss on trade receivables to RM0.6 million in FYE 2022 (FYE 2021: RM1.1 million), due to lower payments recovered from the impaired trade receivables.

Such decrease was partially offset by the gain on disposal of property, plant and equipment of RM0.1 million in FYE 2022 (FYE 2021: RM Nil), resulted from the disposal of 4 motor vehicles to third parties.

Comparison between FYE 2022 and FYE 2023

Our other income decreased by RM0.2 million or 22.2% to RM0.7 million in FYE 2023 (FYE 2022: RM0.9 million). This was mainly due to the decrease in reversal of impairment loss on trade receivables to RM0.1 million in FYE 2023 (FYE 2022: RM0.6 million), due to lower payments recovered from the impairment trade receivables.

Such decrease was partially offset by the following:

(i) gain on disposal of property, plant and equipment increased to RM0.3 million in FYE 2023 (FYE 2022: RM0.1 million), resulted from the disposal of 4 motor vehicles to third parties; and

(ii) sales commissions increased to RM0.1 million in FYE 2023 (FYE 2022: RM Nil), due to commissions received from our supplier, following a direct purchase made by one of our customers from the said supplier.

Comparison between FYE 2023 and FYE 2024

Our other income decreased by RM0.1 million or 14.3% to RM0.6 million in FYE 2024 (FYE 2023: RM0.7 million), mainly due to the decrease in gain on disposal of property, plant and equipment to RM13,000 in FYE 2024 (FYE 2023: RM0.3 million). The gain on disposal of property, plant and equipment in FYE 2023 resulted from the disposal of 4 motor vehicles to third parties.

Such decrease was partially offset by the increase in net realised foreign exchange gain to RM0.2 million in FYE 2024 (FYE 2023: RM Nil), mainly due to favourable RM to USD exchange rate movements.

12. FINANCIAL INFORMATION *(Cont'd)*

(d) Selling and distribution expenses

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Staff-related costs	458	26.4	527	23.9	495	21.8	551	26.0
Travelling expenses	42	2.4	67	3.0	60	2.6	75	3.5
Utilities and postages	26	1.5	20	0.9	21	0.9	31	1.5
Transportation costs	989	57.0	1,448	65.7	1,511	66.5	1,335	62.9
Marketing expenses	19	1.1	-	-	27	1.2	15	0.7
Sales commission	118	6.8	7	0.3	21	0.9	25	1.2
Others[(1)]	83	4.8	136	6.2	139	6.1	90	4.2
	1,735	**100.0**	**2,205**	**100.0**	**2,274**	**100.0**	**2,122**	**100.0**

Note:

(1) Comprises mainly upkeep expenses incurred for motor vehicles, computers and office equipment as well as tender fees.

Comparison between FYE 2021 and FYE 2022

Our selling and distribution expenses increased by RM0.5 million or 29.4% to RM2.2 million in FYE 2022 (FYE 2021: RM1.7 million). This was mainly due to the increase in transportation costs to RM1.4 million in FYE 2022 (FYE 2021: RM1.0 million) due to the higher freight charges incurred for shipments to Sarawak.

Comparison between FYE 2022 and FYE 2023

Our selling and distribution expenses did not fluctuate significantly from FYE 2022 to 2023.

Comparison between FYE 2023 and FYE 2024

Our selling and distribution expenses did not fluctuate significantly from FYE 2023 to 2024.

12. FINANCIAL INFORMATION *(Cont'd)*

(e) Administrative expenses

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Staff-related costs	752	32.9	693	24.7	780	26.6	900	21.6
Directors' remuneration	493	21.6	635	22.6	698	23.8	765	18.4
Depreciation for property, plant and equipment	349	15.3	502	17.9	547	18.6	485	11.7
Professional fees	318	13.9	470	16.8	210	7.2	1,448	34.8
Utilities and postages	42	1.8	54	1.9	67	2.3	74	1.8
Net realised loss on foreign exchange	-	-	65	2.3	214	7.3	-	-
Net unrealised loss on foreign exchange	-	-	-	-	-	-	17	0.4
Insurance expenses	122	5.3	78	2.8	166	5.7	137	3.3
Upkeep expenses	63	2.8	91	3.2	65	2.2	79	1.9
Others[(1)]	145	6.4	220	7.8	183	6.3	252	6.1
	2,284	**100.0**	**2,808**	**100.0**	**2,930**	**100.0**	**4,157**	**100.0**

Note:

(1) Comprises mainly printing and stationery, stamp duties and licences renewal expenses.

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12. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2021 and FYE 2022

Our administrative expenses increased by RM0.5 million or 21.7% to RM2.8 million in FYE 2022 (FYE 2021: RM2.3 million). This was mainly due to the following:

(i) directors' remuneration increased to RM0.6 million in FYE 2022 (FYE 2021: RM0.5 million), mainly due to salary adjustments during FYE 2022;

(ii) depreciation of property, plant and equipment increased to RM0.5 million in FYE 2022 (FYE 2021: RM0.3 million), mainly due to additions of property, plant and equipment during FYE 2022; and

(iii) professional fees increased to RM0.5 million in FYE 2022 (FYE 2021: RM0.3 million), mainly due to legal fees incurred for a new term loan facility, professional fees incurred for the SJPP guarantee scheme, as well as professional fees incurred for the valuation of our Rasa Factory.

Comparison between FYE 2022 and FYE 2023

Our administrative expenses increased by RM0.1 million or 3.6% to RM2.9 million in FYE 2023 (FYE 2022: RM2.8 million). This was mainly due to the following:

(i) net realised loss on foreign exchange increased to RM0.2 million in FYE 2023 (FYE 2022: RM0.1 million), mainly due to unfavourable RM to USD and RM to RMB exchange rate movements; and

(ii) insurance expenses increased to RM0.2 million in FYE 2023 (FYE 2022: RM0.1 million), mainly due to the increase in level term insurance in relation to term loans, resulting from the additional drawdown of term loans.

Such increase was partially offset by the decrease in professional fees to RM0.2 million in FYE 2023 (FYE 2022: RM0.5 million). The higher professional fees incurred in FYE 2022 was mainly due to legal fees incurred for a new term loan facility, professional fees incurred for the SJPP guarantee scheme, as well as professional fees incurred for the valuation of our Rasa Factory.

Comparison between FYE 2023 and FYE 2024

Our administrative expenses increased by RM1.3 million or 44.8% to RM4.2 million in FYE 2024 (FYE 2023: RM2.9 million). This was mainly due to the increase in professional fees to RM1.4 million in FYE 2024 (FYE 2023: RM0.2 million) due to expenses incurred for our Transfer of Listing and IPO.

12. FINANCIAL INFORMATION *(Cont'd)*

(f) Other operating expenses

	Audited							
	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Property, plant and equipment written off	27	3.9	-	-	-	-	-	-
Tax penalty	79	11.6	-	-	-	-	-	-
Impairment loss on trade receivables	578	84.5	77	100.0	376	100.0	366	68.5
Loss on disposal of investment property	-	-	-	-	-	-	168	31.5
	684	**100.0**	**77**	**100.0**	**376**	**100.0**	**534**	**100.0**

Comparison between FYE 2021 and FYE 2022

Our other operating expenses decreased by RM0.6 million or 85.7% to RM0.1 million in FYE 2022 (FYE 2021: RM0.7 million). This was mainly due to the decrease in impairment loss on trade receivables to RM0.1 million in FYE 2022 (FYE 2021: RM0.6 million) due to lower general expected credit loss provided in FYE 2022 as a result of improved collections during FYE 2022.

Comparison between FYE 2022 and FYE 2023

Our other operating expenses increased by RM0.3 million or 300.0% to RM0.4 million in FYE 2023 (FYE 2022: RM0.1 million), mainly due to higher impairment loss on trade receivables provided in FYE 2023 in relation to the assessment of the expected credit loss.

Comparison between FYE 2023 and FYE 2024

Our other operating expenses increased by RM0.1 million or 25.0% to RM0.5 million in FYE 2024 (FYE 2023: RM0.4 million), mainly due to loss on disposal of investment property of RM0.2 million arising from one of our investment property located in Cheras, Kuala Lumpur.

12. FINANCIAL INFORMATION *(Cont'd)*

(g) Finance costs

	Audited							
	FYE 2021		**FYE 2022**		**FYE 2023**		**FYE 2024**	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Term loans	324	59.9	583	61.2	634	60.6	560	52.9
Bankers' acceptance	42	7.8	220	23.1	257	24.5	231	21.8
Bank overdrafts	24	4.4	58	6.1	53	5.1	101	9.6
Lease liabilities	76	14.0	59	6.2	62	5.9	126	11.9
Bank charges	75	13.9	32	3.4	41	3.9	40	3.8
	541	**100.0**	**952**	**100.0**	**1,047**	**100.0**	**1,058**	**100.0**

Comparison between FYE 2021 and FYE 2022

Our finance costs increased by RM0.5 million or 100.0% to RM1.0 million in FYE 2022 (FYE 2021: RM0.5 million). This was mainly due to the following:

(i) finance costs for term loans increased to RM0.6 million in FYE 2022 (FYE 2021: RM0.3 million), mainly due to the drawdown of a term loan during FYE 2022 for working capital purposes; and

(ii) finance costs for bankers' acceptances increased to RM0.2 million in FYE 2022 (FYE 2021: RM0.04 million), mainly due to the higher drawdown of bankers' acceptances for payments to our suppliers.

Comparison between FYE 2022 and FYE 2023

Our finance costs did not fluctuate significantly from FYE 2022 to 2023.

Comparison between FYE 2023 and FYE 2024

Our finance costs did not fluctuate significantly from FYE 2023 to 2024.

12. FINANCIAL INFORMATION *(Cont'd)*

(h) PBT, PAT, PBT margin and PAT margin

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
PBT (RM'000)	7,848	5,434	11,229	13,431
PBT margin (%)	17.1	11.3	16.4	17.8
PAT (RM'000)	5,753	3,537	8,490	9,974
PAT margin (%)	12.6	7.4	12.4	13.2

Comparison between FYE 2021 and FYE 2022

We recorded a decrease in PBT of RM2.5 million or 31.6% to RM5.4 million in FYE 2022 (FYE 2021: RM7.9 million) and our PBT margin decreased from 17.1% in FYE 2021 to 11.3% in FYE 2022. The decrease in PBT and PBT margin was mainly due to lower GP and GP margin recorded, as explained in Section 12.2.3(b) as well as lower other income and higher administrative expenses recorded, as explained in Sections 12.2.3(c) and 12.2.3(e) respectively.

Correspondingly, our PAT decreased by RM2.3 million or 39.7% to RM3.5 million in FYE 2022 (FYE 2021: RM5.8 million) and our PAT margin decreased from 12.6% in FYE 2021 to 7.4% in FYE 2022.

Comparison between FYE 2022 and FYE 2023

We recorded an increase in PBT of RM5.8 million or 107.4% to RM11.2 million in FYE 2023 (FYE 2022: RM5.4 million) and our PBT margin increased from 11.3% in FYE 2022 to 16.4% in FYE 2023. The increase in PBT and PBT margin was mainly due to higher GP and GP margin recorded, as explained in Section 12.2.3(b).

Correspondingly, our PAT increased by RM5.0 million or 142.9% to RM8.5 million in FYE 2023 (FYE 2022: RM3.5 million) and our PAT margin increased from 7.4% in FYE 2022 to 12.4% in FYE 2023.

Comparison between FYE 2023 and FYE 2024

We recorded an increase in PBT of RM2.2 million or 19.6% to RM13.4 million in FYE 2024 (FYE 2023: RM11.2 million) and our PBT margin increased from 16.4% in FYE 2023 to 17.8% in FYE 2024. The increase in PBT and PBT margin was mainly due to the higher GP and GP margin recorded, as explained in Section 12.2.3(b), narrowed by the higher administrative expenses and other operating expenses as explained in Sections 12.2.3(e) and 12.2.3(f) respectively.

Correspondingly, our PAT increased by RM1.5 million or 17.6% to RM10.0 million in FYE 2024 (FYE 2023: RM8.5 million) and our PAT margin increased from 12.4% in FYE 2023 to 13.2% in FYE 2024.

12. FINANCIAL INFORMATION *(Cont'd)*

(i) Income tax expense

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
Tax expense (RM'000)	2,095	1,897	2,739	3,457
Statutory tax rate (%)	24.0	24.0	24.0	24.0
Effective tax rate (%)[(1)]	26.7	34.9	24.4	25.7

Note:

(1) Calculated based on income tax expense over PBT for each financial year.

On 17 March 2022, MTS Fibromat was granted the tax incentive by the Malaysian Investment Development Authority for Investment Tax Allowance under the Green Technology project. The tax incentive was granted for a period of 3 years, from 17 March 2022 to 16 March 2025, whereby MTS Fibromat is eligible for investment tax allowance of up to 100% on capital expenditure for qualifying green technology projects for business or own consumption, or purchase of qualifying green technology assets. Our Group incurred a total of RM0.9 million in FYE 2022 for the installation of solar panel system that qualifies as green technology asset, which are eligible for tax allowance.

Comparison between FYE 2021 and FYE 2022

Our tax expenses decreased by RM0.2 million or 9.5% to RM1.9 million in FYE 2022 (FYE 2021: RM2.1 million), mainly due to lower PBT recorded in FYE 2022.

Our effective tax rate in FYE 2021 was 26.7%, which was higher than the statutory tax rate of 24.0%, mainly due to the underprovision of RM0.3 million from the previous year's tax payable.

Our effective tax rate in FYE 2022 was 34.9% which was higher than the statutory tax rate of 24.0%, mainly due to deferred tax expenses of RM0.7 million arising from the temporary differences on the property, plant and equipment and the reversal of deferred tax assets attributable to write off of previously impaired receivables.

Comparison between FYE 2022 and FYE 2023

Our tax expenses increased by RM0.8 million or 42.1% to RM2.7 million in FYE 2023 (FYE 2022: RM1.9 million), mainly due to higher PBT recorded in FYE 2023. Our effective tax rate for FYE 2023 did not fluctuate significantly from the statutory tax rate.

Comparison between FYE 2023 and FYE 2024

Our tax expenses increased by RM0.7 million or 25.9% to RM3.4 million in FYE 2024 (FYE 2023: RM2.7 million), mainly due to higher PBT recorded in FYE 2024. Our effective tax rate for FYE 2024 did not fluctuate significantly from the statutory tax rate.

12. FINANCIAL INFORMATION *(Cont'd)*

12.2.4 Review of cash flows

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Net cash from/ (used in) operating activities	4,687	(136)	12,766	3,992
Net cash used in investing activities	(2,079)	(1,215)	(100)	(1,053)
Net cash used in financing activities	(4,116)	(2,548)	(9,158)	(2,599)
Net (decrease)/ increase in cash and cash equivalents	**(1,508)**	**(3,899)**	**3,508**	**340**
Cash and cash equivalents at the beginning of the financial year	5,897	4,406	603	4,137
Effect of exchange rate changes on cash and cash equivalents	17	96	26	17
Cash and cash equivalents at the end of the financial year	**4,406**	**603**	**4,137**	**4,494**

FYE 2021

Net cash from operating activities

For FYE 2021, we recorded a net operating cash inflow of RM4.7 million. We collected RM42.7 million from customers as well as receipts of other operating income of RM0.2 million which comprised mainly sales commissions, insurance compensation and interests received. This was partially offset by payments of RM38.2 million for the following:

(a) RM32.3 million paid to our trade suppliers;

(b) RM3.5 million paid for our other operating expenses and staff-related costs;

(c) income tax paid of RM2.3 million; and

(d) interests paid of RM0.1 million.

Net cash used in investing activities

For FYE 2021, we recorded a net cash outflow of RM2.1 million for investing activities mainly due to the purchase of property, plant and equipment amounting to RM2.1 million, comprising mainly plastic extrusion line and its related accessories for our production activities.

12. FINANCIAL INFORMATION *(Cont'd)*

Net cash used in financing activities

For FYE 2021, we recorded a net cash outflow of RM4.1 million for financing activities, mainly due to the net effects of the following:

(a) drawdown of bankers' acceptances amounting to RM8.4 million for payments to our suppliers;

(b) repayment of bankers' acceptances amounting to RM5.3 million;

(c) dividends paid of RM5.0 million in respect of FYE 2020;

(d) repayment of term loans amounting to RM1.2 million;

(e) repayment of lease liabilities amounting to RM0.6 million pursuant to the hire purchase facilities for motor vehicles and plant and machinery; and

(f) interests paid of RM0.4 million.

FYE 2022

Net cash used in operating activities

For FYE 2022, we recorded a net operating cash outflow of RM0.1 million, mainly due to the increase in trade and other receivables of RM4.9 million. This is primarily due to delayed payments from our customers in the design and installation of geotechnical solutions segment, as they rely on payments received from main contractors. We collected RM41.9 million from customers as well as receipt of other operating income of RM0.1 million which comprised mainly government grants and interest received. This was partially offset by payments of RM42.5 million for the following:

(a) RM37.0 million paid to our trade suppliers;

(b) RM3.8 million paid for our other operating expenses and staff-related costs;

(c) income tax paid, net of tax refunded amounting to RM1.2 million; and

(d) interests paid of RM0.1 million.

Net cash used in investing activities

For FYE 2022, we recorded a net cash outflow of RM1.2 million for investing activities mainly due to the purchase of property, plant and equipment amounting to RM1.3 million, mainly comprising installation cost for solar panel system. This was partially offset by the proceeds from the disposal of motor vehicles amounting to RM0.1 million.

12. FINANCIAL INFORMATION *(Cont'd)*

Net cash used in financing activities

For FYE 2022, we recorded a net cash outflow of RM2.6 million for financing activities, mainly due to the net effects of the following:

(a) drawdown of bankers' acceptances amounting to RM9.5 million for payments to our suppliers;

(b) repayment of bankers' acceptances amounting to RM10.2 million;

(c) dividends paid of RM3.0 million in respect of FYE 2021;

(d) drawdown of term loans amounting to RM4.4 million to for working capital purposes;

(e) repayment of term loans amounting to RM1.6 million;

(f) interests paid of RM1.0 million; and

(g) repayment of lease liabilities amounting to RM0.7 million pursuant to the hire purchase facilities for motor vehicles and plant and machinery.

FYE 2023

Net cash from operating activities

For FYE 2023, we recorded a net operating cash inflow of RM12.8 million. We collected RM62.5 million from customers as well as receipt of other operating income of RM0.2 million which comprised mainly sales commissions and interest received. This was partially offset by payments of RM49.9 million for the following:

(a) RM43.3 million paid to our trade suppliers;

(b) RM4.8 million paid for our other operating expenses and staff-related costs;

(c) income tax paid of RM1.7 million; and

(d) interests paid of RM0.1 million.

Net cash used in investing activities

For FYE 2023, we recorded a net cash outflow of RM0.1 million for investing activities mainly due to the purchase of plant and machinery, equipment and tools, office equipment and laboratory equipment of RM0.4 million. This was partially offset by the proceeds from the disposal of property, plant and equipment amounting to RM0.3 million.

12. FINANCIAL INFORMATION *(Cont'd)*

Net cash used in financing activities

For FYE 2023, we recorded a net cash outflow of RM9.2 million for financing activities, mainly due to the net effects of the following:

(a) drawdown of bankers' acceptances amounting to RM13.6 million for working capital purposes;

(b) repayment of bankers' acceptances amounting to RM17.1 million;

(c) dividends paid of RM2.2 million in respect of FYE 2022;

(d) repayment of term loans amounting to RM2.0 million;

(e) interests paid of RM1.0 million; and

(f) repayment of lease liabilities amounting to RM0.5 million pursuant to the hire purchase facilities for motor vehicles and plant and machinery.

FYE 2024

Net cash from operating activities

For FYE 2024, we recorded a net operating cash inflow of RM4.0 million. We collected RM67.4 million from customers as well as receipt of other operating income of RM0.1 million which comprised mainly insurance compensation and interest received. This was partially offset by payments of RM63.5 million for the following:

(a) RM53.7 million paid to our trade suppliers;

(b) RM6.4 million paid for our other operating expenses and staff-related costs;

(c) income tax paid of RM3.3 million; and

(d) interests paid of RM0.1 million.

Net cash used in investing activities

For FYE 2024, we recorded a net cash outflow of RM1.1 million for investing activities mainly due to the purchase of plant and equipment for our production activities.

12. FINANCIAL INFORMATION *(Cont'd)*

Net cash used in financing activities

For FYE 2024, we recorded a net cash outflow of RM2.6 million from financing activities, mainly due to the net effects of the following:

(a) drawdown of term loans amounting to RM0.4 million;

(b) repayment of term loans amounting to RM2.2 million;

(c) drawdown of bankers' acceptance amounting to RM12.2 million;

(d) repayment of bankers' acceptance amounting to RM9.3 million;

(e) repayment of lease liabilities amounting to RM0.7 million;

(f) interests paid of RM0.9 million; and

(g) dividends paid of RM2.1 million.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.3 LIQUIDITY AND CAPITAL RESOURCES

12.3.1 Working capital

We finance our operations with cash generated from operations, supplier's credit, various credit facilities extended by financial institutions as well as existing cash and bank balances. Our credit facilities from financial institutions comprise bankers' acceptance, term loans, bank overdrafts and lease liabilities.

The decision to utilise either internally generated funds or borrowings for our business operations depends on, amongst others, our cash and bank balances, expected cash inflows, future working capital requirements, future capital expenditure requirements and interest rates on borrowings. We carefully consider our cash position and ability to obtain further financing before making significant capital commitments.

Our Board is confident that our working capital will be sufficient for our existing and foreseeable requirements for a period of 12 months from the date of this Prospectus, taking into consideration the following:

(a) our cash and cash equivalents of approximately RM5.3 million as at LPD;

(b) our expected future cash flows from operations after servicing of bank borrowings;

(c) our total banking facilities limit (excluding lease liabilities) as at LPD of RM19.0 million, of which RM6.9 million have been utilised; and

(d) our pro forma gearing level of 0.17 times, based on our pro forma statements of financial position as at 31 December 2024 after the Public Issue and utilisation of proceeds.

At this juncture, we do not foresee any circumstances which may materially affect our liquidity. Our Group has not encountered any major disputes with our debtors. Our finance and accounting team work closely with our sales and marketing team for the collection of outstanding balances on a monthly basis. This measure has proven to be effective while maintaining a cordial relationship with our customers.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.4 BORROWINGS AND INDEBTEDNESS

As at 31 December 2024, our Group's total outstanding borrowings and indebtedness stood at RM11.6 million (excluding lease liabilities for the rental of office space of approximately RM0.01 million), details of which are set out below:

	Purposes	Security	Interest rate	Tenure	As at 31 December 2024
			% per annum		RM'000
Current					
Term loans	To finance the purchase of property, plant and equipment, raw materials and for working capital purposes	(i) Legal charge over the leasehold land and buildings of our Group; (ii) Deposit with licensed banks; (iii) Joint and several guarantees by certain directors of our Group[3]; and (iv) Corporate guarantee provided by Fibromat	3.05 – 7.45	6 to 12 months	1,969
Bankers' acceptance	To finance the purchase of raw materials	(i) Legal charge over the leasehold land and buildings of our Group; (ii) Deposit with licensed banks; (iii) Joint and several guarantees by certain directors of our Group[3]; (iv) Corporate guarantee provided by Credit Guarantee Corporation Malaysia; and (v) Corporate guarantee provided by Fibromat	3.47 – 5.56	120 days	2,951
Hire purchases	To finance motor vehicles and plant and machinery	(i) Plant and machinery and motor vehicles; and (ii) Joint and several guarantees by certain directors of our Group[3]	2.15 – 3.58	12 months	744
					5,664

12. FINANCIAL INFORMATION *(Cont'd)*

	Purposes	Security	Interest rate	Tenure	As at 31 December 2024
			% per annum		RM'000
Non-current					
Term loans	To finance the purchase of property, plant and equipment, raw materials and for working capital purposes	(i) Legal charge over the leasehold land and buildings of our Group; (ii) Deposit with licensed banks; (iii) Joint and several guarantees by certain directors of our Group[3]; and (iv) Corporate guarantee provided by Fibromat	3.05 – 7.45	5 to 22 years	4,608
Hire purchases	To finance motor vehicles and plant and machinery	(i) Plant and machinery and motor vehicles; and (ii) Joint and several guarantees by certain directors of our Group[3]	2.15 – 3.58	2 to 5 years	1,280
					5,888
				Total borrowings	**11,552**
				Pro forma gearing (times)	
				Before Public Issue and utilisation of proceeds[1]	0.21
				After Public Issue and utilisation of proceeds[2]	0.17

Notes:

(1) Computed based on our pro forma total equity of RM54.7 million in the pro forma statements of financial position before Public Issue and utilisation of proceeds.

(2) Computed based on our pro forma total equity of RM70.1 million in the pro forma statements of financial position after Public Issue and utilisation of proceeds.

12. FINANCIAL INFORMATION *(Cont'd)*

Separately, we have also recognised the following lease liabilities:

	Purpose	Tenure	As at 31 December 2024 RM'000
Lease liabilities payable within 1 year	Rental of office space	24 months	7
Lease liabilities payable after 1 year	Rental of office space	24 months	-
			7

As at LPD, all of our borrowings are interest-bearing and denominated in RM.

We have not defaulted on payments of principal sums and/ or interests in respect of any borrowings throughout FYE 2021 to 2024 and up to LPD.

As at LPD, our Group is not in breach of any terms, conditions or covenants associated with credit arrangements or bank loans, which can materially affect our financial position and results or business operations or the investments by holders of our securities. During FYE 2021 to 2024, we did not experience any clawback or reduction in the facilities limit granted to us by our lenders.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.5 TYPES OF FINANCIAL INSTRUMENTS USED, TREASURY POLICIES AND OBJECTIVES

Save as disclosed in Section 12.4, we do not utilise any other financial instruments. We receive proceeds in SGD and USD in respect of our foreign sales and pay for purchases denominated in RMB, EUR, SGD, USD and AUD from our foreign currency accounts.

We finance our operations mainly through cash generated from our operations, credit extended by trade payables as well as external sources of funds, which mainly comprise borrowings. Our Group's lease liabilities and part of the loan and borrowings which carry fixed interest rates, while some of other borrowings bear variable interest rates based on the bank's cost of funds plus a rate which varies depending on the different types of bank facilities.

12.6 MATERIAL CAPITAL COMMITMENTS

As at LPD, save for the planned capital expenditures as disclosed in Sections 4.9.1 and 6.5(e) which are approved but not contracted for, we do not have any other material capital commitments.

12.7 MATERIAL LITIGATION AND CONTINGENT LIABILITIES

(a) Material litigation

As at LPD, we are not engaged in any material litigation, claims and/ or arbitration, either as plaintiff or defendant, which has a material effect on our financial position, and there are no proceedings pending or threatened, or of any fact likely to give rise to any proceedings, which might materially and adversely affect our financial position or business operations.

(b) Contingent liabilities

As at LPD, there are no material contingent liabilities incurred by our Group, which upon becoming enforceable, may have a material effect on our financial position.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.8 KEY FINANCIAL RATIOS

The key financial ratios of our Group for FYE 2021 to 2024 are as follows:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
Trade receivables turnover (days)[1]	116	137	104	105
Trade payables turnover (days)[2]	57	53	57	75
Inventory turnover (days)[3]	138	135	109	114
Current ratio (times)[4]	2.8	3.2	3.0	3.0
Gearing ratio (times)[5]	0.3	0.4	0.2	0.2

Notes:

(1) Computed based on average trade receivables as at financial year-end over revenue for respective financial years, multiplied by 365 days for each financial year.

(2) Computed based on average trade payables as at financial year-end over cost of sales for respective financial years multiplied by 365 days for each financial year.

(3) Computed based on average inventories as at financial year-end over cost of sales for respective financial years, multiplied by 365 days for each financial year.

(4) Computed based on current assets over current liabilities as at the end of respective financial years.

(5) Computed based on total interest-bearing borrowings (excluding lease liabilities for the rental of office space) over total equity as at the end of respective financial years.

12.8.1 Trade receivables turnover

Our average trade receivables turnover period for FYE 2021 to 2024 is stated as below:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Opening trade receivables	13,370	15,617	20,336	18,574
Closing trade receivables	15,617	20,336	18,574	24,739
Average trade receivables	14,494	17,977	19,455	21,657
Revenue	45,787	47,953	68,300	75,463
Trade receivables turnover (days)	116	137	104	105

The normal credit terms granted by us to our customers range from 14 to 90 days from the date of invoice. Our credit terms to customers are assessed and approved on a case-by-case basis taking into consideration various factors such as relationship with customers, customers' payment history, credit worthiness and the quantum of amount owing. We use ageing analysis to monitor the credit quality of our trade receivables.

12. FINANCIAL INFORMATION *(Cont'd)*

Our trade receivables turnover days are relatively higher than the normal credit terms granted to our customers, mainly due to longer processing time required by our customers in the design and installation of geotechnical solutions segment before releasing the progress claims to us. This extended processing time arises from the work certification process required upon the completion of each project milestone. Additionally, some of our customers rely on payments from their main contractors before they release our progress claims to us.

Our Board is of the view that the longer trade receivables turnover period will not adversely affect the cash flows of our Group, considering the established relationship with our customers and the ongoing monitoring of cash collection from debtors and payments to creditors.

Our trade receivable turnover periods for FYE 2021 to 2024 was 116, 137, 104 and 105 days respectively. Our trade receivables turnover period increased to 137 days in FYE 2022 (FYE 2021: 116 days). This was mainly due to slower collections from 5 of our customers for the design and installation of geotechnical solutions segment as the turnover period depends on payments received from their main contractors. We have continued to receive partial payments from these customers, and we are of the view that the outstanding amounts are collectible.

The trade receivables turnover period decreased to 104 days in FYE 2023 (FYE 2022: 137 days), mainly due to improved collections from our customers. Our trade receivables turnover period remained consistent at 105 days in FYE 2024 (FYE 2023: 104 days).

Our impairment loss and reversal of impairment loss on trade receivables for FYE 2021 to 2024 are as follows:

	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Impairment loss on trade receivables	578	77	376	366
Reversal of impairment losses on trade receivables	(1,089)	(569)	(117)	(82)

The impairment loss on trade receivables for FYE 2022 decreased to RM0.1 million (FYE 2021: RM0.6 million), due to lower assessment of expected credit loss provided in FYE 2022 as a result of improved collections for long outstanding trade receivables during FYE 2022. The impairment losses on trade receivables increased to RM0.4 million in FYE 2023 (FYE 2022: RM0.1 million), mainly due to higher impairment loss on trade receivables provided in relation to the assessment of expected credit loss.

For FYE 2021 to 2024, the reversal of impairment loss on trade receivables was RM1.1 million, RM0.6 million, RM0.1 million and RM0.1 million respectively. The reversal of impairment losses on trade receivables arises from improved credit assessment factors and collection of trade receivables impaired in prior years.

12. FINANCIAL INFORMATION *(Cont'd)*

The ageing analysis of our trade receivables as at 31 December 2024 is as follows:

	Trade receivables as at 31 December 2024		Collection from 1 January 2025 up to LPD	Balance as at LPD
	RM'000	Percentage of trade receivables	RM'000	RM'000
	(a)	(a)/ total of (a)	(b)	(c) = (a)-(b)
Neither past due nor impaired	4,619	18.7	2,978	1,641
Past due but not impaired:				
- less than 30 days	5,376	21.7	1,872	3,504
- 31 to 60 days	3,758	15.2	1,190	2,568
- 61 to 90 days	1,758	7.1	916	842
- over 90 days	9,228	37.3	2,148	7,080
	20,120	81.3	6,126	13,994
Total	**24,739**	**100.0**	**9,104**	**15,635**

As at LPD, we have collected RM9.1 million or 36.8% of our total outstanding trade receivables as at 31 December 2024. The remaining balance of RM15.6 million, out of which RM14.0 million have exceeded the normal credit period was mainly due to the following:

(a) RM7.9 million in which our Group are of the view that the said amount is collectible, considering the partial payments received from these customers;

(b) RM5.3 million which will be collected upon our customers receiving payments from their main contractors; and

(c) RM0.8 million which will be offset against future amount owing to the said debtors.

12.8.2 Trade payables turnover

Our average trade payables turnover period for FYE 2021 to 2024 is stated as below:

	Audited			
	FYE 2021	FYE 2022	FYE 2023	FYE 2024
	RM'000	RM'000	RM'000	RM'000
Opening trade payables	4,471	6,091	4,707	11,372
Closing trade payables	6,091	4,707	11,372	11,028
Average trade payables	5,281	5,399	8,040	11,200
Cost of sales	33,989	37,418	51,164	54,756
Trade payables turnover (days)	57	53	57	75

The normal credit terms granted to us by our suppliers range from 30 to 120 days from the date of invoice. Our trade payables turnover period for FYE 2021 to 2024 was 57 days, 53 days, 57 days and 75 days respectively, which were within the normal credit period granted by our suppliers.

12. FINANCIAL INFORMATION *(Cont'd)*

The trade payables turnover period increased to 75 days for FYE 2024 (FYE 2023: 57 days), mainly due to outstanding payables of RM1.4 million owing to a major supplier, which was fully settled as at LPD. The higher turnover period was also contributed by higher billings from suppliers in the last quarter of FYE 2024.

The ageing analysis of our trade payables as at 31 December 2024 is as follows:

	Trade payables as at 31 December 2024		Payment from 1 January 2025 up to LPD	Balance as at LPD
	RM'000	Percentage of trade payables	RM'000	RM'000
	(a)	(a)/ total of (a)	(b)	(c) = (a)-(b)
Within credit period	700	6.4	58	642
Exceeding credit period:				
- 1 to 30 days	4,978	45.1	2,820	2,158
- 31 to 60 days	1,588	14.4	941	647
- More than 60 days	3,762	34.1	3,350	412
	10,328	93.6	7,111	3,217
Total	**11,028**	**100.0**	**7,169**	**3,859**

As at LPD, we have paid RM7.2 million or 65.5% of our total outstanding trade payables as at 31 December 2024. The remaining balance of RM3.8 million, out of which RM3.2 million have exceeded the normal credit period mainly due to the following:

(a) RM1.3 million payable to 2 suppliers, in which payment will be made upon receiving collections from our customers;

(b) RM1.0 million payable to 2 suppliers, in which there are extended credit period granted to our Group upon our informal request, in view of our established relationship with them as well as our payment history and credentials. We have not encountered any issue with our suppliers despite slower payment to them; and

(c) RM0.9 million payable to a supplier, in which our Group have been making partial payments to the said supplier.

As at LPD, there are no outstanding disputes in respect of our trade payables and there is no legal action initiated by our suppliers to demand for payment from us.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.8.3 Inventory turnover

Our inventories comprise raw materials, work-in-progress as well as finished goods. Our average inventory turnover period for FYE 2021 to 2024 is stated below:

	Audited			
	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Opening inventories				
- Raw materials	3,618	3,645	4,410	6,095
- Work-in-progress	379	302	225	125
- Finished goods	8,288	9,389	9,630	10,032
	12,285	**13,336**	**14,265**	**16,252**
Closing inventories				
- Raw materials	3,645	4,410	6,095	6,104
- Work-in-progress	302	225	125	117
- Finished goods	9,389	9,630	10,032	11,486
	13,336	**14,265**	**16,252**	**17,707**
Average inventories				
- Raw materials	3,632	4,028	5,253	6,100
- Work-in-progress	340	263	175	121
- Finished goods	8,839	9,510	9,831	10,759
	12,811	**13,801**	**15,259**	**16,980**
Cost of sales	**33,989**	**37,418**	**51,164**	**54,756**
Inventory turnover (days)				
- Raw materials	39	39	38	41
- Work-in-progress	4	3	1	1
- Finished goods	95	93	70	72
	138	**135**	**109**	**114**

Our inventory turnover period for FYE 2021 to 2024 was 138 days, 135 days, 109 days and 114 days respectively.

Our inventory turnover period for FYE 2023 decreased to 109 days (FYE 2022: 135 days), mainly due to higher finished goods kept in our warehouses as at 31 December 2022 to ensure sufficient inventory levels to cater for our major customer's project. These finished goods comprise mainly woven geotextiles and non-woven geotextiles, which can be kept for a relatively longer period of time. The finished goods were subsequently delivered in FYE 2023, resulting in a lower inventory turnover period. Our inventory turnover period for FYE 2024 remained relatively consistent at 114 days (FYE 2023: 109 days).

12. FINANCIAL INFORMATION *(Cont'd)*

12.8.4 Current ratio

Our current ratio throughout FYE 2021 to 2024 is as follows:

	Audited			
	As at 31 December			
	2021	**2022**	**2023**	**2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Current assets	38,532	40,934	49,139	59,229
Current liabilities	13,667	12,635	16,377	19,505
Net current assets	**24,865**	**28,299**	**32,762**	**39,724**
Current ratio (times)	2.8	3.2	3.0	3.0

Our current ratios range between 2.8 times to 3.2 times for FYE 2021 to 2024. This indicates that our Group is capable of meeting short-term obligations as our current assets, such as trade receivables and inventories, which can be readily converted to cash, together with our cash and cash equivalents, are enough to meet our current liabilities.

12.8.5 Gearing ratio

Our gearing ratio throughout FYE 2021 to 2024 is as follows:

	Audited			
	As at 31 December			
	2021	**2022**	**2023**	**2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Total borrowings[(1)]	13,221	16,073	9,668	11,552
Total equity	40,016	40,529	46,859	54,673
Gearing ratio (times)	0.3	0.4	0.2	0.2

Note:

(1) Comprise total interest-bearing borrowings (excluding lease liabilities for the rental of office space) as at the end of respective financial years.

Our gearing ratio ranges from 0.2 times to 0.4 times for FYE 2021 to 2024.

We recorded a higher gearing ratio of 0.4 times as at 31 December 2022 as compared to 0.3 times as at 31 December 2021, mainly due to the higher drawdown of term loans in FYE 2022 for working capital purposes.

Our gearing ratio decreased to 0.2 times as at 31 December 2023, mainly due to repayments of borrowings, coupled with the higher total equity arising from the profit generated during FYE 2023 after netting off the dividends paid. Our gearing ratio remained consistent at 0.2 times as at 31 December 2024.

12. FINANCIAL INFORMATION *(Cont'd)*

12.9 IMPACT OF GOVERNMENT, ECONOMIC, FISCAL OR MONETARY POLICIES

There were no government, economic, fiscal or monetary policies or factors which have materially affected our financial performance during FYE 2021 to 2024. There is no assurance that our financial performance will not be adversely affected by the impact of further changes in government, economic, fiscal or monetary policies or factors moving forward.

Risks relating to government, economic, fiscal or monetary policies or factors which may adversely and materially affect our operations are set out in Section 9.

12.10 IMPACT OF INFLATION

During FYE 2021 to 2024, our financial performance was not materially affected by the impact of inflation. However, there is no assurance that our financial performance will not be adversely affected by the impact of inflation moving forward. Any significant increase in our costs of sales in the future may adversely affect our operations and performance if we are unable to pass on the higher costs to our customers through an increase in selling prices.

12.11 IMPACT OF FOREIGN EXCHANGE RATES, INTEREST RATES AND/ OR COMMODITY PRICES ON OUR GROUP'S OPERATIONS

(a) Impact of foreign exchange rates

Our proportions of sales and purchases denominated in local and foreign currencies are as follows:

	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Sales denominated in:								
RM	43,453	94.9	46,178	96.3	65,940	96.5	72,639	96.3
SGD	1,073	2.3	1,211	2.5	1,715	2.5	2,355	3.1
USD	1,261	2.8	564	1.2	645	1.0	469	0.6
Total	**45,787**	**100.0**	**47,953**	**100.0**	**68,300**	**100.0**	**75,463**	**100.0**

	FYE 2021		FYE 2022		FYE 2023		FYE 2024	
	RM'000	**%**	**RM'000**	**%**	**RM'000**	**%**	**RM'000**	**%**
Purchases denominated in:								
RM	15,180	52.7	18,786	59.6	26,723	57.3	29,777	64.2
USD	12,521	43.5	8,948	28.4	7,216	15.5	7,780	16.8
RMB	-	-	2,406	7.6	12,337	26.5	8,345	18.0
EUR	1,092	3.8	1,388	4.4	-	-	-	-
AUD	-	-	-	-	-	-	418	0.9
SGD	14	<0.1	17	<0.1	330	0.7	44	0.1
Total	**28,807**	**100.0**	**31,545**	**100.0**	**46,606**	**100.0**	**46,364**	**100.0**

12. FINANCIAL INFORMATION *(Cont'd)*

Our Group's gain or loss from foreign exchange fluctuations for FYE 2021 to 2024 are as follows:

	FYE 2021	FYE 2022	FYE 2023	FYE 2024
	RM'000	RM'000	RM'000	RM'000
Realised gain/ (loss) on foreign exchange	22	(65)	(214)	242
Unrealised gain/ (loss) on foreign exchange	17	96	130	(17)
Net gain/ (loss)	**39**	**31**	**(84)**	**225**

Based on the table above, our Group has not been materially impacted by the foreign exchange fluctuations.

(b) Impact of interest rates

Our exposure to changes in interest rate risk relates primarily to our loans and borrowings.

A sensitivity analysis performed on our Group based on the outstanding floating rate of our term loans as at 31 December 2024 indicates that our PAT for FYE 2024 would increase or decrease by approximately RM0.03 million as a result of the increase or decrease in interest rates by 50 basis points on these borrowings.

Our financial results for FYE 2021 to 2024 were not materially affected by fluctuations in interest rates.

(c) Impact of commodity prices

Our products are manufactured using natural materials, synthetic materials or a combination of both natural and synthetic materials. Recycled resins, a type of synthetic material used in our manufacturing operations, are subject to fluctuation in commodity prices.

Our financial performance was not materially affected by fluctuations in commodity prices for FYE 2021 to 2024. Any adverse changes in such commodity prices will raise our cost of goods sold and may have adverse effect on us, if such increase in cost cannot be passed on to our customers through an increase in selling prices.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.12 ORDER BOOK

Our Group's revenue for the trading of geosynthetics and erosion control products and manufacturing and sale of in-house products are generated by way of purchase orders from our customers.

Our Group's order book arises from the design and installation of geotechnical solutions, where we entered into contractual agreements with our customers, via LOA issued by the customers.

Details of our Group's unbilled order book as at LPD are as follows:

		To be recognised over		
	Unbilled order book as at LPD	**FYE 2025**	**FYE 2026**	**FYE 2027**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Provision of geotechnical solutions	49,903	25,486	18,789	5,628

The above unbilled order book relates to the contract value of projects which are on-going less progress billings issued up to LPD. This unbilled order book will be realised progressively over the next 3 financial years based on the expected progress of each project.

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12. FINANCIAL INFORMATION *(Cont'd)*

12.13 DIRECTORS' STATEMENT ON OUR GROUP'S FINANCIAL PERFORMANCE

Our Board is of the opinion that:

(a) our revenue will remain sustainable with an upward growth trend, in line with positive outlook of the geotechnical solutions industry as set out in the IMR Report in Section 8;

(b) our liquidity will improve subsequent to the Public Issue, given the additional funds to be raised for our Group to carry out our future plans and business strategies as stated in Section 7.15; and

(c) our capital resources will strengthen, considering the proceeds to be raised from the Public Issue as well as internally generated funds. We may consider debt funding for our business expansion should the need arise.

In addition to the above, our Board confirms that there are no circumstances which would result in a significant decline in our revenue and GP margins or know of any factors that are likely to have a material impact on our liquidity, revenue or profitability.

12.14 TREND INFORMATION

As at LPD, after all reasonable enquiries, our Board confirms that our operations have not been and are not expected to be affected by any of the following:

(a) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have, a material favourable or unfavourable impact on our Group's financial performance, position and operations other than those discussed in Sections 7, 8, 9 and 12.2;

(b) material commitments for capital expenditure as disclosed in Section 12.6;

(c) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group save as discussed in Sections 7.9 and 9;

(d) known trends, demands, commitments, events or uncertainties that have resulted in a substantial increase in our Group's revenue save for those that had been discussed in Sections 12.2 and 12.11; and

(e) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our Group's historical consolidated financial statements not necessarily indicative of the future financial performance and position other than those discussed in Sections 12.2, 12.9 and 12.11.

Based on the above, our Board is optimistic about the future prospects of our Group given the long-term positive outlook of the geotechnical solutions industry in Malaysia as set out in the IMR Report in Section 8, our Group's competitive strengths set out in Section 7.14 and our Group's intention to implement the business strategies as set out in Section 7.15.

12. FINANCIAL INFORMATION *(Cont'd)*

12.15 DIVIDEND POLICY

Our Group presently does not have any formal dividend policy and the declaration of dividends and other distributions are subject to the discretion of our Board. It is our Board's policy to recommend dividends to allow our shareholders to participate in the profits of our Group. However, our ability to pay dividends or make other distributions to our shareholders in the future years is subject to various factors such as having profits and excess funds, which are not required to be retained to fund our business.

As our Company is an investment holding company, our income and therefore our ability to pay dividends is dependent upon the dividends we receive from our subsidiary, present or future. Our existing subsidiary will require its financiers' consent as set out in the respective facility agreements to pay dividends to our Company. Save for compliance with the solvency requirement under the Act, which is applicable to all Malaysian companies, there are no legal, financial, or economic restrictions on the ability of our existing subsidiary to transfer funds in the form of cash dividends, loans or advances to us. Moving forward, the payment of dividends or other distributions by our subsidiary will depend on their distributable profits, operating results, financial condition, capital expenditure plans, business expansion plans and other factors that their respective boards of directors deem relevant.

During FYE 2021 to 2024 and up to LPD, we declared and paid the following dividends:

	FYE 2021	**FYE 2022**	**FYE 2023**	**FYE 2024**	**1 January 2025 up to LPD**
	RM'000	**RM'000**	**RM'000**	**RM'000**	**RM'000**
Dividend declared and paid	5,000	3,024	2,160	2,160	-

The dividends declared and paid in FYE 2021 to 2024 were funded via internally generated profit. From 1 January 2025 up to LPD, we did not declare any dividends and have no intention to declare any dividends prior to our Listing.

Any dividend declared will be at the discretion of our Board and any final dividends declared will be subject to approval of our shareholders at our AGM.

You should take note that this dividend policy merely describes our current intention and shall not constitute legally binding statements in respect of our future dividends that are subject to our Board's discretion.

When recommending the actual dividends for approval by shareholders or when declaring any interim dividends, our Board will consider, amongst others:

(a) our anticipated future operating conditions as well as future expansion, capital expenditures and investment plans;

(b) our operating cash flow requirements and financing commitments;

(c) our expected and actual financial performance, including return on equity and retained earnings;

(d) any restrictive covenants contained in our current and future financing arrangements;

(e) the availability of adequate reserves and cash flows; and

(f) any material impact of tax laws and regulatory requirements.

12. FINANCIAL INFORMATION *(Cont'd)*

12.16 CAPITALISATION AND INDEBTEDNESS

The table below summarises our capitalisation and indebtedness:

(a) Based on latest unaudited consolidated financial information of our Group as at 28 February 2025; and

(b) After adjusting for the effects of the Public Issue and utilisation of proceeds.

	Unaudited	**I**	**II**
	As at 28 February 2025	**After Public Issue**	**After I and utilisation of proceeds**
	RM'000	**RM'000**	**RM'000**
Capitalisation			
Share capital	44,700	62,452	62,000
Total capitalisation	**44,700**	**62,452**	**62,000**
Indebtedness			
Current			
Secured and guaranteed			
Term loans	1,469	1,469	1,469
Bankers' acceptance	1,943	1,943	1,943
Secured and unguaranteed			
Lease liabilities	749	749	749
Unsecured and unguaranteed			
Lease liabilities	3	3	3
Non-current			
Secured and guaranteed			
Term loans	1,431	1,431	1,431
Secured and unguaranteed			
Lease liabilities	1,338	1,338	1,338
Unsecured and guaranteed			
Term financing	5,000	5,000	5,000
Total indebtedness	**11,933**	**11,933**	**11,933**
Total capitalisation and indebtedness	**56,633**	**74,385**	**73,933**
Debt-to-capital ratio (times)[(1)]	0.27	0.19	0.19

Note:

(1) Calculated based on total indebtedness divided by share capital.

13. ACCOUNTANTS' REPORT

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The Board of Directors
Fibromat (M) Berhad
Wisma Fibromat
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Selangor Darul Ehsan

Dear Sirs,

Reporting Accountants' opinion on the Consolidated Financial Statements contained in the Accountants' Report of Fibromat (M) Berhad ("Fibromat" or the "Company")

Opinion

We have audited the accompanying consolidated financial statements of the Company and its subsidiary as defined in Note 2 to the consolidated financial statements (collectively known as the "Group"), which comprise the consolidated statements of financial position as at 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024 of the Group, the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the financial years ended 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024, and notes to the consolidated financial statements, including a summary of material accounting policy information, as set out on pages 7 to 77.

In our opinion, the accompanying consolidated financial statements contained in the Accountants' Report of the Company give a true and fair view of the financial position of the Group as at 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024, and of its financial performance and its cash flows for the financial years then ended in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and Chapter 10, Part II Division 1: Equity of the Prospectus Guidelines as issued by the Securities Commission Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Reporting Accountants' Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Baker Tilly Malaysia and its related entities in Malaysia trading as Baker Tilly is a member of the global network of Baker Tilly International Ltd., the members of which are separate and independent legal entities.

FIBROMAT (M) BERHAD
(Incorporated in Malaysia)

Independence and Other Ethical Responsibilities

We are independent of the Group in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Responsibilities of the Directors for the Consolidated Financial Statements

The directors of the Company are responsible for the preparation of the consolidated financial statements of the Group, so as to give a true and fair view in accordance with the Malaysian Financial Reporting Standards and the International Financial Reporting Standards. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of consolidated financial statements of the Group that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements of the Group, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Reporting Accountants' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a Reporting Accountants' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the consolidated financial statements of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

FIBROMAT (M) BERHAD
(Incorporated in Malaysia)

Reporting Accountants' Responsibilities for the Audit of the Consolidated Financial Statements (continued)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also: (continued)

- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Reporting Accountants' report to the related disclosures in the consolidated financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Reporting Accountants' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- evaluate the overall presentation, structure and content of the consolidated financial statements of the Group, including the disclosures, and whether the consolidated financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Other Matters

This report is made solely to the board of directors of the Company and has been prepared solely to comply with the Prospectus Guidelines – Equity issued by the Securities Commission Malaysia and for inclusion in the Prospectus of the Company in connection with the transfer of listing from the LEAP Market of Bursa Malaysia Securities Berhad to the ACE Market of Bursa Malaysia Securities Berhad and should not be relied upon for any other purposes. We do not assume responsibility to any other persons for the content of this report.

Baker Tilly Monteiro Heng PLT
201906000600 (LLP0019411-LCA) & AF 0117
Chartered Accountants

Paul Tan Hong
No. 03459/11/2025 J
Chartered Accountant

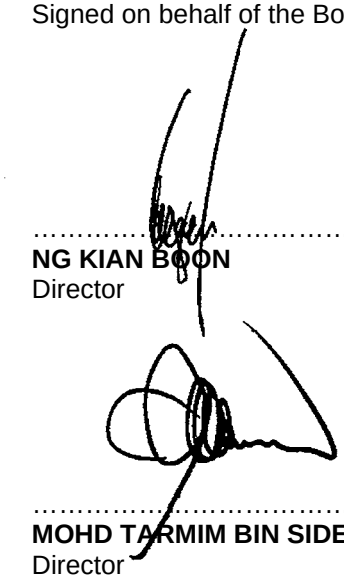
Kuala Lumpur

Date: 21 March 2025

STATEMENT BY DIRECTORS

We, **NG KIAN BOON** and **MOHD TARMIM BIN SIDEK**, being two of the directors of FIBROMAT (M) BERHAD, do hereby state that in the opinion of the directors, the accompanying consolidated financial statements are drawn up in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group as at 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024 and of its financial performance and cash flows for the financial years ended 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024.

Signed on behalf of the Board of Directors in accordance with a resolution of the directors:



……...
NG KIAN BOON
Director

……
MOHD TARMIM BIN SIDEK
Director

Kuala Lumpur

Date: 21 MAR 2025

13. ACCOUNTANTS' REPORT *(Cont'd)*

FIBROMAT (M) BERHAD
Accountants' Report

STATUTORY DECLARATION

I, **NG KIAN BOON**, being the director primarily responsible for the financial management of FIBROMAT (M) BERHAD, do solemnly and sincerely declare that to the best of my knowledge and belief, the accompanying consolidated financial statements are correct, and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

.....
NG KIAN BOON

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur in the Federal Territory on
21 MAR 2025

Before me,

PESURUHJAYA SUMPAH
W 761
HADINUR MOHD SYARIF
01.01.2025 - 31.12.2027
MALAYSIA

.....
Commissioner for Oaths
CHAMBERS TWENTY - FIVE
NO 25, JALAN TUNKU, BUKIT TUNKU
50480 KUALA LUMPUR

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

		Audited as at 31 December			
		2021	2022	2023	2024
	Note	RM'000	RM'000	RM'000	RM'000
ASSETS					
Non-current assets					
Property, plant and equipment	**5**	20,790	20,880	20,249	20,887
Investment properties	**6**	1,694	1,672	1,971	618
Total non-current assets		**22,484**	**22,552**	**22,220**	**21,505**
Current assets					
Inventories	**7**	13,336	14,265	16,252	17,707
Current tax assets		612	588	-	-
Trade and other receivables	**8**	16,802	22,221	20,663	27,612
Contract assets	**9**	2,158	983	6,823	7,488
Cash and short-term deposits	**10**	5,624	2,877	5,401	5,778
		38,532	**40,934**	**49,139**	**58,585**
Asset classified as held for sale	**11**	-	-	-	644
Total current assets		38,532	40,934	49,139	59,229
TOTAL ASSETS		**61,016**	**63,486**	**71,359**	**80,734**
EQUITY AND LIABILITIES					
Equity attributable to the owners of the Group					
Share capital	**12**	44,700	44,700	44,700	44,700
Merger reserve	**13**	(31,936)	(31,936)	(31,936)	(31,936)
Retained earnings		27,252	27,765	34,095	41,909
TOTAL EQUITY		**40,016**	**40,529**	**46,859**	**54,673**

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONTINUED)

		Audited as at 31 December			
	Note	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Non-current liabilities					
Loans and borrowings	**14**	6,847	9,121	7,126	5,888
Deferred tax liabilities	**15**	486	1,201	997	668
Total non-current liabilities		**7,333**	**10,322**	**8,123**	**6,556**
Current liabilities					
Loans and borrowings	**14**	6,401	6,959	2,570	5,671
Current tax liabilities		-	-	655	1,095
Trade and other payables	**16**	6,651	5,475	12,634	12,452
Contract liabilities	**9**	615	201	518	287
Total current liabilities		**13,667**	**12,635**	**16,377**	**19,505**
TOTAL LIABILITIES		**21,000**	**22,957**	**24,500**	**26,061**
TOTAL EQUITY AND LIABILITIES		**61,016**	**63,486**	**71,359**	**80,734**

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

		Audited Financial Years Ended ("FYE")			
		← 31 December →			
		2021	2022	2023	2024
	Note	RM'000	RM'000	RM'000	RM'000
Revenue	17	45,787	47,953	68,300	75,463
Cost of sales	18	(33,989)	(37,418)	(51,164)	(54,756)
Gross profit		**11,798**	**10,535**	**17,136**	**20,707**
Other income	19	1,294	941	720	595
Selling and distribution expenses		(1,735)	(2,205)	(2,274)	(2,122)
Administrative expenses		(2,284)	(2,808)	(2,930)	(4,157)
Other operating expenses		(684)	(77)	(376)	(534)
Operating profit		**8,389**	**6,386**	**12,276**	**14,489**
Finance costs	20	(541)	(952)	(1,047)	(1,058)
Profit before tax	21	**7,848**	**5,434**	**11,229**	**13,431**
Income tax expense	23	(2,095)	(1,897)	(2,739)	(3,457)
Profit for the financial year, representing total comprehensive income for the financial year		**5,753**	**3,537**	**8,490**	**9,974**
Profit attributable to owners of the Group, representing total comprehensive income attributable to owners of the Group		**5,753**	**3,537**	**8,490**	**9,974**
Earnings per share (sen)					
- Basic and diluted	24	2.66	1.64	3.93	4.62

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

		← Attributable to owners of the Group →			
	Note	Share capital RM'000	Merger reserve RM'000	Retained earnings RM'000	Total equity RM'000
At 1 January 2021		**44,700**	**(31,936)**	**26,499**	**39,263**
Total comprehensive income for the financial year					
Profit for the financial year, representing total comprehensive income for the financial year		-	-	5,753	5,753
Transaction with owners					
Dividend paid on shares	**25**	-	-	(5,000)	(5,000)
At 31 December 2021		**44,700**	**(31,936)**	**27,252**	**40,016**
Total comprehensive income for the financial year					
Profit for the financial year, representing total comprehensive income for the financial year		-	-	3,537	3,537
Transactions with owners					
Dividend paid on shares	**25**	-	-	(3,024)	(3,024)
At 31 December 2022		**44,700**	**(31,936)**	**27,765**	**40,529**

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (CONTINUED)

		← Attributable to owners of the Group →			
	Note	Share capital RM'000	Merger reserve RM'000	Retained earnings RM'000	Total equity RM'000
At 1 January 2023		**44,700**	**(31,936)**	**27,765**	**40,529**
Total comprehensive income for the financial year					
Profit for the financial year, representing total comprehensive income for the financial year		-	-	8,490	8,490
Transactions with owners					
Dividend paid on shares	**25**	-	-	(2,160)	(2,160)
At 31 December 2023		**44,700**	**(31,936)**	**34,095**	**46,859**
Total comprehensive income for the financial year					
Profit for the financial year, representing total comprehensive income for the financial year		-	-	9,974	9,974
Transactions with owners					
Dividend paid on shares	**25**	-	-	(2,160)	(2,160)
At 31 December 2024		**44,700**	**(31,936)**	**41,909**	**54,673**

The accompanying notes form an integral part of these consolidated financial statements.

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Note	Audited FYE 31 December 2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Cash flows from operating activities					
Profit before tax:		7,848	5,434	11,229	13,431
Adjustments for:					
Depreciation of property, plant and equipment		1,595	1,689	1,675	1,813
Depreciation of investment properties		-	22	41	41
Gain on disposal of property, plant and equipment		-	(111)	(255)	(13)
Property, plant and equipment written off		27	-	-	-
Derecognition due to end of lease term		-	-	7	-
Reversal of impairment loss on trade receivables		(1,089)	(569)	(117)	(82)
Loss on disposal of an investment property		-	-	-	168
Impairment loss on trade receivables		578	77	376	366
Bad debts recovery		-	-	(13)	-
Trade payables written back		-	(67)	-	-
Finance cost		541	952	1,047	1,058
Finance income		(29)	(26)	(29)	(26)
Net unrealised foreign exchange (gain)/loss		(17)	(96)	(130)	17
Operating profit before changes in working capital		**9,454**	**7,305**	**13,831**	**16,773**
Changes in working capital:					
Inventories		(1,051)	(929)	(1,987)	(1,455)
Trade and other receivables		(2,226)	(4,927)	972	(6,733)
Contract assets		(982)	1,175	(5,840)	(665)
Trade and other payables		1,508	(1,106)	7,263	(216)
Contract liabilities		342	(414)	317	(231)
Net cash generated from operations		**7,045**	**1,104**	**14,556**	**7,473**
Income tax paid		(2,271)	(1,584)	(1,700)	(3,346)
Income tax refunded		-	426	-	-
Interest received		11	8	4	6
Interest paid		(98)	(90)	(94)	(141)
Net cash from/(used in) operating activities		**4,687**	**(136)**	**12,766**	**3,992**

CONSOLIDATED STATEMENTS OF CASH FLOWS (CONTINUED)

		Audited FYE 31 December			
		2021	2022	2023	2024
	Note	RM'000	RM'000	RM'000	RM'000
Cash flows from investing activities					
Purchase of property, plant and equipment	(a)	(2,079)	(1,322)	(356)	(1,077)
Proceeds from disposal of property, plant and equipment		-	111	255	24
Interest received		18	18	25	20
Change in pledged deposits		(18)	(22)	(24)	(20)
Net cash used in investing activities		**(2,079)**	**(1,215)**	**(100)**	**(1,053)**
Cash flows from financing activities	(b)				
Drawdown of term loans		-	4,366	-	400
Repayment of term loans		(1,195)	(1,572)	(2,059)	(2,195)
Drawdown of bankers' acceptance		8,415	9,487	13,564	12,242
Repayment of bankers' acceptance		(5,301)	(10,225)	(17,055)	(9,291)
Payment of lease liabilities		(552)	(715)	(495)	(678)
Net changes in amount owing to directors		(40)	(3)	-	-
Interest paid		(443)	(862)	(953)	(917)
Dividend paid		(5,000)	(3,024)	(2,160)	(2,160)
Net cash used in financing activities		**(4,116)**	**(2,548)**	**(9,158)**	**(2,599)**
Net (decrease)/increase in cash and cash equivalents		(1,508)	(3,899)	3,508	340
Cash and cash equivalents at the beginning of the financial year		**5,897**	**4,406**	**603**	**4,137**
Effect of exchange rate changes on cash and cash equivalents		17	96	26	17
Cash and cash equivalents at the end of the financial year	**10**	**4,406**	**603**	**4,137**	**4,494**

CONSOLIDATED STATEMENTS OF CASH FLOWS (CONTINUED)

(a) Purchase of property, plant and equipment:

		Audited FYE 31 December			
	Note	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Purchase of property, plant and equipment	5	3,222	1,779	1,051	2,462
Financed by way of lease arrangements		(1,143)	(457)	(695)	(1,385)
Cash payments on purchase of property, plant and equipment		2,079	1,322	356	1,077

(b) Reconciliation of changes in liabilities arising from financing activities are as follows:

	1.1.2021 RM'000	Cash flows RM'000	Non-cash acquisition RM'000	31.12.2021 RM'000
Term loans	8,832	(1,195)	-	7,637
Lease liabilities	791	(552)	1,143	1,382
Bankers' acceptance	1,115	3,114	-	4,229
Amount owing to directors	43	(40)	-	3
	10,781	1,327	1,143	13,251

	1.1.2022 RM'000	Cash flows RM'000	Non-cash acquisition RM'000	31.12.2022 RM'000
Term loans	7,637	2,794	-	10,431
Lease liabilities	1,382	(715)	457	1,124
Bankers' acceptance	4,229	(738)	-	3,491
Amount owing to directors	3	(3)	-	-
	13,251	1,338	457	15,046

CONSOLIDATED STATEMENTS OF CASH FLOWS (CONTINUED)

(b) Reconciliation of changes in liabilities arising from financing activities are as follows: (continued)

	1.1.2023 RM'000	Cash flows RM'000	Non-cash acquisition RM'000	31.12.2023 RM'000
Term loans	10,431	(2,059)	-	8,372
Lease liabilities	1,124	(495)	695	1,324
Bankers' acceptance	3,491	(3,491)	-	-
	15,046	(6,045)	695	9,696

	1.1.2024 RM'000	Cash flows RM'000	Non-cash acquisition RM'000	31.12.2024 RM'000
Term loans	8,372	(1,795)	-	6,577
Lease liabilities	1,324	(678)	1,385	2,031
Bankers' acceptance	-	2,951	-	2,951
	9,696	478	1,385	11,559

Total cash outflows for leases

During the financial year, the Group had total cash outflows for leases of RM904,009 (2023: RM558,850, 2022: RM772,178 and 2021:RM635,732).

The accompanying notes form an integral part of these consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. GENERAL INFORMATION

Fibromat (M) Berhad ("Fibromat" or the "Company") is a public limited liability company, incorporated and domiciled in Malaysia and is listed on LEAP Market of Bursa Malaysia Securities Berhad. The registered office of the Company is located at 12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan. The principal place of business of the Company is located at Wisma Fibromat, No. 574-A, Jalan Samudra Utara 1, Taman Samudra, 68100 Batu Caves, Selangor Darul Ehsan.

The principal activity of the Company is investment holding. The details of the subsidiary are as follows:

Name of company	Principal place of business/ country of incorporation	Ownership interest 2021 %	2022 %	2023 %	2024 %	Principal activities
MTS Fibromat (M) Sdn. Bhd. ("MTS Fibromat")	Malaysia	100	100	100	100	Provision of geotechnical solutions (design, manufacturing and installation) for erosion control, ground improvement, as well as sediment control, filtration and containment lining; and trading of geosynthetics and erosion control products.

There have been no significant changes in the nature of these principal activities during the financial years under review.

2. BASIS OF PREPARATION

The consolidated financial statements of the Group (as defined herein) for the financial years ended ("FYE") 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024 have been prepared pursuant to the listing and quotation for the entire issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad which consist of the financial statements of the following entities for each of the financial years.

Company name	Audited 31 December			
	2021	2022	2023	2024
Fibromat	✓,^,@	✓,^,@	✓,^,@	✓,^,@
MTS Fibromat	✓,^,@	✓,^,@	✓,^,@	✓,^,@

✓ *The consolidated financial statements of the Group include the financial statements of these entities for the respective financial years.*

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

^ *The consolidated financial statements of the Group include the financial statement of these entities prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs") and the International Financial Reporting Standards ("IFRSs") for the respective financial years.*

@ *The consolidated financial statements of the Group for the respective financial years have been prepared based on the audited financial statements which were audited by Baker Tilly Monteiro Heng PLT.*

The audited financial statements of all the entities within the Group for the relevant years reported above were not subject to any modifications.

The consolidated financial statements are prepared under the historical cost convention except otherwise indicated in the summary of material accounting policy information.

The accounting policies applied by the Group are consistently applied for all the financial years presented in these consolidated financial statements.

2.1 Statement of compliance

The consolidated financial statements of the Group have been prepared in accordance with MFRSs and IFRSs.

2.2 New MFRS and amendments to MFRSs that have been issued, but yet to be effective

(a) The Group has not adopted the following new MFRS and amendments to MFRSs that have been issued, but yet to be effective:

		Effective for financial periods beginning on or after
<u>New MFRS</u>		
MFRS 18	Presentation and Disclosure in Financial Statements	1 January 2027
<u>Amendments to MFRSs</u>		
MFRS 1	First-time Adoption of MFRSs	1 January 2026
MFRS 7	Financial Instruments: Disclosures	1 January 2026
MFRS 9	Financial Instruments	1 January 2026
MFRS 10	Consolidated Financial Statements	1 January 2026/ Deferred

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.2 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(a) The Group has not adopted the following new MFRS and amendments to MFRSs that have been issued, but yet to be effective: (continued)

		Effective for financial periods beginning on or after
Amendments to MFRSs (continued)		
MFRS 107	Statement of Cash Flows	1 January 2026
MFRS 121	The Effects of Changes in Foreign Exchange Rates	1 January 2025
MFRS 128	Investments in Associates and Joint Ventures	Deferred

(b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below:

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 18 replaces MFRS 101 *Presentation of Financial Statements*. It retains many requirements from MFRS 101 without modification.

MFRS 18 introduces two subtotals which are to be presented in the statement of profit or loss – including "operating profit", which has been specifically defined. Income and expenses shall be presented in five categories: operating, investing, financing, income taxes and discontinued operations.

MFRS 18 requires disclosure of explanations of the entity's company-specific measures that are related to the statement of profit or loss, referred to as management-defined performance measures ("MPMs"). The entity is required to reconcile MPMs to a total or subtotal required by MFRS 18 or another MFRS Accounting Standards. MFRS 18 also requires other disclosures, including how each MPM is calculated, what the MPM communication about the entity's financial performance, and any changes made to the MPMs in the year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.2 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below: (continued)

MFRS 18 Presentation and Disclosure in Financial Statements (continued)

MFRS 18 adds new principles for aggregation and disaggregation of information. It requires the entity to classify the expenses in the "operating" category in the profit or loss by nature or function, or both. The entity that classifies operating expenses by functions are required to disclose in the notes to the financial statements, the amount of depreciation, amortisation, employee benefits, impairment losses and write-downs of inventories included in each line in the operating category. Subject to materiality, MFRS 18 requires items presented or disclosed as "other" to be labelled and/or described in as faithfully representative and precise a way as possible.

Amendments to MFRS 121 The Effects of Changes in Foreign Exchange Rates

Amendments to MFRS 121 respond to stakeholder feedback and concerns about diversity in practice in accounting for a lack of exchangeability between currencies.

Applying the Amendments, entities will be applying a consistent approach in determining if a currency can be exchanged into another currency. These amendments provide guidance on the spot exchange rate to use when a currency is not exchangeable into another currency and the disclosures entities need to provide to enable users of financial statements to understand the impact on the entities' financial performance, financial position and cash flows as a result of a currency being not exchangeable into another currency.

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures

These narrow scope amendments to MFRS 9 clarify the requirements, including:

- clarify the classification of financial assets, particularly those with environmental, social and corporate governance and similar features. The Amendments clarify how the contractual cash flows on such financial assets should be assessed, specifically the assessment of interest focuses on what an entity is being compensated for, rather than how much compensation it receives. Nonetheless, the amount of compensation the entity receives may indicate that it is being compensated for something other than basic lending risks and costs.
- clarify the date on which a financial asset or a financial liability settled via electronic payment systems is derecognised. The Amendments permit an entity to derecognise a financial liability before it delivers cash on the settlement date if specified criteria are met.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

2. BASIS OF PREPARATION (CONTINUED)

2.2 New MFRS and amendments to MFRSs that have been issued, but yet to be effective (continued)

(b) The Group plans to adopt the above applicable new MFRS and amendments to MFRSs when they become effective. A brief discussion on the above significant new MFRS and amendments to MFRSs that may be applicable to the Group are summarised below: (continued)

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures (continued)

- define contracts referencing nature-dependent electricity, specifying the conditions under which such contracts qualify for the own-use exemption and would not be treated as financial instruments.
- permit an entity to apply hedge accounting when contracts referencing nature-dependent electricity are used as hedging instruments.

Amendments to MFRS 7 introduces new disclosure requirements relating to:

- investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features that do not relate directly to basic lending risks and costs.
- contracts referencing nature-dependent electricity to help users of financial statements understand its impact on the amount, timing and uncertainty of an entity's future cash flows and financial performance.

(c) The initial application of the above new MFRS and amendments to MFRSs are not expected to have any material impact on the consolidated financial statements.

2.3 Functional and presentation currency

The consolidated financial statements of the Group are measured using the currency of the primary economic environment in which it operates ("the functional currency"). The consolidated financial statements are presented in Ringgit Malaysia ("RM"), which is also the Company's functional currency, and has been round to the nearest thousand, unless otherwise stated.

2.4 Basis of measurement

The consolidated financial statements of the Group have been prepared on the historical cost basis.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION

The Group has adopted the amendments to MFRS 101 *Presentation of Financial Statements* which is effective as at 1 January 2023. The amendments require an entity to disclose its material accounting policy information rather than significant accounting policies. The amendments, amongst others, also include examples of circumstances in which an entity is likely to consider an accounting policy information to be material to its financial statements.

Accordingly, the Group disclosed its material accounting policy information in these consolidated financial statements. However, the amendments did not result in changes to the accounting policies of the Group.

Unless otherwise stated, the following material accounting policy information have been applied consistently to all the financial years presented in the consolidated financial statements of the Group.

3.1 Basis of consolidation

Subsidiary and business combination

The Group applies the acquisition method of accounting except for those business combinations which were accounted for using merger method of accounting. The subsidiary; MTS Fibromat (M) Sdn. Bhd. ("MTS Fibromat") is accounted for using the merger method of accounting.

A business combination involving entities under common control is a business combination in which all the combined entities are ultimately controlled by the same party and parties both before and after the business combination, and that control is not transitory. Under the merger method of accounting, the results of subsidiary are presented as if the business combination had been affected throughout the current and previous financial years. The assets and liabilities combined are accounted for based on the carrying amounts from the perspective of the common control shareholder at the date of transfer. On consolidation, the difference between the costs of acquisition over the nominal value of share capital of the subsidiary is taken to reorganisation reserve or merger deficit.

3.2 Financial instruments

Financial assets - subsequent measurement and gains and losses

Debt instruments at amortised cost

The Group subsequently measures these assets at amortised cost under the effective interest method. The gross carrying amount is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.2 Financial instruments (continued)

Financial liabilities – subsequent measurement and gains and losses

The Group classify the financial liabilities at amortised cost or fair value through profit or loss. Financial liabilities are classified as fair value through profit or loss if it is classified as held for trading, it is a derivative, it is contingent consideration of an acquirer in a business combination or it is designated as such on initial recognition. Financial liabilities at fair value through profit or loss are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss.

The Group measures the financial liabilities at amortised cost under the effective interest method. Interest expenses and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

3.3 Property, plant and equipment

Property, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

All property, plant and equipment are depreciated on straight-line basis by allocating their depreciable amounts over their remaining useful lives.

	Useful lives (years)
Buildings	50
Motor vehicles	5
Plant and machinery	10
Furniture and fittings, computer equipment and office equipment	5 - 10
Equipment and tools	10
Moulds and dies	10
Renovation	10
Laboratory equipment	10
Right-of-use assets	2 - 99

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.4 Leases

The Group presents right-of-use assets that do not meet the definition of investment property as property, plant and equipment in Note 5 and lease liabilities as loans and borrowings in Note 14.

Short-term leases and leases of low value assets

The Group has elected not to recognise right-of use assets and lease liabilities for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. Accordingly, the Company recognises the lease payments as an operating expense on a straight-line basis over the term of the lease.

Right-of-use assets

The right-of-use assets are measured at cost less accumulated depreciation and any accumulated impairment losses, and adjust for any remeasurement of the lease liabiltiies. The right-of-use assets are depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

Lease liabilities

The lease liabilities are initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the incremental borrowing rate.

The Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

3.5 Investment properties

Investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses.

All investment properties are depreciated on straight-line basis by allocating their depreciable amounts over their remaining useful lives.

	Useful lives (years)
Buildings	50

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.6 Inventories

Inventories are measured at the lower of cost and net realisable value. Costs incurred in bringing the inventories to their present location and condition are accounted for as follows:

- raw materials: purchase cost on a first-in first-out basis.
- finished goods and work-in-progress: costs of direct materials and labour and a proportion of manufacturing overheads based on normal operating capacity. These costs are assigned on a first-in first-out basis.

3.7 Revenue and other income

(a) Sale of goods - manufacturing

The Group manufactures and sells a range of erosion control products to local customers. Revenue from sale of manufactured goods is recognised at a point in time when control of the goods has been transferred, being when the customer accepts the delivery of the goods.

Sales are made with a credit term, which is consistent with market practice, therefore, no element of financing is deemed present.

There is no right of return and warranty provided to the customers on the sale of products.

Where consideration is collected from customer in advance for sale of manufactured good, a contract liability is recognised for the customer deposits. Contract liability would be recognised as revenue upon sale of manufactured goods to the customer.

(b) Construction contracts

The Group provides design and installation services to customers. Construction service contracts comprise multiple deliverables that require significant integration service and therefore accounted as a single performance obligation.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

3. MATERIAL ACCOUNTING POLICY INFORMATION (CONTINUED)

3.7 Revenue and other income (continued)

(b) Construction contracts (continued)

Under the terms of the contracts, control of the works performed is transferred over time as the Group creates and enhances an asset that the customer controls as the asset is created or enhanced. The progress towards complete satisfaction of a performance obligation is determined by the proportion of construction costs incurred for work performed to date bear to the estimated total construction costs (an input method).

Billings are made with a credit term, which is consistent with market practice, therefore, no element of financing is deemed present. The Group becomes entitled to invoice customers for the work performed based on achieving a series of performance-related milestones.

The Group recognises a contract asset for any excess of revenue recognised to date over the billings-to-date. Any amount previously recognised as a contract asset is reclassified to trade receivables at the point when invoice is issued or timing for billing is due to passage of time. If the milestone billing exceeds the revenue recognised to date and any deposit or advances received from customers then the Group recognises a contract liability for the difference.

Defect liability period is usually from 3 to 24 months from the date of the issuance of the final payment certificate as provided by customers.

(c) Dividend income

Dividend income is recognised when the right to receive payment is established.

3.8 Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The Chief Executive Officer of the Group, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the chief operating decision-maker that makes strategic decisions.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

4. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of consolidated financial statements in conformity with MFRSs requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the consolidated financial statements, and the reported amounts of the revenue and expenses during the reporting period. It also requires directors to exercise their judgement in the process of applying the Group's accounting policies. Although these estimates and judgement are based on the directors' best knowledge of current events and actions, actual results may differ.

The areas involving a higher degree of judgement or complexity that have the most significant effect on the Group's consolidated financial statements, or areas where assumptions and estimates that have a significant risk of resulting in a material adjustment to the Group's consolidated financial statements within the next financial year are disclosed as follows:

(a) Impairment of trade receivables and contract assets

The impairment provisions for trade receivables and contract assets are based on assumptions about risk of default and expected loss rate. The Group uses judgement in making these assumptions and selecting inputs to the impairment calculation, based on the Group's past history, existing market conditions as well as forward looking estimate at the end of each reporting period.

The Group uses a provision matrix to calculate expected credit losses for trade receivables and contract assets. The provision rates are depending on the number of days that a trade receivable is past due. The Group uses the grouping according to the customer segments that have similar loss patterns. The criteria include geographical region, product type, customer type and rating, collateral or trade credit insurance.

The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. At each reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forward-looking estimates and expected credit losses is a significant estimate. The amount of expected credit losses is sensitive to changes in circumstances and forecast of economic conditions over the expected lives of the financial assets and contract assets. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

The information about the impairment losses on the Group's financial assets and contract assets are disclosed in Note 26(b)(i).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

4. SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (CONTINUED)

(b) Construction revenue

The Group recognised construction revenue in profit or loss by using the progress towards complete satisfaction of performance obligation. The progress towards complete satisfaction of performance obligation is determined by the proportion that construction costs incurred for work performed to date bear to the estimated total construction costs.

Significant judgement is required in determining the progress towards complete satisfaction of performance obligation, the extent of the construction costs incurred, the estimated total construction revenue and expenses, as well as the recoverability of the construction projects. In making the judgement, the Group evaluates based on past experience and by relying on the work of specialists.

The carrying amounts of contract assets and contract liabilities are disclosed in Note 9.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT

FYE 31 December 2021	Note	Buildings RM'000	Motor vehicles RM'000	Plant and machinery RM'000	Furniture and fittings, computer equipment and office equipment RM'000	Equipment and tools RM'000	Moulds and dies RM'000	Renovation RM'000	Laboratory equipment RM'000	Right-of-use assets RM'000	Total RM'000
Cost											
At 1 January 2021		13,581	2,566	8,537	918	270	156	543	272	2,069	28,912
Additions		-	209	2,841	14	5	2	111	-	40	3,222
Written off		-	(178)	(13)	-	-	-	-	-	-	(191)
At 31 December 2021		13,581	2,597	11,365	932	275	158	654	272	2,109	31,943
Accumulated depreciation											
At 1 January 2021		1,063	2,116	5,026	762	226	118	123	122	166	9,722
Depreciation charge for the financial year	**21**	272	207	865	90	27	16	56	28	34	1,595
Written off		-	(162)	(2)	-	-	-	-	-	-	(164)
At 31 December 2021		1,335	2,161	5,889	852	253	134	179	150	200	11,153
Carrying amount											
At 1 January 2021		12,518	450	3,511	156	44	38	420	150	1,903	19,190
At 31 December 2021		12,246	436	5,476	80	22	24	475	122	1,909	20,790

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

FYE 31 December 2022	Note	Buildings RM'000	Motor vehicles RM'000	Plant and machinery RM'000	Furniture and fittings, computer equipment and office equipment RM'000	Equipment and tools RM'000	Moulds and dies RM'000	Renovation RM'000	Laboratory equipment RM'000	Right-of-use assets RM'000	Total RM'000
Cost											
At 1 January 2022		13,581	2,597	11,365	932	275	158	654	272	2,109	31,943
Additions		-	107	1,571	8	-	5	88	-	-	1,779
Disposals		-	(313)	-	-	-	-	-	-	-	(313)
At 31 December 2022		13,581	2,391	12,936	940	275	163	742	272	2,109	33,409
Accumulated depreciation											
At 1 January 2022		1,335	2,161	5,889	852	253	134	179	150	200	11,153
Depreciation charge for the financial year	**21**	272	164	1,037	47	16	16	68	28	41	1,689
Disposals		-	(313)	-	-	-	-	-	-	-	(313)
At 31 December 2022		1,607	2,012	6,926	899	269	150	247	178	241	12,529
Carrying amount											
At 1 January 2022		12,246	436	5,476	80	22	24	475	122	1,909	20,790
At 31 December 2022		11,974	379	6,010	41	6	13	495	94	1,868	20,880

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

FYE 31 December 2023	Note	Buildings RM'000	Motor vehicles RM'000	Plant and machinery RM'000	Furniture and fittings, computer equipment and office equipment RM'000	Equipment and tools RM'000	Moulds and dies RM'000	Renovation RM'000	Laboratory equipment RM'000	Right-of-use assets RM'000	Total RM'000
Cost											
At 1 January 2023		13,581	2,391	12,936	940	275	163	742	272	2,109	33,409
Additions		-	648	305	21	31	-	6	-	40	1,051
Disposals		-	(713)	-	(5)	-	-	-	-	-	(718)
Derecognition due to end of lease term		-	-	-	-	-	-	-	-	(40)	(40)
At 31 December 2023		13,581	2,326	13,241	956	306	163	748	272	2,109	33,702
Accumulated depreciation											
At 1 January 2023		1,607	2,012	6,926	899	269	150	247	178	241	12,529
Depreciation charge for the financial year	**21**	272	192	1,049	22	4	3	71	28	34	1,675
Disposals		-	(713)	-	(5)	-	-	-	-	-	(718)
Derecognition due to end of lease term		-	-	-	-	-	-	-	-	(33)	(33)
At 31 December 2023		1,879	1,491	7,975	916	273	153	318	206	242	13,453
Carrying amount											
At 1 January 2023		11,974	379	6,010	41	6	13	495	94	1,868	20,880
At 31 December 2023		11,702	835	5,266	40	33	10	430	66	1,867	20,249

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

FYE 31 December 2024	Note	Buildings RM'000	Motor vehicles RM'000	Plant and machinery RM'000	Furniture and fittings, computer equipment and office equipment RM'000	Equipment and tools RM'000	Moulds and dies RM'000	Renovation RM'000	Laboratory equipment RM'000	Right-of-use assets RM'000	Total RM'000
Cost											
At 1 January 2024		13,581	2,326	13,241	956	306	163	748	272	2,109	33,702
Additions		-	1,070	1,173	172	47	-	-	-	-	2,462
Disposals		-	(160)	(88)	(110)	-	-	-	-	-	(358)
At 31 December 2024		13,581	3,236	14,326	1,018	353	163	748	272	2,109	35,806
Accumulated depreciation											
At 1 January 2024		1,879	1,491	7,975	916	273	153	318	206	242	13,453
Depreciation charge for the financial year	**21**	271	324	1,046	40	6	3	72	10	41	1,813
Disposals		-	(160)	(77)	(110)	-	-	-	-	-	(347)
At 31 December 2024		2,150	1,655	8,944	846	279	156	390	216	283	14,919
Carrying amount											
At 1 January 2024		11,702	835	5,266	40	33	10	430	66	1,867	20,249
At 31 December 2024		11,431	1,581	5,382	172	74	7	358	56	1,826	20,887

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

5. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

(a) Assets pledged as security

Leasehold land and buildings with a carrying amount of RM13,251,346 (2023: RM13,543,868, 2022: RM13,836,391 and 2021: RM14,128,914) have been pledged as security to secure loans and borrowings of the Group as disclosed in Note 14.

Leased assets are pledged as security for the related lease liabilities as disclosed in Note 14. Certain leased assets are secured and supported with joint and several guarantee by certain directors of the Group.

The Group also leases motor vehicles and plant and machinery with lease term of 2 to 5 years, and have option to purchase the assets at the end of the contract term.

(b) Right-of-use assets

The Group leases several assets including leasehold land.

Information about the leases for which the Group is a lessee are presented below:

	Office Space RM'000	Long term leasehold land RM'000	Total RM'000
Carrying amount			
At 1 January 2021	-	1,903	1,903
Additions	40	-	40
Depreciation	(13)	(21)	(34)
At 31 December 2021	27	1,882	1,909
Depreciation	(20)	(21)	(41)
At 31 December 2022	7	1,861	1,868
Additions	40	-	40
Depreciation	(13)	(21)	(34)
Derecognition due to end of lease term	(7)	-	(7)
At 31 December 2023	27	1,840	1,867
Depreciation	(20)	(21)	(41)
At 31 December 2024	7	1,819	1,826

The Group leases land and buildings for its office space and operation site. The leases for office space and operation site generally have lease term of 2 to 99 years.

The Group also leases motor vehicles and plant and machinery with lease term of 2 to 5 years, and have option to purchase the assets at the end of the contract term.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

6. INVESTMENT PROPERTIES

	Note	Building RM'000	Properties under construction RM'000	Total RM'000
Cost				
At 1 January 2021		-	1,027	1,027
Additions		-	667	667
At 31 December 2021		-	1,694	1,694
Reclassification		667	(667)	-
At 31 December 2022		667	1,027	1,694
Additions		340	-	340
Reclassification		1,027	(1,027)	-
At 31 December 2023		2,034	-	2,034
Disposal		(696)	-	(696)
Reclassified to asset held for sale	**11**	(671)	-	(671)
At 31 December 2024		667	-	667
Accumulated depreciation				
At 1 January 2021/31 December 2021		-	-	-
Depreciation charge for the financial year	**21**	22	-	22
At 31 December 2022		22	-	22
Depreciation charge for the financial year	**21**	41	-	41
At 31 December 2023		63	-	63
Depreciation charge for the financial year	**21**	41	-	41
Disposal		(28)	-	(28)
Reclassified to asset held for sale	**11**	(27)	-	(27)
At 31 December 2024		49	-	49
Carrying amount				
At 31 December 2021		-	1,694	1,694
At 31 December 2022		645	1,027	1,672
At 31 December 2023		1,971	-	1,971
At 31 December 2024		618	-	618

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

6. INVESTMENT PROPERTIES (CONTINUED)

The following are recognised in profit or loss in respect of investment properties:

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Rental income	-	-	26	-
Direct operating expenses:				
- Income generating investment property	-	-	14	-
- Non-income generating investment property	-	6	-	16

Fair value information

The fair value of the investment property under construction cannot be reliably determined and accordingly, the fair value is measured at cost.

The fair value of the building of approximately RM645,000 (2023: RM2,367,008, 2022: RM644,439 and 2021: RMNil) is categorised at Level 3 of the fair value hierarchy.

There are no Level 1 and Level 2 investment properties or transfer between Level 1, Level 2 and Level 3 during the financial years ended 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024.

Level 3 fair value

The following table shows the valuation techniques used in the determination of fair values within level 3, as well as the significant unobservable inputs used in the valuation models.

Description	Valuation technique	Significant unobservable inputs	Relationship of unobservable inputs to fair value
Building	Sales comparison approach	Prices per square foot	The higher the price per square foot, the higher the fair value

Valuation processes applied by the Group

The Group's finance department includes a team that performs valuation analysis of building required for financial reporting purposes, including Level 3 fair values. This team reports directly to the director.

Highest and best use

In estimating the fair value of the properties, the highest and best use of the properties is their current use.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

7. INVENTORIES

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
At lower of cost and net realisable value:				
Raw materials	3,645	4,410	6,095	6,104
Work-in-progress	302	225	125	117
Finished goods	9,389	9,630	10,032	11,486
	13,336	14,265	16,252	17,707

The cost of inventories of the Group recognised as an expense in cost of sales during the financial year was RM30,902,264 (2023: RM21,040,125, 2022: RM20,671,948 and 2021: RM18,244,024).

8. TRADE AND OTHER RECEIVABLES

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Trade				
Trade receivables	17,477	21,124	19,339	25,788
Less: Impairment loss for trade receivables	(1,860)	(788)	(765)	(1,049)
	15,617	20,336	18,574	24,739
Non-trade				
Other receivables	266	25	139	919
Deposits	128	111	370	245
Prepayments	791	1,749	1,580	1,709
	1,185	1,885	2,089	2,873
Total trade and other receivables	16,802	22,221	20,663	27,612

Trade receivables

Trade receivables are non-interest bearing and normal credit terms offered by the Group ranging from 14 to 90 days (2023 and 2022: 14 to 90 days and 2021: 14 to 150 days) from the date of invoices. Other credit terms are assessed and approved on a case by case basis.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

8. TRADE AND OTHER RECEIVABLES (CONTINUED)

Receivables that are impaired

The Group's trade receivables that are impaired at the reporting date and the reconciliation of movement in the impairment of trade receivables are as follows:

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
At 1 January	2,502	1,860	788	765
Charge for the financial year				
- Individually assessed	278	77	-	-
- Collectively assessed	300	-	376	366
Reversal of impairment losses				
- Individually assessed	(553)	(569)	(117)	(82)
- Collectively assessed	(536)	-	-	-
Written off	(131)	(580)	(282)	-
At 31 December	**1,860**	**788**	**765**	**1,049**

The information about the credit exposures are disclosed in Note 26(b)(i).

9. CONTRACT ASSETS/(LIABILITIES)

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Contract assets relating to erosion control service contracts	2,158	983	6,823	7,488
Total contract assets	**2,158**	**983**	**6,823**	**7,488**
Contract liabilities relating to erosion control service contracts	(352)	(201)	(518)	(287)
Contract liabilities relating to erosion control products	(263)	-	-	-
Total contract liabilities	**(615)**	**(201)**	**(518)**	**(287)**

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

9. CONTRACT ASSETS/(LIABILITIES) (CONTINUED)

(a) Contract assets

The contract assets represent the Group's rights to consideration for erosion control service contracts but yet to be billed. Contract assets are transferred to receivables when the right become unconditional.

(b) Contract liabilities

The contract liabilities represent progress billings and deposits received for erosion control service contracts for which performance obligations have not been satisfied.

(c) Significant changes in contract balances

	Audited as at 31 December							
	2021		2022		2023		2024	
	Contract assets increase/ (decrease) RM'000	Contract liabilities (increase)/ decrease RM'000	Contract assets increase/ (decrease) RM'000	Contract liabilities (increase)/ decrease RM'000	Contract assets increase/ (decrease) RM'000	Contract liabilities (increase)/ decrease RM'000	Contract assets increase/ (decrease) RM'000	Contract liabilities (increase)/ decrease RM'000
Revenue recognised that was included in contract liability at the beginning of the financial year	-	273	-	615	-	201	-	518
Increase due to invoice issued to customers, but revenue not recognised	-	(615)	-	(201)	-	(518)	-	(287)
Increase due to revenue recognised for unbilled services transferred to customers	2,074	-	983	-	6,823	-	7,488	-
Transfer from contract assets recognised at the beginning of the period to receivables	(1,093)	-	(2,158)	-	(983)	-	(6,823)	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

9. CONTRACT ASSETS/(LIABILITIES) (CONTINUED)

(d) Revenue recognised in relation to contract balances

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Revenue recognised that was included in contract liability at the beginning of the financial year	273	615	201	518

Revenue recognised that was included in the contract liabilities balance at the beginning of the year represented primarily revenue from the sale of erosion control service contracts and sales of erosion control products when percentage of completion increases.

10. CASH AND SHORT-TERM DEPOSITS

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Cash and bank balances	4,406	1,637	4,137	4,494
Short-term deposits	1,218	1,240	1,264	1,284
	5,624	2,877	5,401	5,778

For the purposes of the statements of cash flows, cash and cash equivalents comprise of the following:

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Short-term deposits	1,218	1,240	1,264	1,284
Less: Pledged deposits	(1,218)	(1,240)	(1,264)	(1,284)
	-	-	-	-
Cash and bank balances	4,406	1,637	4,137	4,494
Bank overdraft (Note 14)	-	(1,034)	-	-
	4,406	603	4,137	4,494

Included in the deposits placed with licensed bank of the Group, RM1,284,010 (2023: RM1,264,147, 2022: RM1,239,633 and 2021: RM1,218,656) is pledged for banking facilities granted to the Group as disclosed in Note 14.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

11. ASSET CLASSIFIED AS HELD FOR SALE

On 2 September 2024, the Board of Directors approved to dispose an investment property, A-10-03, Block A, Pangsapuri Damai Vista, Jalan Damai Perdana, 1/1, 56000 Kuala Lumpur, Selangor Darul Ehsan. The completion date for the transaction is expected to complete on by 2nd quarter of 2025.

Asset classified as held for sale

	Audited as at 31 December 2024 RM'000
Investment property	644

12. SHARE CAPITAL

	Number of ordinary shares			
	2021 Unit'000	2022 Unit'000	2023 Unit'000	2024 Unit'000
Issued and fully paid up (no par value):				
At 1 January/31 December	216,000	216,000	216,000	216,000

	Amount			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Issued and fully paid up (no par value):				
At 1 January/31 December	44,700	44,700	44,700	44,700

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All ordinary shares rank equally with regard to the Company's residual assets.

The Company did not issue any new shares or debentures during the financial year.

13. MERGER RESERVE

The merger reserve resulted from the difference between the carrying value of the investment in subsidiary and the nominal value of the shares of the Company's subsidiary upon consolidation.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

14. LOANS AND BORROWINGS

	Note	Audited as at 31 December 2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Non-current:					
Term loans	**(a)**	5,961	8,471	6,364	4,608
Lease liabilities	**(b)**	886	650	762	1,280
		6,847	9,121	7,126	5,888
Current:					
Term loans	**(a)**	1,676	1,960	2,008	1,969
Lease liabilities	**(b)**	496	474	562	751
Bankers' acceptance	**(c)**	4,229	3,491	-	2,951
Bank overdraft	**(d)**	-	1,034	-	-
		6,401	6,959	2,570	5,671
Total loans and borrowings:					
Term loans	**(a)**	7,637	10,431	8,372	6,577
Lease liabilities	**(b)**	1,382	1,124	1,324	2,031
Bankers' acceptance	**(c)**	4,229	3,491	-	2,951
Bank overdraft	**(d)**	-	1,034	-	-
		13,248	16,080	9,696	11,559

(a) Term loans

The term loans of the Group bear interest ranging from 3.05% to 7.45% (2023: 1.50% to 10.81%, 2022: 2.81% to 10.81% and 2021: 2.90% to 10.81%) per annum and are secured and supported as follow:

(i) Legal charge over the leasehold land and buildings of the Group as disclosed in Note 5;
(ii) Deposit with licensed banks as disclosed in Note 10;
(iii) Joint and several guarantee by certain directors of the Group;
(iv) Corporate guarantee provided by Credit Guarantee Corporation Malaysia Berhad;
(v) Corporate guarantee provided by the Group; and
(vi) Assignment of a Single Premium Reducing Term Plan issued by Sun Life Malaysia Assurance Berhad under the name of a director of the Group.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

14. LOANS AND BORROWINGS (CONTINUED)

(b) Lease liabilities

Future minimum lease payments together with the present value of net minimum lease payments are as follows:

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Minimum lease payments:				
Not later than one year	564	517	592	844
Later than one year and not later than five years	939	750	833	1,387
	1,503	1,267	1,425	2,231
Less: Future finance charges	(121)	(143)	(101)	(200)
Present value of minimum lease payments	1,382	1,124	1,324	2,031
Present value of minimum lease payments:				
Not later than one year	496	474	562	751
Later than one year and not later than five years	886	650	762	1,280
	1,382	1,124	1,324	2,031
Less: Amount due within twelve months	(496)	(474)	(562)	(751)
Amount due after twelve months	886	650	762	1,280

(c) Bankers' acceptance

The bankers' acceptance of the Group bear interest ranging from 3.47% to 5.56% (2023: NIL %, 2022: 3.11% to 3.88% and 2021: 1.93% to 2.26%) per annum and are secured and supported as follow:

(i) Legal charge over the leasehold land and buildings of the Group as disclosed in Note 5;
(ii) Deposit with licensed banks as disclosed in Note 10;
(iii) Joint and several guarantee by certain director of the Group; and
(iv) Corporate guarantee provided by the Company.

(d) Bank overdraft

Bank overdraft of the Company of bears interest at NIL % (2023: NIL%, 2022: 6.95% and 2021: NIL %) per annum and is secured and supported as follows:

(i) Legal charge over the leasehold land and buildings of the Group as disclosed in Note 5;
(ii) Deposit with licensed banks as disclosed in Note 10; and
(iii) Joint and several guarantee by the Company's directors.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

15. DEFERRED TAX LIABILITIES

	At 1 January 2021 RM'000	Recognised in profit or loss (Note 23) RM'000	At 31 December 2021 RM'000
Deferred tax liabilities:			
Property, plant and equipment	(871)	36	(835)
Unrealised foreign exchange	(2)	(7)	(9)
	(873)	29	(844)
Deferred tax assets:			
Expected credit losses on trade receivables	455	(97)	358
Lease liabilities	-	(*)	(*)
	455	(97)	358
	(418)	(68)	(486)

	At 1 January 2022 RM'000	Recognised in profit or loss (Note 23) RM'000	At 31 December 2022 RM'000
Deferred tax liabilities:			
Property, plant and equipment	(835)	(508)	(1,343)
Unrealised foreign exchange	(9)	2	(7)
	(844)	(506)	(1,350)
Deferred tax assets:			
Expected credit losses on trade receivables	358	(257)	101
Lease liabilities	(*)	(*)	(*)
Contract liabilities	-	48	48
	358	(209)	149
	(486)	(715)	(1,201)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

15. DEFERRED TAX LIABILITIES (CONTINUED)

	At 1 January 2023 RM'000	Recognised in profit or loss (Note 23) RM'000	At 31 December 2023 RM'000
Deferred tax liabilities:			
Property, plant and equipment	(1,343)	6	(1,337)
Unrealised foreign exchange	(7)	38	31
	(1,350)	44	(1,306)
Deferred tax assets:			
Expected credit losses on trade receivables	101	83	184
Lease liabilities	(*)	1	1
Contract liabilities	48	76	124
	149	160	309
	(1,201)	204	(997)

	At 1 January 2024 RM'000	Recognised in profit or loss (Note 23) RM'000	At 31 December 2024 RM'000
Deferred tax liabilities:			
Property, plant and equipment	(1,337)	365	(972)
Unrealised foreign exchange	31	(48)	(17)
	(1,306)	317	(989)
Deferred tax assets:			
Expected credit losses on trade receivables	184	68	252
Lease liabilities	1	(*)	*
Contract liabilities	124	(55)	69
	309	13	321
	(997)	330	(668)

* *Less than 1,000*

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

15. DEFERRED TAX LIABILITIES (CONTINUED)

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Presented after approriate offsetting as follows:				
Deferred tax assets	358	149	309	321
Deferred tax liabilities	(844)	(1,350)	(1,306)	(989)
	(486)	(1,201)	(997)	(668)

16. TRADE AND OTHER PAYABLES

		Audited as at 31 December			
	Note	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Trade					
Trade payables	(a)	6,091	4,707	11,372	11,028
Non-trade					
Other payables		289	365	603	477
Deposits payable		-	2	2	36
Accruals		268	292	448	731
Amount owing to directors	(b)	3	-	-	-
Sales and service tax ("SST") payable		-	109	209	180
		560	768	1,262	1,424
Total trade and other payables		6,651	5,475	12,634	12,452

(a) Trade payables

Trade payables are non-interest bearing and the normal trade credit term granted to the Group ranges from 30 to 120 days (2023, 2022 and 2021: 30 to 120 days).

(b) Amount owing to directors

Amount owing to directors are unsecured, non-interest bearing and repayable upon demand.

For explanations on the Group's liquidity risk management processes, refer to Note 26(b)(ii).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

17. REVENUE

	Audited FYE 31 December			
	2021	**2022**	**2023**	**2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Revenue from contract customers:				
Sale of goods	26,309	29,152	34,115	38,708
Services rendered	18,324	18,801	34,185	36,755
	44,633	47,953	68,300	75,463
Revenue from other source:				
Commission	1,154	-	-	-
	45,787	47,953	68,300	75,463

(a) Disaggregation of revenue

The Group reports the following major segments: trading and manufacturing, design and installation services and commission in accordance with MFRS 8 *Operating Segments*. For the purposes of disclosure for disaggregation of revenue, it disaggregates revenue into timing of revenue recognition (i.e. goods transferred at a point in time or services transferred over time).

	Design and installation services RM'000	**Trading RM'000**	**Manufacturing RM'000**
FYE 31 December 2021			
Timing of revenue recognition:			
At a point in time	-	17,522	9,941
Over time	18,324	-	-
	18,324	17,522	9,941
FYE 31 December 2022			
Timing of revenue recognition:			
At a point in time	-	17,788	11,364
Over time	18,801	-	-
	18,801	17,788	11,364

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

17. REVENUE (CONTINUED)

(a) Disaggregation of revenue (continued)

	Design and installation services RM'000	Trading RM'000	Manufacturing RM'000
FYE 31 December 2023			
Timing of revenue recognition:			
At a point in time	-	25,325	8,790
Over time	34,185	-	-
	34,185	25,325	8,790
FYE 31 December 2024			
Timing of revenue recognition:			
At a point in time	-	25,557	13,151
Over time	36,755	-	-
	36,755	25,557	13,151

(b) Transaction price allocated to the remaining performance obligations

	← Audited FYE 31 December →			
	2022 RM'000	2023 RM'000	2024 RM'000	2025 RM'000
At 31 December 2021				
Revenue expected to be recognised on				
- Sale of goods	263	-	-	-
- Service rendered	352	-	-	-
	615	-	-	-
At 31 December 2022				
Revenue expected to be recognised on				
- Service rendered	-	201	-	-
At 31 December 2023				
Revenue expected to be recognised on				
- Service rendered	-	-	518	-
At 31 December 2024				
Revenue expected to be recognised on				
- Service rendered	-	-	-	287

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

18. COST OF SALES

	Audited FYE 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Cost of goods sold	22,590	25,249	24,928	30,780
Service costs	11,399	12,169	26,236	23,976
	33,989	37,418	51,164	54,756

19. OTHER INCOME

	Audited FYE 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Interest income	29	26	29	26
Insurance claimed	43	-	-	134
Net unrealised foreign exchange gain	17	96	130	-
Net realised foreign exchange gain	22	-	-	242
Reversal of impairment loss on trade receivables	1,089	569	117	82
Sales commission	94	-	121	-
Gain on disposal of property, plant and equipment	-	111	255	13
Rental income from investment property	-	-	26	-
Bad debt recovery	-	-	13	-
Government subsidies	-	42	29	-
Trade payables written back	-	67	-	-
Miscellaneous	-	30	-	98
	1,294	941	720	595

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

20. FINANCE COSTS

	Audited FYE 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Term loans	324	583	634	560
Bankers' acceptance	43	220	257	231
Bank overdraft	24	58	53	101
Lease liabilities	76	59	62	126
Bank charges	74	32	41	40
	541	952	1,047	1,058

21. PROFIT BEFORE TAX

Other than disclosed elsewhere in the financial statements, the following items have been charged in arriving at profit before tax:

		Audited FYE 31 December			
	Note	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Auditors' remuneration					
- Baker Tilly Monteiro Heng PLT		85	108	130	150
Other services					
- Baker Tilly Monteiro Heng PLT		43	-	53	247
Depreciation of property, plant and equipment	**5**	1,595	1,689	1,675	1,813
Depreciation of investment properties	**6**	-	22	41	41
Property, plant and equipment written off		27	-	-	-
Derecognition due to end of lease term		-	-	7	-
Expense relating to lease of low value assets		7	-	-	-
Impairment loss on financial assets					
- Impairment loss on trade receivables		578	77	376	366
Loss on disposal of an investment property		-	-	-	168
Expense relating to short-term lease:					
- Buildings		-	-	-	101
Net realised foreign exchange loss		-	65	214	-
Net unrealised foreign exchange loss		-	-	-	17
Employee benefits expense	**22**	2,949	3,434	3,803	5,146

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

22. EMPLOYEE BENEFITS EXPENSE

	Audited FYE 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Fees, salaries, bonuses and allowances	2,462	3,037	2,857	3,669
Defined contribution plans	260	300	330	447
Other staff related benefits	227	97	616	1,030
	2,949	3,434	3,803	5,146
Included in employee benefits expense are:				
Directors of the Group:				
- Directors fee	89	125	105	122
- Salaries, bonuses and allowances	349	441	518	559
- Defined contribution plans	52	66	72	81
- Other staff related benefits	3	3	3	3
	493	635	698	765

The estimated value of benefits-in-kind provided to the directors of the Group during the financial year amounted to RMNil (2023 and 2022: RMNil and 2021: RM33,750).

23. INCOME TAX EXPENSE

The major components of income tax expense for the financial years ended 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024 are as follows:

	Audited FYE 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Statement of comprehensive income				
Current income tax:				
- Current income tax charge	1,727	1,122	3,027	3,941
- Adjustment in respect of prior years	300	60	(84)	(154)
	2,027	1,182	2,943	3,787
Deferred tax (Note 15):				
- Origination of temporary differences	290	479	(127)	(89)
- Adjustment in respect of prior years	(222)	236	(77)	(241)
	68	715	(204)	(330)
Income tax expense recognised in profit or loss	2,095	1,897	2,739	3,457

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

23. INCOME TAX EXPENSE (CONTINUED)

Domestic income tax is calculated at the Malaysian statutory rate of 24% of the estimated assessable profit for the financial year.

The reconciliations from the tax amount at the statutory income tax rate to the Group's tax expense are as follows:

	Audited FYE 31 December			
	2021	**2022**	**2023**	**2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Profit before tax	7,848	5,434	11,229	13,431
Tax at Malaysian statutory income tax rate of 24%	1,884	1,304	2,695	3,223
Adjustments:				
Income not subject to tax	(89)	(6)	(7)	(7)
Reinvestment allowance	(65)	-	-	-
Investment tax allowance	-	(213)	-	-
Non-deductible expenses	287	516	212	636
Adjustment in respect of current income tax of prior years	300	60	(84)	(154)
Adjustment in respect of deferred tax of prior years	(222)	236	(77)	(241)
Income tax expense	2,095	1,897	2,739	3,457

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

24. EARNINGS PER SHARE

(a) Basic earnings per ordinary share

Basic earnings per share are based on the profit for the financial year attributable to owners of the Group and the weighted average number of ordinary shares outstanding during the financial year, calculated as follows:

	← Audited FYE 31 December →			
	2021	**2022**	**2023**	**2024**
	RM'000	**RM'000**	**RM'000**	**RM'000**
Profit attributable to owners of the Group	5,753	3,537	8,490	9,974
	2021	**2022**	**2023**	**2024**
	Unit'000	**Unit'000**	**Unit'000**	**Unit'000**
Weighted average number of ordinary shares for basic earnings per share	216,000	216,000	216,000	216,000
	2021	**2022**	**2023**	**2024**
	sen	**sen**	**sen**	**sen**
Basic earnings per share	2.66	1.64	3.93	4.62

(b) Diluted earnings per share

The diluted earnings per share of the Group for the financial years are equivalent to the basic earnings per ordinary share of the Group as the Company has no dilutive potential ordinary shares.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

25. DIVIDENDS

	Audited FYE 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Recognised during the financial year:				
Dividends on ordinary shares:				
- Single-tier interim dividend for the financial year ended 31 December 2021: RM0.023 per ordinary share, paid on 11 March 2021	5,000	-	-	-
- Single-tier interim dividend for the financial year ended 31 December 2022: RM0.014 per ordinary share, paid on 28 October 2022	-	3,024	-	-
- Single-tier interim dividend for the financial year ended 31 December 2023: RM0.010 per ordinary share, paid on 13 March 2023	-	-	2,160	-
- Single-tier interim dividend for the financial year ended 31 December 2024: RM0.010 per ordinary share, paid on 3 April 2024	-	-	-	2,160

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS

(a) Categories of financial instruments

The following table analyses the financial instruments in the consolidated statements of financial position by the classes of financial instruments to which they are assigned:

(i) Amortised cost

	Carrying amount RM'000	Amortised cost RM'000
At 31 December 2021		
Financial assets		
Trade and other receivables, less prepayments	16,011	16,011
Cash and short-term deposits	5,624	5,624
	21,635	21,635
Financial liabilities		
Loans and borrowings	(13,248)	(13,248)
Trade and other payables, less SST payable	(6,651)	(6,651)
	(19,899)	(19,899)
At 31 December 2022		
Financial assets		
Trade and other receivables, less prepayments	20,472	20,472
Cash and short-term deposits	2,877	2,877
	23,349	23,349
Financial liabilities		
Loans and borrowings	(16,080)	(16,080)
Trade and other payables, less SST payable	(5,366)	(5,366)
	(21,446)	(21,446)
At 31 December 2023		
Financial assets		
Trade and other receivables, less prepayments	19,083	19,083
Cash and short-term deposits	5,401	5,401
	24,484	24,484
Financial liabilities		
Loans and borrowings	(9,696)	(9,696)
Trade and other payables, less SST payable	(12,425)	(12,425)
	(22,121)	(22,121)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(a) Categories of financial instruments (continued)

(i) Amortised cost

	Carrying amount RM'000	Amortised cost RM'000
At 31 December 2024		
Financial assets		
Trade and other receivables, less prepayments	25,903	25,903
Cash and short-term deposits	5,778	5,778
	31,681	31,681
Financial liabilities		
Loans and borrowings	(11,559)	(11,559)
Trade and other payables, less SST payable	(12,272)	(12,272)
	(23,831)	(23,831)

(b) Financial risk management

The Group's activities are exposed to a variety of financial risks arising from its operations and the use of financial instruments. The key financial risks include credit risk, liquidity risk, foreign currency risk and interest rate risk. The Group's overall financial risk management objective is to optimise value for its shareholders. The Group does not trade in financial instruments.

The Board of Directors reviews and agrees to policies and procedures for the management of these risks, which are executed by the Group's senior management.

(i) Credit risk

Credit risk is the risk of financial loss to the Group that may arise on outstanding financial instruments should a counterparty default on its obligations. The Group is exposed to credit risk arises from its operating activities (primarily trade receivables) and its financing activities, including deposits with banks and financial institutions, foreign exchange transactions and other financial instruments. The Group has a credit policy in place and the exposure to credit risk is managed through the application of credit approvals, credit limits and monitoring procedures. Credit worthiness of a customer is assessed based on a set of evaluation criteria and individual credit limits are defined in accordance with this assessment.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

The Group considers a financial asset to be in default when:

- the counterparty is unable to pay its credit obligations to the Group in full, without taking into account any credit enhancements held by the Group; or
- the contractual payment of the financial asset is more than the credit term unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

At the end of the reporting period, the Group assesses whether financial assets carried at amortised cost are credit impaired. A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Those events evidence that a financial asset is credit-impaired include observable data about the following events:

- significant financial difficulty of the counterparty;
- a breach of contract, including a default event;
- a concession or restructuring of loans granted by the lender of the counterparty relating to the counterparty's financial difficulty; or
- it is probable that the counterparty will enter bankruptcy or other financial reorganisation.

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group determines that the debtor does not have assets or source of income that could generate sufficient cash flows to repay the amounts subject to the write off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedure for recovery of amounts due.

Trade receivables and contract assets

As at the end of the reporting period, the maximum exposure to credit risk arising from trade receivables and contract assets is represented by the carrying amounts in the consolidated statements of financial position.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The carrying amount of trade receivables and contract assets are not secured by any collateral or supported by any other credit enhancements. The Group has adopted a policy of dealing with creditworthy counterparties as a means of mitigating the risk of financial loss from defaults. The Group uses ageing analysis to monitor the credit quality of trade receivables. In managing credit risks of trade receivables, the Group also takes appropriate actions (including but not limited to legal actions) to recover long past due balances.

Credit risk concentration profile
The Group has no significant concentration of credit risk from its receivables.

The Group applies the simplified approach to provide for expected credit losses prescribed by MFRS 9 *Financial Instruments*, which permits the use of the lifetime expected loss provision for all trade receivables and contract assets. The Group uses a provision matrix to measure expected credit losses for trade receivables. To measure the impairment losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due. The impairment losses also incorporate forward looking information. Forward-looking information considered includes consideration of various external sources of actual and forecast economic information that relate to the Group's core operations. The Group believes that changes in economic conditions over these periods would not materially impact the impairment calculation of the receivables.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The information about the credit risk exposure on the Group's trade receivables and contract assets using a provision matrix are as follows:

		Trade receivables							
	Contract assets	**Current**	**1 to 30 days past due**	**31 to 60 days past due**	**61 to 90 days past due**	**91 to 120 days past due**	**121 to 150 days past due**	**>150 days past due**	**Total**
At 31 December 2021									
Expected credit loss rate	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	41.2%	10.6%
Gross carrying amount at default (RM'000)	2,158	5,072	5,493	1,062	595	167	576	4,512	17,477
Impairment losses (RM'000)	-	-	(*)	(1)	-	-	-	(1,859)	(1,860)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The information about the credit risk exposure on the Group's trade receivables and contract assets using a provision matrix are as follows: (continued)

		Trade receivables							
	Contract assets	**Current**	**1 to 30 days past due**	**31 to 60 days past due**	**61 to 90 days past due**	**91 to 120 days past due**	**121 to 150 days past due**	**>150 days past due**	**Total**
At 31 December 2022									
Expected credit loss rate	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	12.1%	3.7%
Gross carrying amount at default (RM'000)	983	6,420	3,709	3,011	724	317	411	6,532	21,124
Impairment losses (RM'000)	-	-	(*)	-	-	-	-	(788)	(788)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The information about the credit risk exposure on the Group's trade receivables and contract assets using a provision matrix are as follows: (continued)

		Trade receivables							
	Contract assets	Current	1 to 30 days past due	31 to 60 days past due	61 to 90 days past due	91 to 120 days past due	121 to 150 days past due	>150 days past due	Total
At 31 December 2023									
Expected credit loss rate	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	15.4%	4.0%
Gross carrying amount at default (RM'000)	6,823	5,360	3,402	3,072	2,183	219	139	4,964	19,339
Impairment losses (RM'000)	-	-	-	-	-	-	-	(765)	(765)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Trade receivables and contract assets (continued)

The information about the credit risk exposure on the Group's trade receivables and contract assets using a provision matrix are as follows: (continued)

		Trade receivables							
	Contract assets	**Current**	**1 to 30 days past due**	**31 to 60 days past due**	**61 to 90 days past due**	**91 to 120 days past due**	**121 to 150 days past due**	**>150 days past due**	**Total**
At 31 December 2024									
Expected credit loss rate	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	11.3%	4.1%
Gross carrying amount at default (RM'000)	7,488	4,619	5,376	3,758	1,758	527	446	9,304	25,788
Impairment losses (RM'000)	-	-	-	-	-	-	-	(1,049)	(1,049)

** Less than 1,000*

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Other receivables and other financial assets

For other receivables and other financial assets (including cash and cash equivalents), the Group minimises credit risk by dealing exclusively with high credit rating counterparties. At the reporting date, the Group's maximum exposure to credit risk arising from other receivables and other financial assets is represented by the carrying amount of each class of financial assets recognised in the consolidated statements of financial position.

The Group considers the probability of default upon initial recognition of asset and whether there have been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk, the Group compares the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportive forward-looking information. Especially the following indicators are incorporated:

- internal credit rating;
- external credit rating (as far as available);
- actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the counterparty's ability to meet its obligations;
- actual or expected significant changes in the operating results of the counterparty;
- significant increases in credit risk on other financial instruments of the same counterparty;
- significant changes in the value of the collateral supporting the obligation or in the quality of third-party guarantees or credit enhancements; and
- significant changes in the expected performance and behaviour of the borrower, including changes in the payment status of borrowers in the Group and changes in the operating results of the counterparty.

Macroeconomic information (such as market interest rates or growth rates) is incorporated as part of the internal rating model.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than the credit term in making a contractual payment.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(i) Credit risk (continued)

Other receivables and other financial assets (continued)

Some intercompany balances between entities within the Group comprise loans or advances which are repayable on demand. The Group regularly monitors the financial performance and position of these entities on an individual basis. When these entities' financial performance and position deteriorates significantly, the Group assumes that there is significant increase in credit risk, and thereby a lifetime expected credit loss assessment is necessary As the Group is able to determine the timing of repayment of the loans or advances, the Group will consider the loans or advances to be in default when these entities are unable to pay based on the expected manner of recovery and recovery period. The Group determines the probability of default for these loans or advances using internally available information. The Group considers the loan or advances to be credit-impaired when the entities are unlikely to repay their debts.

As at the end of the reporting date, the Group considers the other receivables and other financial assets as low credit risk and any loss allowance would be negligible.

(ii) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting financial obligations when they fall due. The Group's exposure to liquidity risk arises primarily from mismatches of the maturities between financial assets and liabilities. The Group's exposure to liquidity risk arises principally from trade and other payables and loans and borrowings.

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by facilities. The Group maintains sufficient liquidity and available funds to meet daily cash needs, while maintaining controls and security over cash movements. The Group uses a series of processes to obtain maximum benefits from its flow of funds, such that they are efficiently managed to maximise income from investment and minimised cost on borrowed funds. The Group's finance department also ensures that there are sufficient unutilised stand-by facilities, funding and liquid assets available to meet both short-term and long-term funding requirements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(ii) Liquidity risk (continued)

Maturity analysis

The maturity analysis of the Group's financial liabilities by its relevant maturity at the reporting date is based on the contractual undiscounted repayment obligations are as follows is:

		← Contractual cash flows →			
	Carrying amount RM'000	On demand or within one year RM'000	Between one and five years RM'000	More than five years RM'000	Total RM'000
At 31 December 2021					
Trade and other payables, less SST payable	6,651	6,651	-	-	6,651
Term loans	7,637	2,082	5,237	1,760	9,079
Lease liabilities	1,382	564	939	-	1,503
Bankers' acceptance	4,229	4,229	-	-	4,229
	19,899	13,526	6,176	1,760	21,462
At 31 December 2022					
Trade and other payables, less SST payable	5,366	5,366	-	-	5,366
Term loans	10,431	2,967	7,113	2,301	12,381
Lease liabilities	1,124	517	750	-	1,267
Bankers' acceptance	3,491	3,491	-	-	3,491
Bank overdraft	1,034	1,034	-	-	1,034
	21,446	13,375	7,863	2,301	23,539
At 31 December 2023					
Trade and other payables, less SST payable	12,425	12,425	-	-	12,425
Term loans	8,372	2,473	5,219	1,946	9,638
Lease liabilities	1,324	592	833	-	1,425
	22,121	15,490	6,052	1,946	23,488
At 31 December 2024					
Trade and other payables, less SST payable	12,272	12,272	-	-	12,272
Term loans	6,577	2,312	3,626	1,713	7,651
Lease liabilities	2,031	844	1,387	-	2,231
Bankers' acceptance	2,951	2,951	-	-	2,951
	23,831	18,379	5,013	1,713	25,105

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(iii) Foreign currency risk

Foreign currency risk is the risk of fluctuation in fair value or future cash flows of a financial instrument as a result of changes in foreign exchange rates. The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when sales, purchases and bank balances that are denominated in a foreign currency).

The Group's unhedged financial assets and liabilities of the Group that are not denominated in their functional currencies are as follows:

	Audited as at 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Financial assets and liabilities not held in functional currencies:				
Trade receivables				
United State Dollar ("USD")	1,154	-	2	-
Singapore Dollar ("SGD")	151	3	41	132
Chinese Renminbi ("CNY")	-	-	-	-
	1,305	3	43	132
Other receivables				
USD	21	-	-	12
CNY	3	-	-	24
	24	-	-	36
Cash and short-term deposits				
USD	24	3	57	49
SGD	362	11	75	149
EUR	18	1	*	1
	404	15	132	199
Trade payables				
USD	2,264	529	1,224	1,176
Swiss Franc ("CHF")	1	-	-	-
CNY	-	1,559	2,515	1,472
EUR	*	-	-	-
SGD	-	1	-	-
	2,265	2,089	3,739	2,648

** Less than 1,000*

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(iii) Foreign currency risk (continued)

Sensitivity analysis for foreign currency risk
The Group's principal foreign currency exposure relates mainly to USD, SGD, EUR, CNY and CHF.

The following table demonstrates the sensitivity to a reasonably possible change in the USD, SGD, EUR, CNY and CHF, with all other variables held constant on the Group's total equity and profit for the financial years.

	Change in rate %	Effect on net profit for the financial year/ equity RM'000
At 31 December 2021		
USD	+3	(24)
	-3	24
SGD	+3	8
	-3	(8)
EUR	+3	*
	-3	(*)
CHF	+3	(*)
	-3	*
At 31 December 2022		
USD	+3	(12)
	-3	12
SGD	+3	*
	-3	(*)
EUR	+3	*
	-3	(*)
CNY	+3	(36)
	-3	36

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(iii) Foreign currency risk (continued)

Sensitivity analysis for foreign currency risk (continued)

The following table demonstrates the sensitivity to a reasonably possible change in the USD, SGD, EUR, CNY and CHF, with all other variables held constant on the Group's total equity and profit for the financial years. (continued)

	Change in rate %	Effect on net profit for the financial year/ equity RM'000
At 31 December 2023		
USD	+3	(27)
	-3	27
SGD	+3	2
	-3	(2)
EUR	+3	*
	-3	(*)
CNY	+3	(57)
	-3	57
At 31 December 2024		
USD	+3	(25)
	-3	25
SGD	+3	6
	-3	(6)
EUR	+3	*
	-3	(*)
CNY	+3	(34)
	-3	34

** Less than 1,000*

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(b) Financial risk management (continued)

(iv) Interest rate risk

Interest rate risk is the risk of fluctuation in fair value or future cash flows of the Group's financial instruments as a result of changes in market interest rates. The Group's exposure to interest rate risk arises primarily from its long-term loans and borrowings with floating interest rates.

Sensitivity analysis for interest rate risk
The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant on the Group's total equity and profit for the financial year.

	Carrying amount RM'000	Change in basis points %	Effect on net profit for the financial year/ equity RM'000
At 31 December 2021			
Term loans	7,637	+50	(29)
		-50	29
Bankers' acceptance	4,229	+50	(16)
		-50	16
At 31 December 2022			
Term loans	10,431	+50	(40)
		-50	40
Bankers' acceptance	3,491	+50	(13)
		-50	13
Bank overdraft	1,034	+50	(4)
		-50	4
At 31 December 2023			
Term loans	8,372	+50	(32)
		-50	32
At 31 December 2024			
Term loans	6,577	+50	(25)
		-50	25
Bankers' acceptance	2,951	+50	(11)
		-50	11

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

26. FINANCIAL INSTRUMENTS (CONTINUED)

(c) Fair value measurement

The carrying amounts of cash and cash equivalents, short-term receivables and payables and short-term borrowings reasonably approximate its fair values due to the relatively short-term nature of these financial instruments.

There have been no transfers between Level 1, Level 2 and Level 3 during the financial years.

The following table provides the fair value measurement hierarchy of the Group's financial instruments:

		Fair value of financial instruments not carried at fair value			
	Carrying	← Fair value →			
	amount	Level 1	Level 2	Level 3	Total
	RM'000	RM'000	RM'000	RM'000	RM'000
At 31 December 2021					
Financial liability					
Term loans	5,961	-	-	5,392	5,392
At 31 December 2022					
Financial liability					
Term loans	8,471	-	-	7,132	7,132
At 31 December 2023					
Financial liability					
Term loans	6,364	-	-	5,399	5,399
At 31 December 2024					
Financial liability					
Term loans	4,608	-	-	4,215	4,215

Level 3 fair value

Fair value of financial instruments not carried at fair value
The fair value of term loans is determined using the discounted cash flows method based on discount rates that reflects the issuer's borrowing rate as at the end of the reporting period.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

27. RELATED PARTIES

(a) Identification of related parties

Parties are considered to be related to the Group if the Group has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operational decisions, or vice versa, or where the Group and the party are subject to common control. Related parties may be individuals or other entities.

Related parties of the Group include key management personnel of the Group, comprise persons (including directors) having the authority and responsibility for planning, directing and controlling the activities directly or indirectly.

(b) Significant related party transactions

There are no material related party transactions for the financial years ended 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024.

(c) Compensation of key management personnel

	Audited FYE 31 December			
	2021 RM'000	2022 RM'000	2023 RM'000	2024 RM'000
Fees, salaries, bonuses and allowances	735	719	730	1,058
Defined contribution plans	76	82	91	131
Other staff related benefits	5	4	4	7
	816	805	825	1,196

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

28. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholders' value. The Group manages its capital structure and make adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies and processes during the financial years ended 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024.

The Group monitors capital using net gearing ratio. The net gearing ratio is calculated as net debts divided by total equity. The net gearing ratio as at 31 December 2021, 31 December 2022, 31 December 2023 and 31 December 2024 are as follows:

		Audited as at 31 December			
		2021	2022	2023	2024
	Note	RM'000	RM'000	RM'000	RM'000
Loans and borrowings/total debts	**14**	13,248	16,080	9,696	11,559
Less: Cash and short-term deposits	**10**	(5,624)	(2,877)	(5,401)	(5,778)
Net debts		7,624	13,203	4,295	5,781
Total equity		40,016	40,529	46,859	54,673
Net gearing ratio (times)		0.19	0.33	0.09	0.11

There were no changes in the Group's approach to capital management during the financial years under review.

The Group is required to maintain a gearing ratio of no more than 2 times to comply with a bank covenant for FYE 31 December 2022, 31 December 2023 and 31 December 2024. The gearing ratio is calculated as the total loans and borrowings divided by tangible net worth. The tangible net worth comprises of paid-up capital and retained earnings. The gearing ratio as at 31 December 2022, 31 December 2023 and 31 December 2024 are as follows:

		Audited as at 31 December		
		2022	2023	2024
	Note	RM'000	RM'000	RM'000
Loans and borrowings	**14**	16,080	9,696	11,559
Tangible net worth		40,529	46,859	54,673
Gearing ratio (times)		0.40	0.21	0.21

The Group has not breached the covenant.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

29. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR

(a) Letter from solicitors of Concrete Canvas Technology Ltd. (''Concrete Canvas'')

On 9 July 2024, Fibromat (M) Berhad and MTS Fibromat (M) Sdn. Bhd. (the "Group") received a letter from the solicitors of Concrete Canvas Technology Ltd. (the proprietor of a patent for an invention entitled "Impregnated Cloth" ("Concrete Canvas Patent")) alleging that the Group's product known as "Fibrocrete" or "Fibrocrete Cement Blanket" had infringed its Concrete Canvas Patent and the Group's brochure related to "Fibrocrete" or "Fibrocrete Cement Blanket" had reproduced the literary works/ artworks with copyright that belong to Concrete Canvas without its consent.

Concrete Canvas, through its solicitors, requested the Group to, among others, immediately cease all business activities in relation to "Fibrocrete" or "Fibrocrete Cement Blanket", cease to use the Group's brochure and test report relating to "Fibrocrete" or "Fibrocrete Cement Blanket" as well as literary works/ artworks that belong to Concrete Canvas, deliver all the "Fibrocrete" or "Fibrocrete Cement Blanket" including our test report, brochure and materials involving the alleged copyright infringement for destruction, and execute a letter of undertaking in respect of such matter.

On 18 July 2024, the Group replied to Concrete Canvas' allegation through the Group's solicitors that the Group is not the manufacturer of "Fibrocrete" or "Fibrocrete Cement Blanket" and was not aware of any possible infringement alleged by Concrete Canvas. Notwithstanding the alleged infringement, the Group agreed to amicably settle the matter, strictly without prejudice and without admission of any liability, to cease dealing with "Fibrocrete" or "Fibrocrete Cement Blanket" as well as to cease and remove the Group's brochure, test report and any other marketing materials promoting "Fibrocrete" or "Fibrocrete Cement Blanket".

On 27 August 2024, the Group had provided a signed letter of undertaking to Concrete Canvas through the Group's solicitors on the Group's agreement above. On that premise, the matter shall be deemed resolved. The Group had ceased and discontinued any dealings of "Fibrocrete" or "Fibrocrete Cement Blanket". Concrete Canvas has not commenced any legal action or claim against the Group. In the event the matter proceeds to legal action, the Group is of the view that the amount of such potential claim will be minimal and will not materially affect the Group's business operations and financial condition. As advised by the Group's solicitors, the burden of proof for the alleged infringement lies with Concrete Canvas and Concrete Canvas may only seek for restitution against profit made from the sale and distribution of "Fibrocrete" or "Fibrocrete Cement Blanket".

Premised on the above, the Group is of the view that the abovementioned allegation has been adequately addressed and is not expected to materially affect the Group's business operations and financial condition.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

29. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR (CONTINUED)

(b) Disposal of an investment property

On 2 September 2024, MTS Fibromat has entered into a sale and purchase agreement with third parties in relation to the disposal of an investment property. The sale and purchase agreement is expected to complete by 2nd quarter of 2025.

30. SIGNIFICANT EVENTS SUBSEQUENT TO THE END OF THE FINANCIAL YEAR

(a) Subscription of Islamic term financing/debt fundraising

On 14 October 2024, MTS Fibromat accepted a letter of offer from Bursa Malaysia RAM Capital Sdn. Bhd. to seek for the Islamic term financing of up to RM5 million through the debt fundraising to finance the Group's working capital requirements. The debt fundraising was successful and completed on 28 January 2025, being the date of receipt of the subscription sum for the debt fundraising.

(b) Acquisition of a building

On 20 March 2025, MTS Fibromat has entered into a sale and purchase agreement with a third party in relation to the acquisition of a building. The sale and purchase agreement is expected to complete by 3rd quarter of 2025.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

31. SEGMENT INFORMATION

The Group prepared the following segment information in accordance with MFRS 8 *Operating Segments* based on the internal reports of the Group's strategic business units which are regularly reviewed by the Group's Chief Executive Officer ("CEO") for the purpose of making decisions about resource allocation and performance assessment.

The three reportable operating segments are as follow:

Segments	**Product and services**
Design and installation services	Includes design and build services, which are engineered to suit a board spectrum of erosion control and protection application
Trading	Includes trading and distribution of Erosion Control and Geosynthetic products.
Manufacturing	Includes manufacturing and sales of Erosion Control and Geosynthetic products.

Other non-reportable segments involved in business of investment holding which are below the quantitative thresholds for determining reportable segments.

Factors used to identify reportable segments
The trading and manufacturing business was developed internally. The trading operating segment and manufacturing segment are separated into the reportable trading and manufacturing business segment. The performance of the two separate operations is evaluated internally as a separate business unit.

The construction operating segment is aggregated into the reportable construction segment due to similar construction technology and long-term profits margins. This operating segment is evaluated internally as a single business unit.

Segment profit
Segment performance is used to measure performance as the Group's CEO believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries. Performance is evaluated based on operating profit or loss which is measured differently from operating profit or loss in the consolidated financial statements.

Segment assets
Segment assets are not included in the internal reports that are reviewed by the Group's CEO, hence no disclosures are made on segment assets.

Segment liabilities
Segment liabilities are not included in the internal reports that are reviewed by the Group's CEO, hence no disclosures are made on segment liabilities.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

31. SEGMENT INFORMATION (CONTINUED)

At 31 December 2021	Design and installation services RM'000	Trading RM'000	Manufacturing RM'000	Total RM'000
Segment revenue:				
Revenue from external customers	18,324	17,522	9,941	45,787
Segment results	6,744	4,015	1,039	11,798
Interest income				29
Finance costs				(541)
Other expenses				(3,438)
Profit before tax				7,848
Income tax expense				(2,095)
Profit for the financial year				5,753
Other segment information				
Depreciation of property, plant and equipment				
- allocated	77	-	1,169	1,246
- unallocated				349
				1,595

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

31. SEGMENT INFORMATION (CONTINUED)

At 31 December 2022	Design and installation services RM'000	Trading RM'000	Manufacturing RM'000	Total RM'000
Segment revenue:				
Revenue from external customers	18,801	17,788	11,364	47,953
Segment results	6,249	3,543	743	10,535
Interest income				26
Finance costs				(952)
Other expenses				(4,175)
Profit before tax				5,434
Income tax expense				(1,897)
Profit for the financial year				3,537
Other segment information				
Depreciation of property, plant and equipment				
- allocated	109	-	1,078	1,187
- unallocated				502
				1,689

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

31. SEGMENT INFORMATION (CONTINUED)

At 31 December 2023	Design and installation services RM'000	Trading RM'000	Manufacturing RM'000	Total RM'000
Segment revenue:				
Revenue from external customers	34,185	25,325	8,790	68,300
Segment results	8,316	7,396	1,424	17,136
Interest income				29
Finance costs				(1,047)
Other expenses				(4,889)
Profit before tax				11,229
Income tax expense				(2,739)
Profit for the financial year				8,490
Other segment information				
Depreciation of property, plant and equipment				
- allocated	104	-	1,065	1,169
- unallocated				506
				1,675

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

31. SEGMENT INFORMATION (CONTINUED)

At 31 December 2024	Design and installation services RM'000	Trading RM'000	Manufacturing RM'000	Total RM'000
Segment revenue:				
Revenue from external customers	36,755	25,557	13,151	75,463
Segment results	10,638	5,930	4,139	20,707
Interest income				26
Finance costs				(1,058)
Other expenses				(6,244)
Profit before tax				13,431
Income tax expense				(3,457)
Profit for the financial year				9,974
Other segment information				
Depreciation of property, plant and equipment				
- allocated	310	-	1,059	1,369
- unallocated				444
				1,813

The Group operates predominantly in Malaysia and hence, no geographical segment is presented.

14. REPORTING ACCOUNTANTS' REPORT ON PRO FORMA CONSOLIDATED FINANCIAL INFORMATION



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21 March 2025

The Board of Directors
Fibromat (M) Berhad
Wisma Fibromat
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Taman Samudra
68100 Batu Caves
Selangor Darul Ehsan

Dear Sirs,

FIBROMAT (M) BERHAD ("Fibromat" or the "Company") AND ITS SUBSIDIARY

REPORTING ACCOUNTANTS' REPORT ON THE COMPILATION OF THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2024 INCLUDED IN A PROSPECTUS

We have completed our assurance engagement to report on the compilation of the pro forma consolidated statements of financial position of Fibromat and its subsidiary, namely MTS Fibromat (M) Sdn. Bhd. (the "Group") for which the directors of Fibromat are solely responsible. The pro forma consolidated statements of financial position consist of the pro forma consolidated statements of financial position as at 31 December 2024 together with the accompanying notes thereon, as set out in the accompanying statements, for which we have stamped for the purpose of identification. The applicable criteria on the basis of which the directors of Fibromat have compiled the pro forma consolidated statements of financial position are as described in Note 2 to the pro forma consolidated statements of financial position and in accordance with the requirements of Chapter 9 of the *Prospectus Guidelines – Equity* issued by the Securities Commission Malaysia ("Prospectus Guidelines") and the Guidance Note for issuers of Pro Forma Financial Information issued by the Malaysian Institute of Accountants ("Applicable Criteria").

The pro forma consolidated statements of financial position of the Group has been compiled by the directors of Fibromat, for illustrative purposes only, for inclusion in the prospectus of Fibromat ("Prospectus") in connection with transfer of listing from the LEAP Market of Bursa Malaysia Securities Berhad to the ACE Market of Bursa Malaysia Securities Berhad ("Transfer of Listing") after making certain assumptions and such adjustments to show the effects on the pro forma consolidated financial position of the Group as at 31 December 2024 adjusted for the public issue as described in Note 1.2.1 and utilisation of proceeds as described in Note 3.2.2.

Baker Tilly Malaysia and its related entities in Malaysia trading as Baker Tilly is a member of the global network of Baker Tilly International Ltd., the members of which are separate and independent legal entities.

As part of this process, information about Group's pro forma consolidated statements of financial position has been extracted by the directors of Fibromat from the audited consolidated financial statements of the Group for the Financial Year Ended ("FYE") 31 December 2024, on which a reporting accountants' report dated 21 March 2025 has been issued.

The audited consolidated financial statements of Fibromat and its subsidiary for the FYE 31 December 2024 were reported by us to its members without any modifications.

Directors' Responsibility for the Pro Forma Consolidated Statements of Financial Position

The directors of Fibromat are responsible for compiling the pro forma consolidated statements of financial position based on the Applicable Criteria.

Our Independence and Quality Management

We are independent in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our firm applies International Standard on Quality Management 1 (ISQM 1), Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements and accordingly maintains a comprehensive system of quality management including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Reporting Accountants' Responsibilities

Our responsibility is to express an opinion, on whether the pro forma consolidated statements of financial position has been compiled, in all material respects, by the directors of Fibromat based on the Applicable Criteria.

We conducted our engagement in accordance with *International Standard on Assurance Engagements 3420: Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus*, issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants. This standard requires that we plan and perform procedures to obtain reasonable assurance about whether the directors of Fibromat have compiled, in all material respects, the pro forma consolidated statements of financial position based on the Applicable Criteria.

14. REPORTING ACCOUNTANTS' REPORT ON PRO FORMA CONSOLIDATED FINANCIAL INFORMATION *(Cont'd)*

Reporting Accountants' Responsibilities **(continued)**

For the purpose of this engagement, we are not responsible for updating or reissuing any reports or opinions on any historical financial information used in compiling the pro forma consolidated statements of financial position, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the pro forma consolidated statements of financial position.

The purpose of the pro forma consolidated statements of financial position included in the Prospectus is solely to illustrate the impact of significant events or transactions on the unadjusted financial information of the Group as if the events had occurred or the transaction had been undertaken at an earlier date selected for illustrative purposes only. Accordingly, we do not provide any assurance that the actual outcome of the events or transactions would have been as presented.

A reasonable assurance engagement to report on whether the pro forma consolidated statements of financial position has been compiled, in all material respects, based on the Applicable Criteria involves performing procedures to assess whether the Applicable Criteria used by the directors of Fibromat in the compilation of the pro forma consolidated statements of financial position of the Group provide a reasonable basis for presenting the significant effects directly attributable to listing scheme as described in Note 1.2 to the pro forma consolidated statements of financial position, and to obtain sufficient appropriate evidence about whether:

(a) the related pro forma adjustments give appropriate effect to those criteria; and

(b) the pro forma financial information reflects the proper application of those adjustments to the unadjusted financial information.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the events and transactions in respect of which the pro forma consolidated statements of financial position has been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the pro forma consolidated statements of financial position.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

FIBROMAT (M) BERHAD AND ITS SUBSIDIARY
Reporting Accountants' Report on the Compilation of the
Pro Forma Consolidated Statements of Financial Position
as at 31 December 2024 Included in a Prospectus

Opinion

In our opinion:

(a) the related pro forma adjustments give appropriate effect to those criteria; and

(b) the pro forma financial information reflects the proper application of those adjustments to the unadjusted financial information.

Other Matters

This report has been prepared for inclusion in the Prospectus of Fibromat in connection with the Transfer of Listing. As such, this report should not be used, circulated, quoted or otherwise referred to in any document or used for any other purpose without our prior written consent. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this report contrary to the aforesaid purpose.

Yours faithfully,

Baker Tilly Monteiro Heng PLT
201906000600 (LLP0019411-LCA) & AF 0117
Chartered Accountants

Paul Tan Hong
No. 03459/11/2025 J
Chartered Accountant

FIBROMAT (M) BERHAD AND ITS SUBSIDIARY

PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

1. **INTRODUCTION**

The pro forma consolidated statements of financial position of Fibromat (M) Berhad ("Fibromat" or the "Company") and its subsidiary, namely MTS Fibromat (M) Sdn. Bhd. (hereinafter collectively referred to as the "Group") has been compiled by the directors of Fibromat, for illustrative purposes only, for inclusion in the prospectus of Fibromat in connection with the transfer of listing from the LEAP Market of Bursa Malaysia Securities Berhad to the ACE Market of Bursa Malaysia Securities Berhad ("Transfer of Listing").

1.1 In conjunction with the Transfer of Listing, Fibromat is undertaking a listing of and quotation for its entire enlarged issued share capital of RM62,451,800 comprising 248,276,000 new ordinary shares in Fibromat ("Shares") on the ACE Market of Bursa Securities. The Listing comprises the following:

1.2 **Listing Scheme**

1.2.1 **Public Issue**

The Public Issue of 32,276,000 new Shares, representing 13.0% of the enlarged issued share capital, at an issue price of RM0.55 per new Share will be allocated and allotted in the following manner:

(i) 12,414,000 new Shares, representing 5.0% of the enlarged issued share capital, will be made available for application by the Malaysian Public by way of balloting, of which at least 50% will be set aside for Bumiputera public investors;

(ii) 6,207,000 new Shares, representing 2.5% of the enlarged share capital, will be made available for application by the eligible directors and employees of the Group; and

(iii) 13,655,000 new Shares, representing 5.5% of the enlarged share capital, will be made available by way of private placement to the Bumiputera investors approved by the Ministry of Investment, Trade and Industry.

(Collectively hereinafter referred as "Public Issue").

1.2.2 **Offer for Sale**

A total of 24,827,000 existing shares to be offered under Offer for Sale, representing 10.0% of enlarged share capital, are offered to Bumiputera investors approved by the Ministry of Investment, Trade and Industry and selected investors by way of private placement at an offer price of RM0.55.

1.3 **Listing**

Upon completion of the initial public offering, the entire enlarged issued share capital of RM62,451,800 million comprising 248,276,000 Shares will be listed on the ACE Market of Bursa Securities.

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2. BASIS OF PREPARATION OF THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

2.1 The pro forma consolidated statements of financial position have been prepared to illustrate the pro forma consolidated financial position of the Group as at 31 December 2024, adjusted for the Public Issue as described in Note 1.2.1 and utilisation of proceeds as described in Note 3.2.2.

2.2 The pro forma consolidated statements of financial position have been prepared based on audited consolidated financial statements of the Group for the financial year ended ("FYE") 31 December 2024.

2.3 The audited consolidated financial statements of the Group for FYE 31 December 2024 were reported by the auditors to their respective members without any modifications.

2.4 The pro forma consolidated statements of financial position of the Group have been prepared for illustrative purposes only and, such information may not, because of its nature, give a true picture of the actual financial position and the results of the Group and does not purport to predict the future financial position and results of the Group.

2.5 The pro forma consolidated statements of financial position of the Group have been properly prepared on the basis set out in the accompanying notes to the pro forma consolidated statements of financial position based on the audited consolidated financial statements of the Group for FYE 31 December 2024, which have been prepared in accordance with the Malaysian Financial Reporting Standards and the International Financial Reporting Standards.

2.6 The pro forma consolidated statements of financial position of the Group have been prepared in a manner consistent with both the format of the audited consolidated financial statements and accounting policies adopted by the Group in the preparation of its audited consolidated financial statements for FYE 31 December 2024.

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3. PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP

3.1 The pro forma consolidated statements of financial position of the Group as set out below, for which the directors of Fibromat are solely responsible, have been prepared for illustrative purposes only, to show the effects on the audited consolidated statements of financial position of the Group as at 31 December 2024, had the Public Issue as described in Note 1.2.1 and the utilisation of proceeds as described in Note 3.2.2 been effected on that date, and should be read in conjunction with the notes accompanying thereto.

			Pro Forma I	Pro Forma II
	Audited Consolidated Statements of Financial Position as at 31 December 2024 RM'000	**After subsequent event RM'000**	**After the Public Issue RM'000**	**After I and the Utilisation of Proceeds RM'000**
ASSETS				
Non-current assets				
Property, plant and equipment	20,887	20,887	20,887	20,887
Investment properties	618	618	618	618
Total non-current assets	21,505	21,505	21,505	21,505
Current assets				
Inventories	17,707	17,707	17,707	17,707
Trade and other receivables	27,612	27,612	27,612	27,261
Contract assets	7,488	7,488	7,488	7,488
Cash and short-term deposits	5,778	10,778	28,530	26,521
	58,585	63,585	81,337	78,977
Asset classified as held for sale	644	644	644	644
Total current assets	59,229	64,229	81,981	79,621
TOTAL ASSETS	80,734	85,734	103,486	101,126
EQUITY AND LIABILITIES				
Equity attributable to owners of the Group				
Share capital	44,700	44,700	62,452	62,000
Merger reserve	(31,936)	(31,936)	(31,936)	(31,936)
Retained earnings	41,909	41,909	41,909	40,001
TOTAL EQUITY	54,673	54,673	72,425	70,065

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3. **PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.1 (Continued)

	Audited Consolidated Statements of Financial Position as at 31 December 2024 RM'000	After subsequent event RM'000	Pro Forma I After the Public Issue RM'000	Pro Forma II After I and the Utilisation of Proceeds RM'000
Non-current liabilities				
Loans and borrowings	5,888	10,888	10,888	10,888
Deferred tax liabilities	668	668	668	668
Total non-current liabilities	6,556	11,556	11,556	11,556
Current liabilities				
Loans and borrowings	5,671	5,671	5,671	5,671
Current tax liabilities	1,095	1,095	1,095	1,095
Trade and other payables	12,452	12,452	12,452	12,452
Contract liabilities	287	287	287	287
Total current liabilities	19,505	19,505	19,505	19,505
TOTAL LIABILITIES	26,061	31,061	31,061	31,061
TOTAL EQUITY AND LIABILITIES	80,734	85,734	103,486	101,126

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3. **PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.1 (Continued)

	Audited Consolidated Statements of Financial Position as at 31 December 2024 RM'000	After subsequent event RM'000	Pro Forma I After the Public Issue RM'000	Pro Forma II After I and the Utilisation of Proceeds RM'000
Number of ordinary shares assumed to be in issue ('000)	216,000	216,000	248,276	248,276
Net assets ("NA")^ (RM'000)	54,673	54,673	72,425	70,065
NA per ordinary share (RM)	0.25	0.25	0.29	0.28

^ attributable to owners of the Group

3. **PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 Notes to the pro forma consolidated statements of financial position are as follows:

3.2.1 The pro forma consolidated statements of financial position of the Group, for which the directors of Fibromat are solely responsible, have been prepared for illustrative purposes only, to show the effects on the consolidated audited statements of financial position of the Group as at 31 December 2024, had the Public Issue as described in Note 1.2.1 and utilisation of proceeds as described in Note 3.2.2 been effected on that date, and should be read in conjunction with the notes accompanying thereto.

3.2.2 The proceeds from the Public Issue would be utilised in the following manner:

Details of utilisation	**RM'000**	**%**	**Time frame for utilisation from the date of listing**
Not reflected in pro forma consolidated statements of financial position			
Purchase of machinery[(1)]	7,560	42.59	Within 12 months
Working capital	6,712	37.81	Within 12 months
Reflected in pro forma consolidated statements of financial position			
Estimated listing expenses	3,480	19.60	Within 1 month
Gross proceeds	17,752	100.00	

(1) As of the latest practicable date, the Group has yet to enter into any agreement or issue any purchase order in relation to the purchase of machinery. Accordingly, the utilisation of proceeds earmarked for the abovementioned purposes are not reflected in the pro forma consolidated statements of financial position.

3. **PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.3 The audited consolidated statements of financial position of the Group as at 31 December 2024 had been adjusted for the following significant transactions prior to the Public Issue:

Subsequent event

Subscription of Islamic term financing/debt fundraising

On 14 October 2024, the Group accepted a letter of offer from Bursa Malaysia RAM Capital Sdn. Bhd. to seek for the Islamic term financing of up to RM5.0 million through the debt fundraising to finance the Group's working capital requirements. The debt fundraising was successful and completed on 28 January 2025, being the date of receipt of the subscription sum for the debt fundraising.

The subscription of Islamic term financing/debt fundraising has the following impact on the audited consolidated statements of financial position of the Group as at 31 December 2024:

	Increase	
	Effects on Total Assets RM'000	**Effects on Total Liabilities RM'000**
Cash and short-term deposits	5,000	-
Loans and borrowings (non-current)	-	5,000
	5,000	5,000

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3. **PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.4 The pro forma consolidated statements of financial position should be read in conjunction with the notes below:

(a) **Pro Forma I**

Pro Forma I incorporate the effects of the subsequent event and Public Issue and the Offer of Sale as described in Notes 1.2.1 and 1.2.2, respectively.

The Public Issue and the Offer of Sale will have the following impact on the pro forma consolidated statements of financial position of the Group as at 31 December 2024:

	Increase	
	Effects on Total Assets RM'000	**Effects on Equity RM'000**
Cash and short-term deposits	17,752	-
Share capital	-	17,752
	17,752	17,752

(b) **Pro Forma II**

Pro Forma II incorporates the cumulative effects of Pro Forma I and the utilisation of proceeds from the Public Issue of RM17.75 million after netting off RM3.48 million of estimated listing expenses. The remaining proceeds expected from the Public Issue of RM14.27 million will be used in the manner as described in Note 3.2.2.

The proceeds arising from the Public Issue earmarked for purchase of machineries and working capital of RM14.27 million will be included in the Cash and Short-Term Deposits Account.

As at 31 December 2024, out of the RM3.48 million listing expenses, RM1.47 million has been incurred of which RM1.12 million is charged to the Retained Earnings Account and RM0.35 million has been recorded in the Trade and Other Receivables Account as prepayment. Out of the remaining estimated listing expenses to be incurred of RM2.01 million, RM1.91 million will be charged to Retained Earnings Account and RM0.10 million together with the amount which has been recorded as prepayment of RM0.35 million, a total of RM0.45 million will be capitalised in Share Capital Account as these are directly attributable expense relating to the new issuance of shares.

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3. **PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.4 (Continued)

(b) **Pro Forma II (continued)**

The utilisation of proceeds will have the following impact on the pro forma consolidated statements of financial position of the Group as at 31 December 2024:

	(Decrease)	
	Effects on Total Assets RM'000	**Effects on Total Liabilities RM'000**
Trade and other receivables	(351)	-
Cash and short-term deposits	(2,009)	-
Share capital	-	(452)
Retained earnings	-	(1,908)
	(2,360)	(2,360)

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3. **PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.5 Movements in share capital and reserves are as follows:

	Share capital RM'000	**Merger reserve RM'000**	**Retained earnings RM'000**
Audited consolidated statements of financial position of the Group as at 31 December 2024/Arising from subscription of Islamic term financing/debt fundraising	44,700	(31,936)	41,909
Arising from the Public Issue	17,752	-	-
Per Pro Forma I	62,452	(31,936)	41,909
Arising from the Utilisation of Proceeds	(452)	-	(1,908)
Per Pro Forma II	62,000	(31,936)	40,001

3. **PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION OF THE GROUP (CONTINUED)**

3.2 (Continued)

3.2.6 Movements in cash and short-term deposits are as follows:

	RM'000
Audited consolidated statement of financial position of the Group as at 31 December 2024	5,778
Arising from subscription of Islamic term financing/debt fundraising	5,000
After subsequent event	10,778
Arising from the Public Issue	17,752
Per Pro Forma I	28,530
Arising from the Utilisation of Proceeds	(2,009)
Per Pro Forma II	26,521

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14. REPORTING ACCOUNTANTS' REPORT ON PRO FORMA CONSOLIDATED FINANCIAL INFORMATION *(Cont'd)*

FIBROMAT (M) BERHAD AND ITS SUBSIDIARY

APPROVAL BY BOARD OF DIRECTORS

Approved and adopted by the Board of Directors of Fibromat (M) Berhad in accordance with a resolution dated 21 MAR 2025

……	……
Ng Kian Boon	**Mohd Tarmim Bin Sidek**
Director	**Director**

15. STATUTORY AND OTHER INFORMATION

15.1 SHARE CAPITAL

(a) As at the date of this Prospectus, we only have one class of shares, namely, ordinary shares, all of which rank equally with one another.

(b) Save for the Pink Form Allocations as disclosed in Section 4.3.2:

(i) no Director or employee of our Group has been or is entitled to be given or has exercised any option to subscribe for any share of our Company or our subsidiary; and

(ii) there is no scheme involving the employees of our Group in the shares of our Company or our subsidiary.

(c) Save for the new Shares to be issued for the Public Issue as disclosed in Section 4.3.1, no shares of our Company have been issued or are proposed to be issued as fully or partly paid-up, in cash or otherwise, within the past 2 years immediately preceding the date of this Prospectus.

(d) Other than our Public Issue as disclosed in Section 4.3.1, there is no intention on the part of our Directors to further issue any Shares on the basis of this Prospectus.

(e) As at the date of this Prospectus, our Company does not have any outstanding convertible debt securities.

15.2 SHARE CAPITAL OF OUR SUBSIDIARY

Details of our Company's share capital are as set out in Section 6.1. Details of the share capital of our subsidiary are as set out below.

15.2.1 MTS Fibromat

MTS Fibromat's issued share capital as at LPD is RM6,500,000 comprising 6,500,000 ordinary shares. The movements in its issued share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration/ Type of issue	Cumulative share capital
			RM
16 August 1999	2	RM2/ Cash	2
19 July 2001	249,998	RM249,998/ Otherwise than cash[(1)]	250,000
5 May 2003	263,118	RM263,118/ Cash	513,118
27 June 2005	250,000	RM250,000/ Cash	763,118
28 December 2007	536,882	RM536,882/ Cash	1,300,000
14 January 2011	1,200,000	RM1,200,000/ Otherwise than cash[(2)]	2,500,000
8 January 2015	2,000,000	RM2,000,000/ Cash	4,500,000
22 November 2016	500,000	RM500,000/ Cash	5,000,000
29 December 2017	1,500,000	RM1,500,000/ Cash	6,500,000

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Notes:

(1) Capitalisation of RM249,998 due to the directors of MTS Fibromat, Mohd Tarmin Bin Sidek and Noorliza Binti Ahmad, and the shareholder of MTS Fibromat, Containment Engineering Sdn Bhd, through the issuance of 249,998 ordinary shares in MTS Fibromat.

(2) Capitalisation of RM1,200,000 due to the directors of MTS Fibromat, Ng Kian Boon and Wong Teck Ching, through the issuance of 1,200,000 ordinary shares in MTS Fibromat.

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in MTS Fibromat. In addition, there were no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

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15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

15.3 CONSTITUTION

The following provisions are extracted from our Constitution. Terms defined in our Constitution shall have the same meanings when used here unless they are otherwise defined here or the context otherwise requires.

15.3.1 Changes in share capital and variation of class rights

The provisions in our Constitution dealing with changes in share capital and variation of class rights, which are no less stringent than those required by law, are as follows:

Clause 5 – Class of shares and alteration of share capital

The shares in the original or any increased capital may be divided into several classes and there may be attached thereto respectively any preferential, deferred or other special rights, privileges, conditions or restrictions as to dividends, capital, voting or otherwise. The Company shall have the power to increase or reduce the capital, to consolidate or subdivide the shares into shares of larger or smaller amounts and to issue all or any part of the original or any additional capital as fully paid or partly paid shares, and will any special or preferential rights or privileges, or subject to any special terms or conditions and either with or without any special designation and also from time to time to alter, modify, commute, abrogate or deal with any such privileges, terms, conditions or designations in accordance with the regulations for the time being of the Company.

Clause 6 – Allotment of shares

Without prejudice to any special rights previously conferred on the holders of any existing shares or class of shares and subject to the provisions of the Constitution, the Act, any applicable laws, and to the provisions of any resolution of the Company, the Board may issue, allot or otherwise dispose of such shares to such persons at such price, on such terms and conditions, with such preferred, deferred or other special rights and subject to such restrictions and at such times as the Board may determine but the Board in making any issue of shares shall comply with the following conditions:

(a) in the case of shares, other than ordinary shares, no special rights shall be attached until the same has been expressed in the Constitution and in the resolution creating the same;

(b) no shares shall be issued which shall have the effect of transferring a controlling interest in the Company without the prior approval of the members in general meetings;

(c) no Director shall participate in a scheme that involves a new issuance of shares or other convertible securities to employees unless the members in a general meeting have approved the specific allotment to be made to such Director; and

(d) except in the case of an issue of securities on a pro-rata basis to all members, placements undertaken in compliance with the AMLR or issuance pursuant to a dividend reinvestment scheme, there shall be no issue of securities to a Director, major shareholder, chief executive or person connected with any Director, major shareholder or chief executive (hereinafter referred to as the "interested Director", "interested major shareholder", "interested chief executive" or "interested person connected with a Director, major shareholder or chief executive" respectively) unless the members in a general meeting have approved of the specific allotment to be made to such aforesaid interested Director, interested major shareholder, interested chief executive or interested person connected with a Director, major shareholder or chief executive, as the case may be. In the Constitution, "major shareholder", "chief executive" and "person connected with any Director, major shareholder or chief executive" shall have the meaning ascribed thereto in the AMLR.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 7 – Rights of preference shareholders

Subject to the Act and the AMLR, any preference shares may with the sanction of an ordinary resolution, be issued on the terms that they are, or at the option of the Company are liable to be redeemed and the Company shall not issue preference shares ranking in priority above preference shares already issued, but may issue preference shares ranking equally therewith. Preference shareholders shall have:

(a) the same rights as ordinary shareholders as regards receiving notices, reports and audited accounts and attending general meetings of the Company; and

(b) the right to vote at any meeting convened for the purpose of reducing the capital of the Company or on a proposal to wind up or during the winding up of the Company, or sanctioning a sale of the whole of the Company's undertaking, property or business, or where any resolution to be submitted to the meeting directly affects their rights and privileges, or when the dividend on the preference shares or part of the dividend is in arrears for more than six (6) months.

Clause 9 – Variation of class rights

Subject to Section 91 of the Act, if at any time the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of the shares of that class) may, whether or not the Company is being wound up, be varied with:

(a) the consent in writing of the holders of not less than seventy-five per centum (75.0%) of the total voting rights of the shareholders in that class; or

(b) the sanction of a special resolution passed at a separate general meeting of the holders of the shares of the class. To every such separate general meeting, the provisions of the Constitution relating to general meetings shall mutatis mutandis apply, but so that the necessary quorum shall be at least two (2) persons holding or representing by proxy at least one-third of the number of the issued shares of the class excluding any shares of that class held as treasury shares and that any holder of shares of the class present in person or by proxy may demand a poll and shall be entitled on a poll to one vote for every such share held by him. For adjourned meetings, the quorum is one (1) person present holding shares of such class. To every such special resolution, the provisions of Section 292 of the Act shall, with such adaptations as are necessary, apply.

Clause 10 – Ranking of class rights

The rights conferred upon the holders of the shares of any class issued with preferred or other rights shall not, unless otherwise expressly provided by the terms of issue of the shares of that class, be deemed to be varied by the creation or issue of further shares ranking as regards participation in the profits or assets of the Company in some or in all respects pari passu therewith.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 14 – Issue of new securities

All new issues of securities for which listing is sought on Bursa Securities shall be by way of crediting the securities accounts of the allottees or entitled persons held with the Depository with such securities, save and except where the Company is specifically exempted from compliance with Section 38 of the Central Depositories Act, in which event it shall similarly be exempted from compliance with this provision. For this purpose, the Company shall notify the Depository of the names of the allottees or entitled persons together with all such particulars as may be required by the Depository to enable the Depository to make the appropriate entries in the securities accounts of such allottees or entitled persons.

Clause 55 – Power to increase capital

The Company may from time to time, whether all the shares for the time being issued shall have been fully called up or not, by ordinary resolution increases its share capital by the issuance of new shares, such new capital to be of such amount and to be divided into shares of such respective amounts and to carry such rights or to be subject to such conditions or restrictions in regard to dividend, return of capital or otherwise as to the Company by the resolution authorising such increase may direct.

Clause 58 – Power to alter capital

Subject to the provisions of the Constitution and the Act, the Company may by ordinary resolution:

(a) consolidate and divide all or any of its share capital into shares of larger amount than its existing shares;

(b) subdivide its share capital or any part thereof into shares of smaller amount by subdivision of its existing shares or any of them subject nevertheless to the provisions of the Act;

(c) convert and/ or re-classify any class of shares into any other class of shares; or

(d) cancel shares which at the date of the passing of the resolution on that behalf have not been taken or agreed to be taken by any person or which have been forfeited and diminish the amount of its share capital by the amount of the shares so cancelled.

Clause 59 – Power to reduce capital

The Company may by special resolution, reduce its share capital in any manner permitted or authorised under and in compliance with the Act and the applicable laws.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

15.3.2 Borrowing and voting powers of the Directors

The provisions in our Constitution dealing with voting and borrowing powers of the Directors including voting powers in relation to proposals, arrangements or contracts in which they are interested in are as follows:

Clause 76 – Chairman's casting vote

In the case of an equality of votes, whether on a show of hands or a poll, the Chairman of the meeting at which the show of hands takes place or at which the poll is demanded shall be entitled to a second or casting vote.

Clause 102 – Directors' borrowing powers

(a) The Directors may exercise all the powers of the Company to borrow money and to mortgage or charge its undertaking, property and uncalled capital, or any part thereof and to issue debentures and other securities whether outright or as security for any debt, liability or obligation of the Company or any related company (as defined under Section 7 of the Act) as may be thought fit subject always to the Act and/ or the AMLR.

(b) The Directors shall not borrow any money or mortgage or charge any of the Company's or the subsidiaries' undertaking, property or any uncalled capital, or issue debentures and other securities whether outright or as security for any debt, liability or obligation of an unrelated third party.

Clause 116 – Votes by majority and Chairman to have a casting vote

Subject to the Constitution, any question arising at any meeting of Directors shall be decided by a majority of votes of the Directors present and a determination by a majority of Directors shall for all purposes be deemed a determination of the Directors. In case of an equality of votes, the Chairman of the meeting shall have a second or casting vote except where at the meeting only two (2) Directors form a quorum and only such a quorum is present at the meeting or only two (2) Directors are competent to vote on the question at issue.

Clause 118 – Disclosure of interest

Every Director shall comply with the provisions of Sections 219 and 221 of the Act in connection with the disclosure of his shareholding and interests in the Company and his interest in any contract or proposed contract with the Company and in connection with the disclosure, every Director shall state the fact and the nature, character and extent of any office or possession of any property whereby whether directly or indirectly, duties or interests might be created in conflict with his duty or interest as a Director of the Company. A general notice in writing, which complies with Section 221(4) of the Act or its equivalent, given to the Board by any Director shall be deemed to be a sufficient declaration of interest in relation to the subject matter of the notice.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 120 – Power to vote

Subject to the applicable laws, a Director may vote in respect of:

(a) any arrangement for giving the Director himself or any other Directors any security or indemnity in respect of money lent by him to or obligations undertaken by him for the benefit of the Company;

(b) any arrangement for the giving by the Company of any security to a third party in respect of a debt or obligation of the Company for which the Director himself or any other Director has assumed responsibility in whole or in part, under a guarantee or indemnity or by the deposit of security;

(c) any contract by a Director to subscribe for or underwrite shares or debentures of the Company; or

(d) any contract or arrangement with any other company in which he is interested only as an officer of the Company or as a holder of shares or other securities in that company.

15.3.3 Remuneration of Directors

The provisions in our Constitution dealing with remuneration of Directors are as follows:

Clause 97 – Directors' remuneration

The fees of the Directors and any benefits payable to the Directors shall from time to time, and in any event, subject to an annual shareholders' approval, be determined by way of an ordinary resolution of the Company in a general meeting and such fees shall be divided among the Directors in such proportions and manner as the Directors may determine and in default of agreement equally, except that if a Director has held office for part only of the period in respect of which such fees are payable, such a Director shall be entitled only to that proportion of the fees as is related to the period during which he has held office provided always that:

(a) salaries, benefits and other emoluments payable to executive Director(s) pursuant to an employment contract or a contract of service need not be determined by the Company in a general meeting but such salaries may not include a commission on or percentage of turnover;

(b) fees payable to non-executive Directors shall be by a fixed sum and not by way of a commission on or percentage of profits or turnover; and

(c) any fee paid to an alternate Director shall be agreed upon between himself and the Director nominating him and shall be paid out of the remuneration of the latter.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 98 – Reimbursement of expenses

(a) The Directors shall be entitled to be reimbursed for all travelling or expenses as may be incurred in attending meetings of the Directors or of any committee of the Directors or general meetings or otherwise howsoever in or about the business of the Company in the course of the performance of their duties as Directors. In addition to the foregoing, a Director shall be entitled to such reasonable fixed allowance as may be determined by the Directors in respect of any attendance at any meeting and/ or the performance of any duty or other things required of him as a Director.

(b) If any Director being willing shall be called upon to perform extra services or to make any special exertions in going or residing away from his usual place of business or residence for any of the purposes of the Company or in giving special attention to the business of the Company as a member of a committee of Directors, the Company may remunerate the Director so doing either by a fixed sum or otherwise (other than by a sum to include a commission on or percentage of turnover) as may be determined by the Board provided that in the case of non-executive Directors, the said remuneration shall not include a commission on or percentage of profits or turnover. In the case of an executive Director, such fee may be either in addition to or in substitution for any Director's fees payable to him from time to time.

Clause 122 – Alternate Directors

(a) A Director may appoint any other person approved by a majority of the Board of Directors to act as his alternate provided that any fee paid by the Company to the alternate shall be deducted from that Director's remuneration. The alternate Director shall not be required to hold any shares in the Company but shall be entitled to receive notices of all meetings and to attend, speak and vote, and be counted for the quorum, and generally to exercise all powers, rights, duties and authorities of the Director appointing him, at any such meeting at which the Director appointing him is not present. For avoidance of doubt, an alternate Director may not vote nor attend any meeting at which the Director appointing him is present. Any appointment so made may be revoked at any time by the appointor or by a majority of the Directors, and any appointment or revocation under the Constitution shall be effected by notice in writing to be delivered to the secretary of the Company. An alternate Director shall by *ipso facto* cease to be an alternate Director if his appointor for any reason ceases to be a Director.

(b) No Director may act as an alternate Director, and a person may not act as an alternate Director for more than one (1) Director.

(c) If any Director retires by rotation and is re-elected by the meeting or is, pursuant to the Constitution, deemed to be re-elected at the meeting at which such retirement took effect, any appointment made by him of an alternate Director which was in force immediately prior to the appointor's retirement shall continue to operate after such re-election as if the appointor had not so retired.

(d) Every person acting as an alternate Director shall be an officer of the Company and shall alone be responsible to the Company for his own acts and defaults and he shall not be deemed to be the agent of or for the Director appointing him.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 124 – Remuneration of chief executive, Executive Director, Managing Director

The remuneration of the chief executive, Executive Director, Managing Director or any person holding an equivalent position, shall, from time to time be fixed by the Directors and may be by way of salary or commission or participation in profits or otherwise or by any or all of these modes but such remuneration shall not include a commission on or percentage of turnover but it may be a term of their appointment that they shall receive a pension, gratuity or other benefits upon their retirement.

15.3.4 Transfer of Shares

The provisions in our Constitution dealing with transfer of Shares are as follows:

Clause 29 – Transfer in Writing

Subject to the Constitution, the Central Depositories Act and the Depository Rules, any member may transfer all or any of his securities (except those deposited securities which are for the time being designated as securities in suspense) by an instrument in writing in the form prescribed and approved by Bursa Securities upon which the Company is listed on Bursa Securities. The instrument shall have been executed by or on behalf of the transferor and the transferee and the transferor shall remain the holder of the securities transferred until the transfer is registered and the name of the transferee is entered in the record of depositors.

Clause 30 – Transfer of Securities

The transfer of any deposited securities shall be made by way of book entry by the Depository in accordance with the Depository Rules and, notwithstanding Sections 105, 106 and 110 of the Act, but subject to Section 148(2) of the Act and any exemption that may be made from compliance with Section 148(1) of the Act, the Company shall be precluded from registering and effecting any transfer of such listed securities.

Clause 32 (a) – Refusal to Register

The Central Depository may, in its absolute discretion, refuse to register any transfer of deposited security that does not comply with the Central Depositories Act and/ or the Depository Rules.

Clause 32 (b) – Indemnity against wrongful transfer

Neither the Company nor the Directors nor any of its officers shall incur any liability in respect of any transfer of deposited security apparently made by sufficient parties and registered by the Depository, although the same may, by reason of any fraud or other cause not known to the Company or the Directors or other officers be legally inoperative or insufficient to pass the property in the deposited security proposed or professed to be transferred, and although transferred, be liable to be set aside, and notwithstanding that the Company may have noticed that such instrument of transfer was signed or executed and delivered by the transferor in the blank as to the name of the transferee or the particulars of the shares transferred, or otherwise in defective manner. And in every such case, the person registered as transferee, his executors, administrators and assignees alone shall be entitled to be recognised as the holder of such deposited security and the previous holder shall, so far as the Company is concerned, be deemed to have transferred his whole title thereto.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 33 – Suspension of registration

Subject to the provisions of the Act, the Central Depositories Act, the Depository Rules and the AMLR, the registration of transfers may be suspended at such times and for such periods as the Directors may from time to time determine provided always that such registration shall not be suspended for more than thirty (30) days in any year or such number of days as may be prescribed by Bursa Securities. At least ten (10) Market Days' notice (or such other period as may from time to time be prescribed by Bursa Securities) prior to such closure shall be published in a daily newspaper circulating in Malaysia and shall also be given to Bursa Securities. The said notice shall state the period and purpose or purposes of such closure. The Company shall give notice in accordance with the requirements of the Depository Rules to the Depository to prepare the appropriate record of depositors.

Clause 146 – Dividends due may be retained until registration

The Directors may retain the dividends payable upon shares in respect of which any person is under the provision as to the transmission of shares hereinbefore contained entitled to become a member, or which any person is under those provisions entitled to transfer until such person shall become a member in respect of such shares or shall transfer the same.

15.4 GENERAL INFORMATION

(a) Save for the dividends paid to our shareholders in FYE 2021 to 2024 and up to LPD, and Directors' remuneration as disclosed in Sections 5.1.5 and 5.2.4 respectively, no other amount or benefit has been paid or given within the past 2 years immediately preceding the date of this Prospectus, nor is it intended to be paid or given, to any of our Promoters, Directors or substantial shareholders.

(b) None of our Promoters, Directors or substantial shareholders have any interest, direct or indirect, in any contract or arrangement subsisting at the date of this Prospectus and which is significant in relation to the business of our Group.

(c) The manner in which copies of this Prospectus together with the official application forms and envelopes may be obtained and the details of the summarised procedures for application of our Shares are set out in Section 16.

(d) There is no limitation on the right to own securities including limitation on the right of non-residents or foreign shareholders to hold or exercise their voting rights on our Shares.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

15.5 CONSENTS

(a) The written consents of our Adviser, Sponsor, Underwriter, Placement Agent, Solicitors, Share Registrar, Company Secretaries and Issuing House to the inclusion in this Prospectus of their names in the form and context in which such names appear have been given before the issue of this Prospectus and have not subsequently been withdrawn;

(b) The written consents of our Auditors and Reporting Accountants to the inclusion in this Prospectus of their names, Accountants' Report and report relating to the pro forma consolidated financial information in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not subsequently been withdrawn; and

(c) The written consent of our IMR to the inclusion in this Prospectus of its name and the IMR Report, in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not been subsequently withdrawn.

15.6 DOCUMENTS FOR INSPECTION

Copies of the following documents are available for inspection at the Registered Office of our Company during normal business hours for a period of 6 months from the date of this Prospectus:

(a) Constitution;

(b) Audited financial statements of Fibromat for FYE 2021 to 2024;

(c) Audited financial statements of MTS Fibromat for FYE 2021 to 2024;

(d) Accountants' Report as set out in Section 13;

(e) Reporting Accountants' Report relating to our pro forma consolidated financial information as set out in Section 14;

(f) IMR Report as set out in Section 8;

(g) Material contracts as set out in Section 6.5; and

(h) Letters of consent as set out in Section 15.5.

15. STATUTORY AND OTHER INFORMATION *(Cont'd)*

15.7 RESPONSIBILITY STATEMENTS

Our Directors, Promoters and Selling Shareholder have seen and approved this Prospectus. They collectively and individually accept full responsibility for the accuracy of the information. Having made all reasonable enquiries, and to the best of their knowledge and belief, they confirm there is no false or misleading statement or other facts which if omitted, would make any statement in this Prospectus false or misleading.

M&A Securities acknowledges that, based on all available information, and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning our IPO and Transfer of Listing.

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16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

THIS SUMMARY OF PROCEDURES FOR APPLICATION AND ACCEPTANCE DOES NOT CONTAIN THE DETAILED PROCEDURES AND FULL TERMS AND CONDITIONS AND YOU CANNOT RELY ON THIS SUMMARY FOR PURPOSES OF ANY APPLICATION FOR OUR IPO SHARES. YOU MUST REFER TO THE DETAILED PROCEDURES AND TERMS AND CONDITIONS AS SET OUT IN THE "DETAILED PROCEDURES FOR APPLICATION AND ACCEPTANCE" ACCOMPANYING THE ELECTRONIC PROSPECTUS ON THE WEBSITE OF BURSA SECURITIES. YOU SHOULD ALSO CONTACT THE ISSUING HOUSE FOR FURTHER ENQUIRIES.

Unless otherwise defined, all words and expressions used here shall carry the same meaning as ascribed to them in our Prospectus.

Unless the context otherwise requires, words used in the singular include the plural, and vice versa.

16.1 OPENING AND CLOSING OF APPLICATION PERIOD

OPENING OF THE APPLICATION PERIOD: 10.00 A.M., 11 April 2025

CLOSING OF THE APPLICATION PERIOD: 5.00 P.M., 25 April 2025

In the event of any changes to the date or time for closing, we will advertise the notice of changes in a widely circulated daily English and Bahasa Malaysia newspaper in Malaysia, and make an announcement on Bursa Securities' website.

Late Applications will not be accepted.

16.2 METHODS OF APPLICATIONS

16.2.1 Retail Offering

Application must accord with our Prospectus and our Constitution. The submission of an Application Form does not mean that the Application will succeed.

Types of Application and category of investors		Application Method
Applications by Eligible Persons		Pink Application Form only
Applications by the Malaysian Public:		
(a)	Individuals	White Application Form or Electronic Share Application or Internet Share Application
(b)	Non-Individuals	White Application Form only

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

16.2.2 Placement

Types of Application	Application Method
Applications by selected investors	The Placement Agent will contact the selected investors directly. They should follow the Placement Agent's instructions
Applications by Bumiputera investors approved by MITI	MITI will contact the Bumiputera investors directly. They should follow MITI's instructions

Selected investors and Bumiputera investors approved by MITI may still apply for our IPO Shares offered to the Malaysian Public using the White Application Form, Electronic Share Application or Internet Share Application.

16.3 ELIGIBILITY

16.3.1 General

You must have a CDS account and a correspondence address in Malaysia. If you do not have a CDS account, you may open a CDS account by contacting any of the ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the electronic copy of our Prospectus on the website of Bursa Securities. **The CDS account must be in your own name. Invalid, nominee or third-party CDS accounts will not be accepted for the Application**.

Only **ONE** Application Form for each category from each applicant will be considered and **APPLICATIONS MUST BE FOR AT LEAST 100 IPO SHARES OR MULTIPLES OF 100 IPO SHARES.**

MULTIPLE APPLICATIONS WILL NOT BE ACCEPTED UNLESS EXPRESSLY ALLOWED IN THESE TERMS AND CONDITIONS. AN APPLICANT WHO SUBMITS MULTIPLE APPLICATIONS IN HIS OWN NAME OR BY USING THE NAME OF OTHERS, WITH OR WITHOUT THEIR CONSENT, COMMITS AN OFFENCE UNDER SECTION 179 OF THE CMSA AND IF CONVICTED, MAY BE PUNISHED WITH A MINIMUM FINE OF RM1,000,000 AND A JAIL TERM OF UP TO 10 YEARS UNDER SECTION 182 OF THE CMSA.

AN APPLICANT IS NOT ALLOWED TO SUBMIT MULTIPLE APPLICATIONS IN THE SAME CATEGORY OF APPLICATION.

AN APPLICANT WHO WISHES TO SUBMIT APPLICATIONS USING A JOINT BANK ACCOUNT MUST CONTACT THE FINANCIAL INSTITUTION HANDLING THE APPLICATIONS TO ENSURE THAT THE NAME ON THE JOINT BANK ACCOUNT MATCHES THE NAME ON THEIR CDS ACCOUNT. THIS STEP MINIMIZES THE RISK OF REJECTION OF IPO APPLICATIONS DUE TO NAME DISCREPANCIES. OUR COMPANY, ADVISER AND ISSUING HOUSE ARE NOT RESPONSIBLE FOR ANY ISSUES ARISING THEREAFTER.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

16.3.2 Application by Malaysian Public

You can only apply for our IPO Shares if you fulfill all of the following:

(a) You must be one of the following:

(i) a Malaysian citizen who is at least 18 years old as at the date of the application for our IPO Shares; or

(ii) a corporation/ institution incorporated in Malaysia with a majority of Malaysian citizens on your board of directors/ trustees and if you have a share capital, more than half of the issued share capital, excluding preference share capital, is held by Malaysian citizens; or

(iii) a superannuation, co-operative, foundation, provident, pension fund established or operating in Malaysia.

(b) You must not be a director or employee of the Issuing House or an immediate family member of a director or employee of the Issuing House; and

(c) You must submit Applications by using only one of the following methods:

(i) White Application Form; or

(ii) Electronic Share Application; or

(iii) Internet Share Application.

16.3.3 Application by Eligible Persons

The Eligible Persons will be provided with Pink Application Forms and letters from us detailing their respective allocation as well as detailed procedures on how to subscribe to the allocated IPO shares. Applicants must follow the notes and instructions in the said document and where relevant, in this Prospectus. All duly completed Pink Application Forms should be submitted to our Group through the Human Resources or Finance Department.

16.4 APPLICATION BY WAY OF APPLICATION FORMS

The Application Form must be completed in accordance with the notes and instructions contained in the respective category of the Application Form. Applications made on the incorrect type of Application Form or which do not conform **STRICTLY** to the terms of our Prospectus or the respective category of Application Form or notes and instructions or which are illegible will not be accepted.

The FULL amount payable is RM0.55 for each IPO Share.

Payment must be made out in favour of "**MIH SHARE ISSUE ACCOUNT NO. 667**" and crossed "**A/C PAYEE ONLY**" and endorsed on the reverse side with your name and address.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

Each completed Application Form, accompanied by the appropriate remittance and legible photocopy of the relevant documents may be submitted using one of the following methods:

(a) despatch by **ORDINARY POST** in the official envelopes provided, to the following address:

Malaysian Issuing House Sdn Bhd
(199301003608 (258345-X))
11th Floor, Menara Symphony
5, Jalan Prof. Khoo Kay Kim
Seksyen 13
46200 Petaling Jaya
Selangor

or

P.O. Box 00010
Pejabat Pos Jalan Sultan
46700 Petaling Jaya
Selangor

(b) **DELIVER BY HAND AND DEPOSIT** in the drop-in boxes provided at the front portion of Menara Symphony, 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor so as to arrive not later than 5.00 p.m. on 25 April 2025 or by such other time and date specified in any change to the date or time for closing.

We, together with the Issuing House, will not issue any acknowledgement of the receipt of your Application Forms or Application monies. Please direct all enquiries in respect of the White Application Form to the Issuing House.

The abovementioned methods are not applicable to the submission of Pink Application Forms. All duly completed Pink Application Forms should be submitted to our Group through the HR or Finance Department.

16.5 APPLICATION BY WAY OF ELECTRONIC SHARE APPLICATIONS

Only Malaysian individuals may apply for our IPO Shares offered to the Malaysian Public by way of Electronic Share Application.

Electronic Share Applications may be made through the ATM of the following Participating Financial Institutions and their branches, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, AmBank (M) Berhad, CIMB Bank Berhad, Malayan Banking Berhad, Public Bank Berhad and RHB Bank Berhad. A processing fee will be charged by the respective Participating Financial Institutions (unless waived) for each Electronic Share Application.

The exact procedures, terms and conditions for Electronic Share Application are set out on the ATM screens of the relevant Participating Financial Institutions.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

16.6 APPLICATION BY WAY OF INTERNET SHARE APPLICATIONS

Only Malaysian individuals may use the Internet Share Application to apply for our IPO Shares offered to the Malaysian Public.

Internet Share Applications may be made through an internet financial services website of the Internet Participating Financial Institutions or Participating Securities Firms, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, CGS International Securities Malaysia Sdn Bhd (formerly known as CGS-CIMB Securities Sdn Bhd), Malacca Securities Sdn Bhd, Malayan Banking Berhad, Moomoo Securities Malaysia Sdn Bhd and Public Bank Berhad. A processing fee will be charged by the respective Internet Participating Financial Institutions or Participating Securities Firms (unless waived) for each Internet Share Application.

The exact procedures, terms and conditions for Internet Share Application are set out on the internet financial services website of the respective Internet Participating Financial Institutions or Participating Securities Firms.

16.7 AUTHORITY OF OUR BOARD AND THE ISSUING HOUSE

The Issuing House, on the authority of our Board reserves the right to:

(a) reject Applications which:

  (i) do not conform to the instructions of our Prospectus, Application Forms, Electronic Share Application and Internet Share Application (where applicable); or

  (ii) are illegible, incomplete or inaccurate; or

  (iii) are accompanied by an improperly drawn up or improper form of remittance; or

(b) reject or accept any Application, in whole or in part, on a non-discriminatory basis without the need to give any reason; and

(c) bank in all Application monies (including those from unsuccessful/ partially successful applicants) which would subsequently be refunded, where applicable (without interest), in accordance with Section 16.9 below.

If you are successful in your Application, our Board reserves the right to require you to appear in person at the registered office of the Issuing House at any time within 14 days of the date of the notice issued to you to ascertain that your Application is genuine and valid. Our Board shall not be responsible for any loss or non-receipt of the said notice nor will it be accountable for any expenses incurred or to be incurred by you for the purpose of complying with this provision.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

16.8 OVER/ UNDER SUBSCRIPTION

In the event of over-subscription, the Issuing House, will conduct a ballot in the manner approved by our Directors to determine the acceptance of Applications in a fair and equitable manner. In determining the manner of balloting, our Directors will consider the desirability of allotting and allocating our IPO Shares to a reasonable number of applicants for the purpose of broadening the shareholding base of our Company and establishing a liquid and adequate market for our Shares.

The basis of allocation of shares and the balloting results in connection therewith will be furnished by our Issuing House to the SC, Bursa Securities, all major Bahasa Malaysia and English newspapers as well as posted on our Issuing House's website at www.mih.com.my within 1 market day after the balloting event.

Under the AMLR, at least 25.0% of our enlarged share capital for which listing is sought must be in the hands of a minimum of 200 public shareholders, each holding not less than 100 Shares upon our admission to the ACE Market. We expect to meet the public shareholding requirement at the point of our Listing. If we fail to meet the said requirement, we may not be allowed to proceed with our Listing. In such an event, we will return in full, without interest, all monies paid in respect of all Applications. If any such monies are not repaid within 14 days after we become liable to do so, the provision of sub-section 243(2) of the CMSA shall apply accordingly.

In the event of an under-subscription of our IPO Shares by the Malaysian Public and/ or Eligible Persons, subject to the underwriting arrangements and reallocation as set out in Section 4.3.3, any of the abovementioned IPO Shares not applied for will then be subscribed by the Underwriter based on the terms of the Underwriting Agreement.

16.9 UNSUCCESSFUL/ PARTIALLY SUCCESSFUL APPLICANTS

If you are unsuccessful/ partially successful in your Application, your Application Monies (without interest) will be refunded to you in the following manner.

16.9.1 For applications by way of Application Forms

(a) The Application monies or the balance of it, as the case may be, will be returned to you through the self-addressed and stamped Official "A" envelope you provided by ordinary post (for fully unsuccessful applications) or by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/ distribution) or if you have not provided such bank account information to Bursa Depository, the balance of Application monies will be refunded via banker's draft sent by ordinary/ registered post to your last address maintained with Bursa Depository (for partially successful applications) within 10 Market Days from the date of the final ballot at your own risk.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

(b) If your Application is rejected because you did not provide a CDS Account number, your Application monies will be refunded via banker's draft sent by ordinary/ registered post to your address as stated in the NRIC or any official valid temporary identity document issued by the relevant authorities from time to time or the authority card (if you are a member of the armed forces or police) at your own risk.

(c) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected or unsuccessful or only partly successful will be refunded (without interest) by the Issuing House as per items (a) and (b) above (as the case may be).

(d) The Issuing House reserves the right to bank into its bank account all Application monies from unsuccessful applicants. These monies will be refunded (without interest) within 10 Market Days from the date of the final ballot by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/ distribution) or by issuance of banker's draft sent by ordinary/ registered post to your last address maintained with Bursa Depository if you have not provided such bank account information to Bursa Depository or as per item (b) above (as the case may be).

16.9.2 For applications by way of Electronic Share Application and Internet Share Application

(a) The Issuing House shall inform the Participating Financial Institutions or Internet Participating Financial Institutions or Participating Securities Firms of the unsuccessful or partially successful Applications within 2 Market Days after the balloting date. The full amount of the Application monies or the balance of it will be credited without interest into your account with the Participating Financial Institution or Internet Participating Financial Institution (or arranged with the Authorised Financial Institutions) or Participating Securities Firms within 2 Market Days after the receipt of confirmation from the Issuing House.

(b) You may check your account on the 5th Market Day from the balloting date.

(c) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected will be refunded (without interest) by the Issuing House by crediting into your account with the Participating Financial Institution or Internet Participating Financial Institutions (or arranged with the Authorised Financial Institutions) or Participating Securities Firms not later than 10 Market Days from the date of the final ballot. For Applications that are held in reserve and which are subsequently unsuccessful or partially successful, the relevant Participating Financial Institution or Participating Securities Firms will be informed of the unsuccessful or partially successful Applications within 2 Market Days after the final balloting date. The Participating Financial Institution or Participating Securities Firms will credit the Application monies or any part thereof (without interest) within 2 Market Days after the receipt of confirmation from the Issuing House.

16. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

16.10 SUCCESSFUL APPLICANTS

If you are successful in your application:

(a) Our IPO Shares allotted to you will be credited into your CDS Account.

(b) A notice of allotment will be despatched to you at your last address maintained with the Bursa Depository, at your own risk, before our Listing. This is your only acknowledgement of acceptance of your Application.

(c) In accordance with Section 14(1) of the SICDA, Bursa Securities has prescribed our Shares as Prescribed Securities. As such, our IPO Shares issued/ offered through our Prospectus will be deposited directly with Bursa Depository and any dealings in these Shares will be carried out in accordance with the SICDA and Rules of Bursa Depository.

(d) In accordance with Section 29 of the SICDA, all dealings in our Shares will be by book entries through CDS Accounts. No physical share certificates will be issued to you and you shall not be entitled to withdraw any deposited securities held jointly with Bursa Depository or its nominee as long as our Shares are listed on Bursa Securities.

16.11 ENQUIRIES

Enquiries in respect of the applications may be directed as follows:

Mode of application	Parties to direct the enquiries
Application Form	Issuing House Enquiry Services at telephone no. 03-7890 4700
Electronic Share Application	Participating Financial Institution
Internet Share Application	Internet Participating Financial Institution or Participating Securities Firms and Authorised Financial Institution

You may also check the status of your Application at the Issuing House's website at www.mih.com.my, by entering your CDS Account Number on the site after the allotment date. The status of your Application will be available by 3.00 p.m. Alternatively, you may contact any of the ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Securities.